

Jyothy Labs (JYOTHYLAB)

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Call: May 2023

May 5, 2023

To,
National Stock Exchange India Limited
Exchange Plaza, C-1, Block-G,
Bandra Kurla Complex, Bandra – (East).
Mumbai - 400051 Scrip Code: JYOTHYLAB

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400023 Scrip Code: 532926

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2023

Pursuant to Regulation 30(6) read with Part A of Para A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, transcript of the earnings conference call held on Wednesday, May 3, 2023 for analyst/ investors to discuss the Audited Financial Results for the quarter and year ended March 31, 2023 and the way forward, is enclosed.

Further, the aforesaid information is also available on the website of the Company at www.jyothy labs.com .

Kindly take the same on your record and display the same on website of the Stock Exchange.

Thanking you,

Yours faithfully

For Jyothy Labs Limited

Shreyas Trivedi
Head – Legal & Company Secretary

Encl.: as above
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“Jyothy Labs Limited
Q4 FY’23 Earnings Conference Call”
May 03, 2023

MANAGEMENT : MS. M.R JYOTHY – MANAGING DIRECTOR – JYOTHY
LABS LIMITED
MR. SANJAY AGARWAL – CHIEF FINANCIAL OFFICER
– JYOTHY LABS LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Jyothy Labs Q4 FY'23 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.

Manoj Menon: Hi, everyone, a wonderful good afternoon, good evening to you. I trust you're having a great day. Representing I -Sec, it's our absolute pleasure to host the results conference call as usual of Jyothy Labs Limited. The company is represented today by Ms. M.R Jyothy, Managing Director and Mr. Sanjay, CFO.

Over to the management for the opening remarks, and after that, we will open the floor for Q&A. Thank you.

Sanjay Agarwal: Thank you, Manoj, and very good afternoon to all of you. Welcome to the conference call of Jyothy Labs. We'll be discussing the performance of the company for the March quarter as well as for the full year ended March 31, 2023 with all of you and we'll follow it up with question-and-answer session.

So very quick snapshot of the results, all of you must have seen our results by now. We have delivered a top line growth of 12.8% for the March quarter and 13.2 % for the full year FY'23. This is the consistent double-digit growth now for over 10 quarters, as well as a double-digit growth for the full year on a two-year as well as on a three-year CAGR basis. So a very healthy performance across all categories and channels for us. We continue to build for the scale in the business, which will give us additional economies of scale.

On the margin side, despite of the entire industry facing high input inflation, we have been able to grow our EBITDA by 57% for the quarter and 26% for the full year. Our EBITDA margin for the quarter stood at 14.8% versus 10.5% in the previous quarter same time. So a good recovery on the margin perspective.

On the business side, we are in much stronger footing than ever. Our direct reach now has crossed 1.1 million outlets and going further. We have strengthened our distribution with the aid of technology by implementing Botree, which is the most advanced distributor management system, which will further enhance our sales efficiency. So overall, the focus is on execution to build scale. And we've been consistently gaining market share across brands. We have now nine celebrities endorsing our brands. Hence, we are committed for a higher allocation of our resources towards brand building initiatives. We've also been investing in scaling our manufacturing capacities. Recently, we've added a detergent powder line at our existing Pithampur plant in Madhya Pradesh.

On new launches in this year, which is April '23, we have also launched three new variants of Margo Neem Naturals, the three variants of Lemon, Jasmine and Rose. We believe that this will Jyothy Laboratories Limited
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significantly enhance our Margo franchise and also increase our personal care share in the overall portfolio. So we're excited with these new launches.

On the urban/rural, both continue to do well. In rural, yes, due to inflation, it has lagged a bit of the urban growth, but we believe that rural markets are expanding more quickly than urban markets and we will continue to focus on the rural growth to build a long-term sustainable advantage for Jyothy Labs.

With a healthy P&L growth, our balance sheet too has been stronger than ever, with the company being debt-free, i.e., the gross debt is nil and we have a cash balance of INR 283 crores as of March 3

1, 2023 and the working capital days at 13 days. So that's a quick snapshot on the P&L and the balance sheet.

So if we look at from the future perspective and outlook on that, we are optimistic with our growth plan and working towards building a more agile, resilient, and market-focused organization, and with that for FY'23-'24 we'll focus towards the double-digit growth on the top line, which will further strengthen our business franchise.

In terms of the categories, fabric care is doing well, with 20.1% growth this quarter and a full year growth of 29%. The growth is supported by strong value proposition, which we have in the detergent brands with a strong driver for relentless focus on distribution. We launched as you all know the liquid detergents both in Ujala IDD and Henko, which have shown a healthy growth. Also, our mid-priced detergent brands, More Light and Mr. White have also witnessed good demand. In the post-wash category, we are focusing on building usership to drive category growth that's more for the Ujala fabric whitener.

On dishwash category, both our Exo and Pril continue to do well with steady growth across all

SKUs, especially the LUPs of INR5, INR10 in the bar category and this again is due to our unique offerings and the distribution drive s we have taken. Both Exo and Pril, they have established themselves as a clear brand of choice among consumers. There is an increased level of engagement we have with consumers especially focused on the digital medium for this category. If you see for Exo , it has reached highest ever market share of 13.8% for the calendar year '22, so very good growth for us.

In HI segment, the extreme weather conditions did impacted the sales for the year. We have seen the first three quarters not being so great. This qua rter has a flat growth, so much better than the previous quarters. We are hopeful that the next year turns out to be better and we'll continue to focus on our liquid vaporizer and promoting coil as a safer alternative to the illegal incense sticks with the consumer.

Finally, our personal care segment, which is primarily Margo franchise with its natural benefit proposition has delivered a good growth, and to raise the growth, we also have a new brand ambassador, Raashii Khanna. And in this year, April '23, w e have also introduced three variants within Margo Neem Natural soap in Lemon, Jasmine and Rose.

So with that to summarize, we'll continue to focus on the volume led top-line growth backed by the strength of our brand s, distribution strategy and further st rengthening our direct reach ,

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strengthening our rural footprint and using technology for enhancing our sales efficiency and getting higher resources for brand building and manufacturing capacity. So we are very optimistic that in entering FY'23 - '24, we w ant to accelerate the growth and the key mantra is execution, execution and build a higher scale for our business, which we have demonstrated as well in this last year financial performance also.

With this I finish my opening remarks. Happy to answer any q uestions or clarifications all of you may have. Thank you very much.

Moderator: Thank you very much. The first question is from the line of Senthil Manikandan from ithought PMS. Please go ahead.

Senthil Manikandan: Hi, good evening and thanks for the opportunity. My first question is on the Margo franchise. So in opening remarks, you highlighted that you brought in a new brand and there are also new variants. So what would be your medium -term strategy for Margo?

M R Jyothy: Yes. So our existing Margo o riginal Neem has been doing well. We have clocked the double - digit growth on that and we've introduced three new variants, which is called as Margo Neem Naturals. This is to induce more consumers into the Margo franchise and to obviously grow the Margo Per sona

I Care contribution to the overall business. Yes, we have taken Raashii Khanna, it's after long that we have taken one celebrity for Margo and she is known in the south and also foraying into the north which is the Hindi world and a young star appealin g to a younger generation with Margo Neem Naturals. So obviously our aim is high to grow on Margo in double -digits in the coming future.

Senthil Manikandan: Okay. Secondly, on the Laundry business that we have recently merged with our core business, so wha t could be the -- again the medium -term strategy for the laundry business?

Sanjay Agarwal: So the business is now tracking good with revenues of INR 50 crores odd crores every year. And for the last few quarters, it's been running on ebitda breakeven, and this yea r, we'll take it as a more as a year of consolidation on the top line and build the business with profitability. So that is where our focus will be this year on the laundry business.

Senthil Manikandan: Just last question. Since, operationally also you men tioned that we have now moved to net cash level. And so from the capital allocation point of view, if you can just give some highlight as how the company will go about over the next three to four years.

Sanjay Agarwal: Obviously business need cash and will be conserving some cash for future growth initiatives. dividend would be one way how we share the profits with the shareholders and the balance will depend on how -- what opportunities we get in the future on the inorganic side.

Moderator: The next questi on is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Sir, my first question is with regards to the tax rate for the quarter. The tax rate for the quarter is higher at around 27 -odd percent. So one, if you can help us out why this has been higher this quarter and how should we build the tax rate going ahead.

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Sanjay Agarwal: Yes. So if you look at it on an annualized basis, it is around 20% of this year also. And for the next few years also you can consider 20%. This quarter because there have been some asset

sales, so therefore the tax rate per se has been higher. But for the full year, it is at around 20% and we expect it to be in a similar range in the next few years as well.

Gaurav Jogani: Sir, my next question is with regards to the margin. We have seen good sharp margin expansion especially on the gross side this quarter. So given where the RMs are right now and if we sustain at the current levels, how should we expect the gross margins to move ahead?

Sanjay Agarwal: So, tough one, it's little difficult to target ebitda margin because commodity prices are still very volatile. So as we speak, we believe that the exit GM or the exit EBITDA for the quarter, say, the exit EBITDA for the quarter is 14.8%, I think we'll keep that as a benchmark for now and we will see how things evolve from hereon.

Gaurav Jogani: And sir my last question is with regards to the -- if you specifically consider the pricing action taken by the market leader in detergent space. So do you see any increased competitive activity here? And also if you can help us out with the volume and the pricing growth for the quarter.

Sanjay Agarwal: Yes. So this quarter, the top-line growth is 12.8%, volume is 3.3% and the balance 9.6% is value.

Gaurav Jogani: Sir, if you can help us out with the competitive intensity because of the price cuts taken by the leader in the detergent space. Is this expected to have any material impact on the growth rates going ahead?

Sanjay Agarwal: See, competition is always good. We are doing very well in the detergents category, on price cuts, not anything significant is what we have seen, but we'll follow how the market behaves and what the consumer wants. Accordingly, we will also take our pricing actions.

Gaurav Jogani: Sir, just

last thing, have you also taken up any price cuts in the detergent segment?

Sanjay Agarwal: Nothing material, sir.

Moderator: Thank you. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: So just a couple questions. Firstly was on the target for double-digit growth for FY24. So we are now in a phase where kind of pricing is still coming off. As you mentioned, you're now in single-digit in terms of price growth, and it's only likely going to keep trading going forward. In that construct what kind of volume growth to come back to maybe mid to high single digits to hit your target number. So just wanted to get a sense of how confident you are that over the next few quarters you can kind of drive that given that last three quarters you're still there in the 2% to 3% range.

M R Jyothy: Yes. So going forward, we are looking at a double-digit growth. And for us, it will mainly come also from distribution. We are also going to increase our focus on increasing the number of outlets and also drive the volume growth. So it will be an action from both from a distribution and volume-led growth. Pricing will be, it depends. As of now, no more price increases that we see. So majority will be from volume and distribution growth.

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Harit Kapoor: Right. And on the distribution side, we are at currently 1.1 million on direct. Any targets that you can share in next one or two years or next year or next two years where you are looking to kind of get to direct number up to. And we think that also, which geographies are we kind of looking at, is there a greater non-south focus, so just some color on these factors.

M R Jyothy: Yes. So those are internal targets, so that we wouldn't want to say that out, but yes, we are looking at the similar kind of growth, which we have taken in the last three, four years. We will be on that growth path, increasing number of outlets, while for us, it's a Pan-India thing. The distribution growth will come from the entire country. It's not any specific focus in any zone or area. It will be an all throughout Pan-India growth.

Harit Kapoor: Got it. And then just one last question on distribution. Is this more direct reach-led only, expansion-led only or will it also be a mix of both direct, indirect going into the next six months to a year?

M R Jyothy: Our primary focus is on going direct.

Harit Kapoor: Got it. And second thing was on the innovation side. So we've seen after a while some new things happening, especially on the Margo side. Just wanted to know now that you have some more money given that gross margins have seen an uplift of almost 46%. Do we see continued step-up on the A&P side? And if yes, which potential areas can we see new things happening if at all that's the plan?

M R Jyothy: Yes. There will be brand spends. We believe in brand investment. And last year, we had introduced two liquid detergents since we see a trend from consumer shifting from powder to liquid and the last two launches have been received well in the market and it continues to do so. And now the latest is Margo, so we will be spending on -- and we believe in innovations where we can definitely spend and make that bigger. Hence you will see innovations, which are relevant innovations in that sense. So then going and doing many at once and not able to do justice, we believe in launching something and then backing it enough by brand spend.

Harit Kapoor: Got it. And one last data point question was, within laundry, how large now is if you can give

us percentage also in terms of the overall home care segment. how large would the mid-sized brands like Mr. White and More Light be as a percentage of the home care business or the Fabric Care business versus what it was maybe two, three years back?

Sanjay Agarwal: Sir, are you asking

for us or are you asking for the industry?

Harit Kapoor: For you guys. On Mr. White and More Light, how large would Mr. White and More Light be now, Sanjay, versus maybe three years back or pre-COVID or whatever kind of end-to-end data points you can share in terms of percentage or whatever.

Sanjay Agarwal: So Harit, they were pretty small if you're asking three years back and today both the brands are INR100 crores plus.

Harit Kapoor: INR100 crores together?

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Sanjay Agarwal: each one of them.

Moderator: The next question is from the line of Aviral Jain from Siguler Guff. Please go ahead.

Aviral Jain: In My first question was on the dishwash category. Given the under-penetration and the growth rate that we had seen till last year, it was in mid-teens, and now it is falling to less than 10%. So is the category growth trends have slowed down or has there been any price versus value change? Just wanted to understand, from the disclosures it doesn't look like that we are losing market share, so just wanted to understand what's happening?

M R Jyothy: No, we are in line with the market growth. So there is no issues there, just a temporary thing here and there, but dishwash has been growing and it will be -- in the coming year also, it will be -- we foresee a double-digit growth in the coming year as well. And our market shares remain intact. There is no issue.

Aviral Jain: And how some of the expansion on the post wash side panning out, Crisp & Shine was being launched outside of Tamil Nadu and Kerala.

M R Jyothy: Yes. So we have taken it to AP and to our surprise, that's taken us like more than it's been received well. So we are hoping to do good numbers in that market as well. So Crisp & Shine has clubbed the highest ever in the last, it has come back to obviously post-pandemic and has crossed those numbers as well. So doing well.

Aviral Jain: And there was one brand extension to West Bengal also, which was Crisp & Shine as well or it was something else?

M R Jyothy: No, it was a detergent, Ujala IDD.

Aviral Jain: Okay. And how has that come along in terms of results?

M R Jyothy: That said, it's just a year there while West Bengal is a brand loyal market, it will take its time but initial response has been good.

Aviral Jain: Okay. And Ujala IDD is in Kerala, Mr. White and More Light -- I'm asking about the scale of Ujala IDD because it's largely Kerala-centric if I'm not wrong.

M R Jyothy: Yes.

Moderator: The next question is from the line of Tejas Shah from Spark Capital. Please go ahead.

Tejas Shah: Couple of questions from my side. First, on increasing reach as a key growth driver, just wanted to understand post demonetization, we are not seeing that kind of delta for industry, not only for us, but for industry also coming from increasing reach, so pre-demon, there used to be a very big thumb rule that 10% growth in reach will actually lead to at least 3% growth in revenue or volume, but we are not seeing that. So just wanted to understand in the recent past, whatever expansion that we would have done, what percentage of growth we can attribute to reach increase?

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Sanjay Agarwal: Yes. So Tejas, company of our scale at INR2,500 crores top line having a distribution reach of INR1.1 odd million outlet is a very decent number. Now, a lot of this investment what you do in building the distribution is also futuristic. So it's not fair to say whether it is going to give us 3% or what because these outlets, which we add do take 18 to 24 months to stabilize and give good results.

But yes, the objective is to build that because building this infrastructure takes time and it's a hard work and that's what we believe that especially in the rural area, urban market has generally

been captured by established companies and by us. So what we are doing is these are future investments and which is what we are doing both on the technology side of it and on increasing the footprint. So yes, it will add to our distribution as Jyothy said in the earlier point that our

future growth in spite of all the challenges, we will aim for a double -digit, which will come in from some initiatives like these of adding direct outlets.

Tejash Shah: Sure. I was just trying to understand, has this growth driver lost, let's say, in the last decade in terms of it used to result in immediate growth uptick. We are not seeing for the industry itself, so we actually kind of again next three years or two years, we go on that par t.

Based on the recent evidences that you would have seen in your numbers, does it kind of revive growth aggressively I understand that there is a gestation period of this growth, but let's say what you would have done four years back. Has it turned out to be very good source of growth in last two years or it has kind of -- it is still not showing numbers because of the volatility we are seeing in the macro environment?

Sanjay Agarwal: Two years is a fair time. And the reason why we get the confidence of adding more that far, focusing on adding that distribution is because we are seeing the return on the investment, what we are doing in building this infrastructure for the first 12 to 18 months do give us very good results in next -- whatever next year onwards. So yes, two years is a fair time and we are seeing good results. And henceforth we are using distribution as a strong lever for us to accelerate our growth.

Tejash Shah: Second question is, what percentage of our current turnover comes from modern trade?

Sanjay Agarwal: Both modern trade and e-commerce put together is around 10%.

Tejash Shah: And what would be our concentration in Top three chains of the country on modern trade side?

Sanjay Agarwal: The concentration in Top three chains?

Tejash Shah: Yes. Top three or five. I just want to understand the exposure what we have to Top three in the country in modern trade?

Sanjay Agarwal: It is difficult for me to put a number, but the first Top three chains will surely have larger share for us.

Tejash Shah: Okay. So the follow-up question to this was that we are seeing already wild aggression and enthusiasm from all this modern trade chains in terms of launching that private labels across and

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they always used to keep the cards close to their chest. But now there seems to be a lot of aggression across categories, so just wanted to know have you seen increased fight for shelf space versus other brands was always there, but now you have to fight for shelf space with the private labels in some of this sales or you're still not seeing that pressure point building up, at least the current observation that you would have picked up?

Sanjay Agarwal: So in the past also, we have seen it. In the last year also we have seen it and our results are there with you, yes, these will all be developments in the market and we are ready for it. We believe we'll be able to have our growth irrespective of these challenges, which will keep coming up.

Tejash Shah: So you are not sensing any increased intensity on private label side versus past two, three years?

Sanjay Agarwal: Definitely, it is there. I'm not saying it is not there, but then our business is full of these challenges or opportunities. We are ready for that and we don't see much of an issue for us.

Moderator: The next question is from the line of Karan Bhuwania from ICICI Securities. Please go ahead.

Karan Bhuwania: Sir, if you could help us with some color on how our growth has been in terms of rural versus urban and are you seeing any recovery from the rural markets in terms of volumes?

Sanjay Agarwal: So K

aran, as I mentioned earlier, rural is a long-term growth strategy for us and we sell around 40% of our portfolio in rural market. There is a gradual improvement in the growth with the rural market and we believe the initial challenges or the slowdown, what we have seen they are bottoming out and we see good growth both in urban and rural for us.

Karan Bhuwania: Also if you could talk about the liquid portfolio for dish wash segment and your laundry segment, how well do you perform and if you could quantify?

Sanjay Agarwal: Karan, I'm not clear with the question. What you said, the share of liquids in the detergent portfolio?

Karan Bhuwania: Detergent and both dishwash also -- dishwashing segment?

Sanjay Agarwal: Yes. So we don't give a specific number of liquids portfolio in the detergent or dishwash. But for detergent, definitely it is quite small as of now, because both the liquids, Ujala and Henko liquid were launched just 12 months to 18 months back. So they still have to gain size.

Moderator: Thank you. The next question is from the line of Rabinder Singh Sikand from GSS. Please go ahead.

Rabinder Singh Sikand: Good evening. My questions are three. One, considering that you have just -- as you just mentioned that you have just launched liquid detergents, is there any move to launch detergents in pods, which is quite common outside India and is actually been sold by quite a few online retailers in India? Is there any move to move to pods?

M R Jyothy: Nothing right now, sir.

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Rabinder Singh Sikand: Nothing right now. Okay. The second question is a space that has not been addressed, but with the advent of dishwashers -- the popularity of dishwashers in India, considering that there is only one -- actually on e dishwash liquid and tablet available in India, is there any move for you to move into this space. I mean, there is no Indian company that I know is manufacturing that any have you considered moving into this space?

M R Jyothy: Sir, right now the dishwasher penetration in the country is way, way miniscule and we will do that at the right time.

Rabinder Singh Sikand: So there is no move right now to venture into that?

M R Jyothy: We need a particular size and this thing to launch it. Our focus is right now to grow the existing liquid and the bar market.

Moderator: The next question is from the line of Khush Gosrani from InCred Asset Management. Please go ahead.

Khush Gosrani: I wanted to ask, since we have been gaining market share across our key product categories over the last three years, is the trend sustainable going ahead as well or is competition increasing for us?

Sanjay Agarwal: So definitely, we will be increasing our market share. We aim to grow or accelerate our growth. And which would mean in most of the categories, we should be doing better than the industry growth. So we are hopeful. And all the efforts, all the action points we spoke will help us in gaining market share. We have done it in the past. I think gives us enough confidence to build those market shares for each of our brands, better in the next few years as well.

Khush Gosrani: And in terms of distribution reach, what is our strategy over there. We used to be -- we are right now at 1.1 million direct reach, which used to be 6 million. So how should we think of the direct reach distribution going there and overall distribution strategy for us as well.

Sanjay Agarwal: In the previous question, Jyothy mentioned that there are internal targets for us to drive our distribution to higher numbers, but as we speak also the number is good enough for INR2,500 crores top line what we have. So we will deliver -- we will take all efforts to build an efficient distribution or increase the distribution from 1.1 to a higher number in the years to come and it will be Pan -India basis and we will conti

nuously gain or get benefits out of that distribution.

Moderator: The next question is from the line of Naysar Parikh from Native Capital.

Naysar Parikh: First question is can you give us how much is for the year, how much have you done in North, West and South and Kerala if you can give some indication?

Sanjay Agarwal: Well, I didn't get the question. On which brand are you asking or on a Pan -India basis?

Naysar Parikh: No, on a pan -India basis and also our strategy of growing in North and West further, how is that going. So on a Pan -India basis if you can give that number.

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Sanjay Agarwal: So the South is 40% of our business and non -South is 60% and there are brands, which we are focusing. It depends on each brand to brand, and it's a much larger question. It depends on each brand to brand, what are the geographical expansion and the focus markets we have taken and it depends on the opportunity what we are seeing, the competition, but south remains a good market for us. There are some brands like Maxo where we are much stronger in North and East. So it depends on each brand to brand, but we have brands across India and the distribution is also equally distributed across India.

Naysar Parikh: Sorry, if I can --- I think North and West still what I last understood was around 25%, 30% for you, which is obviously much lower versus most of the competition. So in that context, what was the contribution of North and West in the sense what steps both from distribution and branding are we taking to increase that share at least at par with what the industry is?

Sanjay Agarwal: So we don't give any numbers for each zone and states area every quarter. But having said that, yes, both North and West offers a very good opportunity and we are working towards it to have better growth in these markets as well, alongside all India penetration what we have.

Naysar Parikh: Got it. And the second question is for the modern trade channel. What would be the share of modern trade for us now and any further progress over there in terms of penetration or share of each?

Sanjay Agarwal: Yes sir. So modern trade and e -commerce put together is broadly 10% of our total business and we are doing good both modern trade and e -commerce. Specifically, there are very good plans for us and both the channels are doing well.

Moderator: The next question is from the line of Amit Purohit from Elara. Please go ahead.

Amit Purohit: Just on the distribution side, I wanted to understand, you said the technology investments and

more fleet on the street. So you have some 1,000 plus sales team, has that increased or what is the outlook on that? Just wanted to know the current number? And second also on the rural initiative. How do you define rural for you and what is the number of villages count reached now versus earlier and what's any plans if you could share that?

Sanjay Agarwal: Yes. So Amit to your first question, yes, so on the manpower, yes, every year, there will be addition of the sales team, which will be in line with the geographical expansion, which we are taking, and the increase in distribution what we're doing. We don't give a breakup of each zone and the number of people we are adding every quarter or every year. But as we said, the overall growth will be led by distribution which will have the element of adding manpower. Sorry, if you could repeat the second question.

Amit Purohit: On technology, what do you mean by technology initiatives, investing behind technology distribution?

Sanjay Agarwal: Yes. See, one of the important things was to further enhance our sales distribution and channel partner there is a DMS system called Botree, which is what we have implemented and we believe that that will make the schemes management much simpler for our sales team and for the channel partners, and hence, we

have invested in it and we have been able to do that, which will give us
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benefits over a long period of time. And on the last question, we reached 100% of the villages, about 10,000 population.

Amit Purohit: Okay. And any outlook or maybe what was that probably three, four years back, has that increased or it will increase now?

Sanjay Agarwal: So, reaching 100% up to 10,000 population, again, it's initiative, which we have taken few years back, and it will keep improving because there is a cost to go much deeper into it and as we scale our business, yes, we will go to further down. Also, we believe we can sell more lines to these outlets, which we are currently servicing that itself will give us decent growth for many years. So we'd rather increase the efficiency of the current distribution and keep adding more outlets for future growth.

Amit Purohit: So I mean broadly, I'm sorry, but what would be the share of rural in our space now?

Sanjay Agarwal: So currently, it's around 40%.

Amit Purohit: Okay. And it is safe to assume that the direct reach initiative would be both largely more towards the urban side or it will be well balanced?

Sanjay Agarwal: It will be both urban and rural.

Moderator: The next question is from the line of Dhiraj Mistry from Antique. Please go ahead.

Dhiraj Mistry: So first question is regarding A&P spend. Now that we have started witnessing softening of some of the raw material prices and hence improvement in gross margins, what would be the A&P spend as a percentage of sales going ahead?

Sanjay Agarwal: So right now, it's around 7%, 7.5%. For now, it will be in the similar range and we will see how much benefit we are going to see in the GM going forward, and accordingly, we'll take a call on that.

Dhiraj Mistry: And some couple of bookkeeping questions, like, in this year, we have seen that depreciation expense going down. And can I know the reason for that?

Sanjay Agarwal: depreciation in the consolidated business has remained same across the year.

Dhiraj Mistry: And what would be effective tax rate FY'24 and FY'25?

Sanjay Agarwal: It should be in the range of around 20%.

Moderator: The next question is from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas. Please go ahead.

Kaustubh Pawaskar: I have couple of questions. First, can you give us the volume growth, excluding the HI business for this quarter?

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Sanjay Agarwal: We don't give each ex whatever the business is, but overall, as I said, it's for the quarter is 3.3% volume growth and for the full year it's 3%.

Kaustubh Pawaskar: And for HI, you said that you expect this year to be better. So can you just elaborate on that, what exactly your strategy would be to regain the growth back in the HI business?

Sanjay Agarwal: So first, instead of giving the volume, I can still attempt to answer your question on the value side of it. So for the full year, the business has grown by 13.2%. If we exclude the HI business, then it would be at 17.8%. Now, to answer your question on HI, we have seen challenges, which have been more seasonal issues, which impacted us much more in the core markets in which we

are present.

So there is nothing much which we can do other than hoping that the coming year the season will be little better. Second is the illegal incense sticks, which has impacted the category. I think we as well as the industry is trying to educate consumers on the health hazard, which comes with the usage of illegal incense sticks. So while we're doing that, we're also trying to work towards coils to ensure that the consumers use coils and understand the health hazard of the illegal incense sticks.

We know that these measures and continue to focus on our liquid vaporizer as a strategy. So I

think all these three things are working well. This quarter, we have seen a better numbers than the past three quarters and that gives us the confidence that yes, hopefully we'll have a better next year.

Moderator: The next question is from the line of Abhijit Sinha from Pi Square Investments. Please go ahead. Abhijit Sinha: Just wanted to understand what were other growth drivers that we're expecting in the next two years? What should be helping us grow our volume as well as our any price hike?

Sanjay Agarwal: So we'll be engaging more with the consumers. We've been investing more behind the brands, expanding the distribution network. The good thing about our portfolio and it stand us across different categories and at different various price points. I think the se all things make us believe that we have a portfolio, which is again of essential goods. We are seeing good demand across both urban and rural portfolio as well as in the modern trade, e-commerce. So these are few things which gives us enough confidence that yes, we should deliver a higher growth and bring more market share in years to come.

Abhijit Sinha: Sir, if you could throw some highlight on this quarter's taxation. I think it's about 28%, which is quite higher significantly compared to our 18% to 20% that you were keeping in the previous quarters. So was there some one-off thing?

Sanjay Agarwal: So this quarter -- this year we had some asset sales on which are the tax rate is going to be higher, but if you annualize it for the full year, the tax rate is at around 20% and I believe in the next two to three years also you can assume the tax rate in the range of around 20%.

Abhijit Sinha: So we don't go into that whole 25% slab. We stick to the 20% rate, right?

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Sanjay Agarwal: Yes.

Moderator: Thank you. I would now like to hand the conference over to the management for closing comments.

Sanjay Agarwal: Thank you all. I think it's been a great discussion this afternoon. We look forward -- if you have any further questions, please do reach out to us or to I-Sec team. Thank you once again and have a great evening. Thank you, bye.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Jul 2023

July 28, 2023

To,

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400023
BSE Code: 532926
National Stock Exchange of India Limited
Exchange Plaza, Bandra – Kurla
Complex, Bandra (E),
Mumbai - 400051
Scrip Code: JYOTHYLAB

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 2023

Pursuant to Regulation 30(6) read with Part A of Para A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, Transcript of the earnings conference call held on Tuesday, July 25, 2023 for analyst/ investors to discuss the Un-audited Financial Results for the quarter ended June 30, 2023 and the way forward, is enclosed.

Further, the aforesaid information is also available on the website of the Company at www.jyothy labs.com .

Kindly take the same on your record and display the same on website of the Stock Exchange. Thanking you,
Yours faithfully,

For Jyothy Labs Limited

Shreyas Trivedi
Head – Legal & Company Secretary

Encl.: As above

SHREYAS
PARAG TRIVEDI Digitally signed by
SHREYAS PARAG TRIVEDI Date: 2023.07.28 09:56:22 +05'30'
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“Jyothy Labs Limited
Q1 FY'24 Earnings Conference Call”
July 25, 2023

MANAGEMENT : MS. M.R JYOTHY – MANAGING DIRECTOR – JYOTHY

LABS LIMITED
MR. SANJAY AGARWAL – CHIEF FINANCIAL OFFICER
– JYOTHY LABS LIMITED

MODERATOR : MR. KARAN BHUWANIA – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '24 Earnings Conference Call of Jyothy Labs hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Karan Bhuwania from ICICI Securities. Thank you, and over to you.

Karan Bhuwania: Hi. Good afternoon, everyone. It's our pleasure at I SEC to host Q1 FY '24 Results Conference Call for Jyothy Labs Limited. From the management, we have Ms. M.R. Jyothy, Managing Director; and Mr. Sanjay Agarwal, Chief Financial Officer. Now I'll hand over the call to Mr.

Sanjay Agarwal for his opening remarks and then we can open the line for Q&A. Thank you.

Sanjay Agarwal: Thank you, Karan. Good afternoon, everyone. I welcome you all to the conference call of Jyothy Labs to discuss the financial performance for quarter 1 FY '24. The results and the investor presentations are already available on the stock exchanges as well as on our company's website. I hope you all had a chance to look at it.

In brief summary on the business environment front, we have observed relatively stable demand across our product portfolio with moderating input costs.

There have been successive price increases, which did impact or has impacted the sales volume. However, our product portfolio is more essential and well diversified. Day-to-day household consumption, so we witnessed moderate growth. This is reflected in our overall performance in our revenue growth of 15%. The breakup of which is volume growth of 9% and value growth of 6%. With a healthy debt-free balance sheet, we've delivered a consistent double-digit revenue growth now for the last few years and rise in our brand market share.

For this quarter, we have achieved sales of INR687 crores, an increase of 15.1% growth. As input cost inflation has moderated and with our several cost optimization programs, our gross margins have scaled back at 47.9% versus 39.9% at the same period last year.

Similarly, at the EBITDA level for the quarter stood at 17.1% versus 10% in the same period last year, thereby an increase of 95% and our net profit also grew over 100% same period last year. In specific, our consumer franchise is getting stronger by every quarter, and we've been consistently been able to strengthen our market share across our brand categories. And as you would have seen, all our segments have reported stable double-digit growth.

In terms of key categories performance, Fabric Care is doing well with 18.1% growth this quarter. The segment has seen improvement in sales across all our brands. Our expanded distribution has helped us to accelerate sales of detergent powder brands on a pan-India basis. We are focusing both on the premium segment as well as on the value offerings in this category, and the strategy is to build scale across our brands. In specific, Ujala Detergent Powder, we have launched new TVC featuring Superstar Manju Warrier, also we have been associated with some high-impact properties like Big Boss Kerala. Also launched Ujala Liquid Detergent Front Load variant to strengthen our portfolio in this category.

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Similarly, in Henko, we have released a new campaign featuring Superstar Kajal Aggarwal, and we are also witnessing good healthy growth in performance of the liquid detergents. In Dishwash category, both Exo and Pril continue to do well with a 10.6% growth for this quarter. Since this category has significant growth potential given under-penetration, we are leveragin

g on the rural

growth in the Bars category and focusing on consumers seeking larger packs in Dishwash Liquid category.

In HI segment, our sales increased by 10.1% for the quarter. This recovery is aided with better season and emphasis on distribution and also enhanced media support done by us in the key markets. We are focused on growing saliency of the liquid vaporizer and also promoting coil as a safer option for illegal incense sticks.

Finally, our Personal Care portfolio, which is primarily Margo franchise, we have registered an impressive growth of 21%. ATL investments, campaign featuring Raashi Khanna, propagating Margo as an Aachi Aadat or good habit is helping the brand. And as you all know, we spoke in the last call as well, we are leveraging the Margo brand equity. We introduced 3 new variants of Margo in rose, lemon, and jasmine, where we have seen good initial response. This will further help in building scale for us with the larger offerings in the toilet soap category. In summary, we'll continue to focus on volume-led growth and achieve higher scale of business operations. We have consistently delivered now double-digit revenue growth for the last few years and expanding profitability metrics. We will strive to build scale with our relentless execution and grow our brand market share. We are working towards our sales growth trajectory for FY '23-'24 on an annual basis to be at double-digit growth, primarily led by volume. Similarly, on the margin front, with signs of softening commodity prices, we would aim to hold on to our historic EBITDA margin level of 15% to 16% on an annual basis. With this, I finish my opening remarks, and we are happy to answer any questions or clarifications you may have. Thank you.

Moderator: Thank you very much. We have a first question from the line of Vishal Gutka from PhillipCapital. Please go ahead.

Vishal Gutka: Team, congratulations on excellent set of numbers. Three questions from my side. Firstly, on the HI segment, the losses have doubled up over there. So is it due to higher A&P spend, what has exactly gone, if you can throw more light on it.

Secondly, on the overall ad spend, given the context, given that World Cup is coming up and elections are there, and we are also underinvesting -- we're also planning to grow our A&P spend. So how do you look at the ad rates going forward, that's the second question. And third question, sir, it would be really helpful if you can give more color on 2 brands, Mr. -- MoreLight and Mr. White. Exactly what is going on in those brands because those seem to have scaled up in a very meaningful manner. That's it all the best and thank you.

Sanjay Agarwal: So Vishal, on the HI side of it, the loss, as you know, the category had declined last year, and we recovered a bit on that. But still, it has to come back to its earlier levels, so we'll have to live with it for some time. And this quarter, we had an additional or increased media spend, which I Jyothy Laboratories Limited
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just spoke. We wanted to give more support to the market, and hence, you are seeing the loss number there at the EBIT level.

On the A&P, the numbers have been at around 7% to 8% of our top line, and we would not shy away from -- I mean we have been increasing our media spends over the last few years, and we'll continue to work on that. And whether we would think on specific property, World Cup, and all. Obviously, we can't comment to you now.

Vishal Gutka: Okay. The rates are likely to go up. That is the reason I'm asking because I understand it might not be publishing on this platform, but the rates overall like for the inventory to be lower, the ad rates are likely to go up and I was just asking in that context.

Sanjay Agarwal: Sure, sir. And on your specific questions on some of the brands in Fabric Care, Vishal all the brands

have been doing well for us, whether it is at the premium end or in the mass offering, and backed by distribution, backed by the increased media support. So all of them have been doing fine for now.

Moderator: We have a next question from the line of Percy Panthaki from IIFL.

Percy Panthaki: Congrats on a good set of numbers. I just wanted to understand, see, we have the segment sales growth with us. You, of course, don't publish the segment volume growths, and I'm not exactly asking for that. But if you could give some color on where the -- which segments have seen a volume growth, which is higher than the overall company average and which are the segments which are lower than the overall company average that will sort of help us understand the structure of your growth.

Sanjay Agarwal: Yes. So Percy, as you said, we do not give, and it's not required to get into that level of granularity. You can be rest assured all the categories have positive volume growth as well.

Percy Panthaki: Okay. Secondly, just wanted to understand the Margo top line growth of 21%. Again, not asking for exact numbers, but any color or flavor you can give in terms of what would the growth have been? I mean what is the contribution of these 3 new variants in this growth that you have? What I'm trying to understand is that whenever there's a new launch, there is a pipeline fill that happens, so just wanted to understand that if I account for that, what is the sustainable growth number that I should be building in from an end consumer demand point of view?

M R Jyothy: Yes, so Percy, as in the growth on Margo has been really good for us. And most of it has come by the original name, which is the original soap that we have. The variant has just gone into the market from April onwards, so it's still connecting at many places, so not much of a contribution

from that. It's mainly the main soap that is doing well.

Percy Panthaki: Understood. And the main soap is doing well. What is the reason for that? Is it geographic expansion? Or is it within the existing geographies they are gaining market share? What is really happening there for the main variant?

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M R Jyothy: Yes, yes. It is supported by a very good season as in the summers are the ones which usually are good for this segment or so. And yes, increase in distribution also has helped and a little more of rural penetration has definitely helped.

Percy Panthaki: Understood. Understood. And just wanted to get a sense on the margins. You have reported 17.1% margins, excluding the other income, which is a significant jump over 4Q, which was 14.8%. So is it that you are lagging the general industry in terms of price cuts? Or you have sort of taken price cuts in line with other competitors in terms of timing and therefore, this margin - I mean there is no reason for us to believe that it will sort of go down in future.

Sanjay Agarwal: So Percy, we have also taken price cuts in line with the requirements of the market, most of the competitive actions, so we have also done that. As I said in the opening remarks, we would, on an annual basis, look at our margin -- EBITDA margin to be in the historical range of 15% to 16%, so that is where we are. So these things will happen where price cuts will happen, raw material prices have come off from their peaks, but they are still at the elevated levels from, say, March '20 levels. So factoring all of that, we believe our aim would be to achieve between the historical range of 15% to 16%.

Percy Panthaki: Right, sir. And last question, if I might be permitted. You have done a 9% kind of volume growth this quarter. As far as I know, the base is normal. So are we sort of gunning for the same kind of volume growth for the remaining quarters?

Sanjay Agarwal: Percy, difficult to give you a breakup. But as I said, when we look at

double-digit growth on a

full year basis, it will be more volume led because as you know, the pricing growth what we have seen now, will start tapering off as we move along.

Moderator: We have our next question from the line of Tejash Shah from Spark Capital.

Tejash Shah: Congrats on good set of numbers. First, on market share gain, you called out that we have gained market share in most of the categories. If you can give some category level inside where the market share gain would have been higher than where it would have been relatively lower in our portfolio.

Sanjay Agarwal: Across our brands, we have done fairly well, as you know, the growth numbers have been double digit and more. And hence, across brands, things have been stable for us and doing well, so that's where we are.

Tejash Shah: And are we gaining this market share from smaller regional players or from national players as well?

Sanjay Agarwal: We are doing well and as Jyothy mentioned earlier, it's all backed by distribution and our continuous focus on brand investment, which is helping us connecting well with the consumers and all of that have been recognized and appreciated in that manner. So we would continue that path. With the growth mindset, it is important to keep investing behind our brands, both in terms of distribution and media investment, and we'll continue to do that.

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Tejash Shah: Yes. So on that distribution front, do we have any target or vision for near term or of medium term in terms of where do we want this number to look like in 2, 3 years?

Sanjay Agarwal: So March '23, we have reported, we are reaching out to 1.1 million retail outlets. We'll continuously do that. We do not give any numbers specific where we want to reach, but it should be adequate to fill in our aspirational goals. And we are on that track, and we'll continue to do that.

Tejash Shah: Perfect. And then last one, not pertaining to results but one distinct feature of our supply chain has been our 20-plus manufacturing plants, which actually when I compare, it is higher than some of the regulated sectors like liquor and all, so just wanted to understand what's the thought process there? Are we kind of thinking about consolidating this footprint? Or we are actually going in with the nano factory understanding, and we want to be closer to the markets? Just wanted to understand broader thoughts over here.

Sanjay Agarwal: So it has been our focus to have factories closer to our markets, and historically, we have operated in that manner. It helps us in a lot of ways, as you would understand both in terms of supply chain, getting the production just in time and derisking our business model, so we

continuously keep evaluating how we can consolidate more operations. But as we speak, the 22 factories, they are operating at 70% capacity, and we keep modernizing units as and when opportunities are there.

Moderator: We have our next question from the line of Abneesh Roy from Nuvama Institutional Equities.

Abneesh Roy: Yes, 3 questions. First is, we have seen the weather being erratic especially...

Sanjay Agarwal: Abneesh, we can't hear you, can you -- could you speak louder?

Moderator Mr. Roy, use your headset mode please?

Abneesh Roy: Yes, so I have 3 questions. So first is, of course, weather has been very erratic in terms of seeing either floods in North India or, say, Bihar, one of your key markets, we have seen very high deficit this year also till now and last year also. So would you be concerned that in Q2 and possibly even in Q3, there could be impact because of these developments, either in terms of manufacturing or in terms of distribution and demand?

Sanjay Agarwal: The answer is no. There's nothing which we can perceive as risk as we speak.

Abneesh Roy: You're not seeing an impact?

Sanjay Agarwal: No, nothing on the

supply chain or on our manufacturing plants. Yes, the rains have been very heavy. It does impact temporarily something in movement of people and movement of goods. But on an overall basis, we are fine.

Abneesh Roy: Sir, my question was also on demand side, how do you see because clearly, these are agriculture-focused states of Bihar, U.P. et cetera, and North India also. So my question was more on demand, not just on manufacturing. I do understand you will have enough inventory. And

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essentially, it's not that completely things are on standstill. In terms of demand, would you be worried because 2 back-to-back years, the U.P., Bihar, there is a deficit?

Sanjay Agarwal: So Abneesh, we haven't got that alarming situation from any of our sales teams, and we continue to do well as per our plans in these markets as well.

Abneesh Roy: So second question is on your market share data, which you have shared in terms of detergent.

I wanted to understand this 18%, which you've mentioned. No, in fact, 21.9% value market share

Ujala Detergent, this is for which market?

Sanjay Agarwal: That is only for the state of Kerala.

Abneesh Roy: Okay, slide 14, okay, okay, got it. And one follow-up question on overall what other questions were on your soaps and detergent. We have seen that in the lower end and the mid end, the competition has come back. So we have seen the impact, the market leaders saw much lesser margin expansion and volume growth was also lower. So could you comment on regional players, how they are coming back in the value end in both soaps and detergent and how you have been able to do much better than the market leader, so if you could explain that?

M R Jyothy: Yes. So we have gained mainly through distribution primarily and also the quality of our products are far better than the ones that they get in the market. And hence, we are able to get repeat orders from consumers and retailers as well.

Abneesh Roy: Right. And last question on HI. When you see the 2-year CAGR and 3-year CAGR, both are negative. And now the market leader has also come out with the LUP at INR35 and INR50, and they are more aggressive than the past. What would be your game plan here? Obviously, profitability has been a key issue. But of course, you have been trying to ramp up the market share in the core electricals also. So if you could tell us what would be the game plan now given that the market leader is now more aggressive than the last 5 years?

Sanjay Agarwal: So Abneesh, no comments on that. We will be working on our plans and this category has seen some challenges. I think as an industry, we are working towards finding some solutions around that to benefit the consumers, so we'll stay put on that.

Abneesh Roy: Question was on the company also, so when you see the 2-year CAGR of minus 17 and 3-year of minus 8, of course, there was a COVID related impact also in the base. So what is the reason for the decline?

Sanjay Agarwal: So Abneesh, as you know, in the HI category, last year has been a challenge and the year before also because of the illegal incense sticks. And because of the season not being so favourable for us in our stronger markets, which is north and east. And hence, we have seen a decline in the last year on the HI category. This year, marginally, it has been better. We hope the rest of the year and the next years, the category sees far better growth. And as you know, we will be focusing on more on the LV side of it to get profitability also in shape. So that has been our strategy.

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Moderator: We have a next question from the line of Danish Shah, an investor. Mr. Danish Shah, please go ahead with your question. We move on to the next question from the line of Harit Kapoor from Investec.

Harit Kapoor: My first question w

as on the distribution expansion. So if you look at the number of -- in terms of million outlets and direct reach, we've been at about 1.1 million. Incrementally this year and the next, what's the game plan here? Is the game plan only about a higher throughput per store or the numeric reach also go up? And if yes, then are there any micro markets that we're looking to target here? So I just wanted some more details on how we are kind of going about the distribution strategy over the next 2 years.

M R Jyothy: Yes. So we've been growing our direct reach since last few years. And we would -- it would be almost the same momentum that we will go on. We've increased the lack of outlets last year and we will continue to do so for the next 2 years. And it has been both from a throughput per store and also these increased outlets that are giving us the growth.

Harit Kapoor: Okay. So about 100,000 a year is still the trajectory you're expecting for the next year...

M R Jyothy: That's what has been our average, yes.

Harit Kapoor: Okay, understood. Next question was on margins. So if you look at this year will be year of normalization, you'll take 15% to 16%, as you said, targeted range. But if I look at beyond FY '24, how do you think about profitability? Is it kind of steady margin expansion post achieving this normalized number or is it just revenue-led growth with margins being in a similar band, I mean, how are you thinking of that now?

Sanjay Agarwal: Objective any growing company would aim for higher numbers than in the past. And with the effort what we all putting, we would also aim for the same. But sitting now, we all know where our margins -- pain we have all seen in the last 1, 1.5 years. And at the same time, last year, we had margins fallen down to 10% and now we've seen the recovery back to 17 -odd percent. So let us stay put here, let us achieve to get a stabilized number with top line growth and EBITDA range of 15%, 16% and then any incremental numbers, as we said in the past, also, we would like to reinvest into brands, media spend to get much more stable growth in the future. So that would be our game plan for medium term or long term.

Harit Kapoor: Got it. Got it, Sanjay. And now that you have got this kind of pool of higher gross margin, does the innovation intensity also is expected to increase from here because last 2 years are challenging on costs, so one had to keep an eye on that as well. But incrementally, does innovation intensity increased in the next, say, 12 to 24 months, given that now gross margins are also normalizing?

M R Jyothy: Yes. We have a set of innovations and extensions ready. But having said that, we'll still be very calculative and go about launches very carefully, which will be backed by investments on media as well. So we will pick and choose which innovations to be launched depending on the situation.

Harit Kapoor: Perfect. And one last bookkeeping, if I may. Is there any one-off in the other income number for the quarter?

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Sanjay Agarwal: Yes. Harit, like last time, we had a sale of one of our properties, which is around INR9-ish-odd crores. Similar this quarter also, we have a sale of land at one of the plants, and that is also around INR9 crores.

Moderator: We have our next question from the line of Sumil Sethi from SG India.

Sumil Sethi : Congratulations for a great set of numbers. Sir, just wanted to understand which category has driven the most growth in Fabric Care, so I understand that Fabric Care has grown by 18%, just wanted to get a sense on if the entire portfolio has grown at -- is there any category than standing off?

Sanjay Agarwal: Yes, it has been across all the brands, have done well. I can't call out any particular brand or category in that. All the premium, all our 4, 5 brands have done fairly well in this category.

Moderator

: We have a next question from the line of Mansi Patel from Bodh Capital.

Mansi Patel : Congrats on the good set of numbers. I have 2 questions. The first question is regarding the market share of Henko. If you could just help me understand how the market share performance has been for Henko over the past 5 to 10 years?

M R Jyothy: So we've been doing well. We don't have market share numbers for that, but our internal sales have been growing. And our premium offerings under Henko, be it detergent powders, bars or liquids have been on a healthy growth, double-digit growth.

Mansi Patel: Okay. Okay. And the second question is, have we planned for any new launches in the Laundry segment as the segment contribution in FY '23 had almost doubled on a Y-o-Y basis?

Sanjay Agarwal: So nothing specific we can call out now in terms of the new launches in the Laundry space.

Mansi Patel: Okay. So how is that impact of doubling been? I was just trying to understand because the business has been stagnant in terms of Laundry segment over the years. And in 2023, it has taken a shoot -- upshoot. So that is why I just wanted to understand how have we -- I mean how are the strategies planned up for the same?

Sanjay Agarwal: You're talking about the Fabric Care or Laundry business which we have?

Mansi Patel: Laundry segment, laundry segment.

Sanjay Agarwal: So Laundry business has been doing fairly well. It's been consolidating this year, we have taken more of a consolidation year and to remain profitable and not put any drag on the balance sheet, so that's more on a stable basis for now.

Moderator: We have a next question from the line of Darshil Jhaveri from Crown Capital.

Darshil Jhaveri : Sir, most of my questions have been answered. So I would just like to ask what kind of macro environment or any kind of risk that you see that can hamper us something on those lines that maybe we need to be careful about something on those lines?

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Sanjay Agarwal: See, business is always dynamic, and we can plan for certain things. But if you're asking me what could be the unknown things, unknown things can always be in the macro on the input prices. We all got a lot of surprises in the last 1 to 2 years. There will always be competitive actions, which we have to work on it and rest assure, I mean, if there are other challenges which come through, we will work through that.

Darshil Jhaveri: Okay. So that's good. And another question is now on sir, across our all categories, sir, would we have similar margins? Or there will be some premium segments that would be giving higher margins or whose more volume growth will help us get more margins or it's nearly standard across...

Sanjay Agarwal: Margins do varies between different categories. But we have to grow all the categories, all the brands and that's how we have a well-diversified portfolio, and we have been benefiting out of it.

Darshil Jhaveri: Okay. Okay. And sir, just one last final question, sir. Sir, on a longer term, do we think we can maintain our revenue growth of -- volume-led revenue of double-digit over the next maybe 3 years? Or how would that just -- what kind of outlook do you see for that part, a longer outlook?

Sanjay Agarwal: We will definitely aim to have a growth, which is better than the market or the industry growth. And it will be, again, led by a few macros, some specific company initiatives, and we should be able to grow at those levels in the future as well.

Moderator: We have our next question from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: Congratulations on the great set of numbers. So my question is with regard to your margin guidance being 15% to 16% brand versus the 17% that we have closed in Q1. Now if we extrapolate this for the rest of the 9 months, this would mean approximately 200 bps kind of

fall

decline from the current levels. So just wanted to understand, is there any investments, especially in A&P that we've planned or is just the passing on of the input prices to the consumers way of better graphics et cetera, which could lead to some contraction in the margins going ahead.

Sanjay Agarwal: Yes. So that always will be a combination of both and a few other things which we cannot plan. And being in the first quarter, it is better to work with that side of caution. And as I said earlier also, we would rather invest behind our brands and grow our franchise. I think that will be more sustainable and better for all the brands.

Gaurav Jogani: So sir, any guidance that you can give in terms of how the A&P spends that you expect for the -- for FY '24 or maybe years beyond that is sustainable A&P to target.

Sanjay Agarwal: Gaurav, sorry, the line is little bad. I can't understand anything.

Gaurav Jogani: Sir, I said that for the A&P, if you can give any guidance, not only for FY '24, but maybe on a sustainable basis, what you would be targeting ahead?

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Sanjay Agarwal: So as we've been spending 7% to 8% of our top line on A&P spends. For now, we would -- we'll continue to do that in that range, and we'll evaluate it in the future depending on how the overall situation is.

Moderator: We have a next question from the line of Kunal Thanvi from Banyan Tree Advisors.

Kunal Thanvi: So I have 2 questions. One was on our pricing strategy. When we look at our prices of our key products, they're very similar to the category leaders in the respective segments. I wanted to understand, being the challenger brand in the segments that we are present in, how do we look

at our pricing strategy from a longer-term perspective? That is point number one. And second is on with being net cash now and a strong cash flow generation, what would be our capital allocation policy from here on? These are my 2 questions, yes.

M R Jyothy: Yes. So on pricing strategy, you're right, we are at par with competition. And in most places and in some cases, we are even premium to the competition. So that's backed by a good set of differentiation and quality that we offer to the consumers. Only if the consumer likes it, will do a repeat purchase and hence -- and so far, we've been successful. It's the differentiation, the positioning and the quality that is -- that makes us compete even after being a challenger brand.

Sanjay Agarwal: And on the net cash position, post the dividend payout, we will rather conserve the cash and the on capital allocation, we will figure out what is the best for the stakeholders as we move along.

Kunal Thanvi: Sure, sure. And any -- like any insights on what are the different modes of using capital that we at the board level are considering?

Sanjay Agarwal: So I mean, there can be various options which are available. Obviously, one is dividend and other ways. And the other could be in case if we find inorganic, but those are too premature..

And as I said, this will be a discussion for our board to evaluate sometime in the Q3, Q4, and we will keep you posted on that.

Moderator: We have a next question from the line of Naysar Parikh from Native Capital.

Naysar Parikh : My first one is on how is -- what is the share of rural and can you give us some outlook on the rural side of the demand?

Sanjay Agarwal: So both -- I mean see rural, the impact of inflation has been much higher than the urban and as inflation has been receding. Therefore, the growth what we are seeing in rural is sort of coming back. And we, as an organization, we have product portfolios, meeting rural demand as well and the focus on low unit packs. We have been early on to capture on that, focusing on our rural distribution, so these are the areas how we are driving our rural growth.

Naysa

r Parikh : Sorry, if you could give some numbers to it, either in terms of growth or what is the mix between rural versus urban?

Sanjay Agarwal: Yes. So urban has been broadly 60% and rural has been 40%, and the growth rates would vary at different point of time, but both doing well.

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Naysar Parikh : Got it. And second question was on -- obviously, your strength is in the North -- in the South and East maybe. I just want to understand on the North and West, how is the growth rates in this quarter? Is it at par on the company level or higher or lower?

Sanjay Agarwal: So no specific comments for zones growth, I can share . As an organization, we have reported our numbers, and we are doing well.

Naysar Parikh : But if we could just ask like from a growth perspective going ahead, specifically North, and West because we are underrepresented there, if you could give either directionally what is the share or what is the growth like either for this quarter or how do you see it in the future?

Sanjay Agarwal: So, sir, it's difficult to pinpoint each brand in each geography. But as I said, obviously, the efforts of the organization is to grow across pan India, and we will do that.

Naysar Parikh : Okay. Got it. And last question is on the Personal Care portfolio. We grew about 20% this quarter. So were they price action driven? And how should we look at that for the rest of the year?

Sanjay Agarwal: So there has been some price action also there in -- means the price increase which had taken place are still there in this quarter. But as Jyothy mentioned earlier, the brand -- the original green Margo soap has done well, and that has been the prime driver for the growth.

Moderator: We have our next question from the line of Piyush Khandelwal from Bank of India Mutual Fund . Please go ahead.

We are not able to hear you clearly, please use your handset mode.

Piyush Khandelwal : Yes, I just wanted to understand that you mentioned in the presentation that LUPs are getting more acceptance in rural market. What was the contribution, let's say, in FY '23 in overall volume terms, if you can just broadly highlight that. And let's say, what was it 2, 3 years back?

Sanjay Agarwal: So sir, it has been in the range of around 25% to 30%, and that's doing great, I mean in the rural markets. So that's the range of around 25% to 30%.

Piyush Khandelwal: And it was same in, let's say, 2 to 3 years back, the contribution was same?

Sanjay Agarwal: It was marginally lesser.

Piyush Khandelwal: Got it. And sir, I just wanted to ask more on this distribution side. So right now, you reach around 2.8 million outlets: out of that, around 1.1 million, 1.2 million outlet direct reach. If I look at, let's say, other FMCG majors, all of them reached somewhere around -- I mean, upwards of 5 million to 6 million outlets. This is total GT reach including both direct and indirect. So I mean, just wanted to understand what would be your universe where you can potentially reach, including both direct and indirect over, let's say, next couple of years? Just wanted to understand

the universe for your category.

Sanjay Agarwal: The universe is large as you know. But the growing or reaching to that large number by adding manpower and aided by technology, that is one part of it. But then also the other part, which is

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media investment, everything has to go hand in hand. So we have to invest behind the brand, have our manufacturing capabilities, supply chain, everything has to go hand in hand, and this is what currently we are working so that whatever aspirations we have on our growth are fulfilled from all the sides.

Piyush Khandelwal: All right. So I mean that kind of potential is there for you as well? I mean maybe 5 million, 6 million outlets or more.

re. ..

Sanjay Agarwal: I can't hear you, sir.

Piyush Khandelwal: What I'm trying to understand that the potential is, let's say, same for you guys, which other FMCG majors are reaching, maybe about 5 million to 6 million outlets.

Sanjay Agarwal: Definitely, we will aim to grow to larger numbers from where we are, but difficult for me to give you a number. Internally, as there are targets for the sales team and for our business teams to drive that, but we will reach based on the investments we make. We have to invest behind all the channels or all the business lines.

Piyush Khandelwal: All right. All right. And out of this, let's say, 2.8 million outlets, this is, let's say, uniformly distributed across the category or some categories are underpenetrated within this 2.8 million, some categories are over-indexed.

Sanjay Agarwal: The 2.8 is Ujala Supreme that is available in 2.8 million outlets. So different brands will be at different touch points.

Moderator: We have a next question from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Congratulations. Sir, I have a few questions. If I refer the commentary from the market leader, there was a lot of word around competition. However, in discussions so far, nothing you have said about competition. Generally, my understanding is that when the raw material inflation subsides, the regional and local competition comes back. So I just wanted to have 2 questions on the Detergent part of the business. Have you taken any price cuts, and do you really see a competition angle in the southern markets where we are strong?

M R Jyothy: Sir, competition will always be there and we don't only want to look at competition. We've been growing handsomely in all the segments that we are present and we'll -- our aim is to continue that while there were competition even in the past. But our focus is on ourselves, it's to grow our brands and whatever it takes, how the market behaves, we will also have strategies to fight that. So for us right now, our strategy has been doing -- giving us result and we'll continue to focus on that only.

Shirish Pardeshi: That's helpful. But have you taken any pricing action towards downside?

M R Jyothy: Yes, it's a mix kind of a thing. Yes, in some. And yes, so it's a mixed thing, not in all.

Shirish Pardeshi: Okay. That's helpful. Would you comment the specific growth in Henko versus Mr. White and other part of the business, say...

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M R Jyothy: No, we wouldn't want to give that separately.

Shirish Pardeshi: No, I'm saying within these 3 brands because these are more dominant except Mr. White, which part of the segment is growing faster. That's what I wanted to check. I mean you have...

M R Jyothy: For us, it's a completely new canvas for us, all of our brands are firing.

Shirish Pardeshi: Okay. Okay. My second question on Margo. Historically, we are very strong brand in the Eastern part, and now I'm saying we have made an attempt to get into the northern belt, and we are also seeing that there is a variation. So is that we are losing the ayurvedic properties and trying to get a mass end of the Margo? I mean I wanted to understand what is the strategy we want to deploy in Margo because some time back, we also had the hand wash and we tried to get into the further segmentation in the Margo.

M R Jyothy: See, in Margo, our original neem which is the original soap that has been doing well for us. And it's not an ayurvedic soap, it's a herbal soap or a natural soap in that sense because it's -- the main ingredient there is neem. We have never said that we are an ayurvedic soap, so that is one. Second is the varianting is more premium varianting. It's not a mass varianting, so the 3 new variants are premiumly priced compared to the original neem. And because it is from Margo -- the house of Margo, each

of those variants carry the name signature. And yes, that's more to appeal to the younger audience. So that's the thing the Margo loyalists have always been there. They have appreciated the soap and they continue to do so. And yes, for us, we have grown other than east as well, and we would want to have a national footprint on that brand.

Shirish Pardeshi: Okay. Specifically on HI, we have made a lot of attempts to get the liquid and the placement of the product. What is the contribution in quarter 1 between say, Coil versus Liquids or Coil versus non-coil?

Sanjay Agarwal: So it's around 60 -40, 60% is Coil and 40% is Liquids.

Moderator: We have a next question from the line of Senthil Manikandan from iThoughtPMS. Mr. Senthil Manikandan, please go ahead with your question. Since there is no response, we'll move onto the next question from the line of Abhijeet Kundu from Antique Stockbroking.

Abhijeet Kundu: Congrats on a great set of numbers. I had 2 questions. One was, there has been some correction, very recent correction that has been seen in soda ash as well which has an impact on your Fabric Care business. So have you seen any benefit of that coming in because this quarter still, you would be having older stock and it could come in the next quarter, I mean, in the quarters ahead.

So what is the reading on that?

Sanjay Agarwal: Yes, Abhijeet, these prices are volatile And, you'll see them going up and down. So with the prices, as you're mentioning, yes, there's been some slight correction of fabric care also. So we'll see the benefit in the next 2 to 3 months, depending on the stock levels that we have.

Abhijeet Kundu: And my second question was on dishwash business. So that is a business which was earlier going in mid -teens on a very consistent basis. Now though it has grown by 11%, which is a decent

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growth. But aspirationally, you would be looking at 13% to 15% growth, right? I mean what is the overall view there? And what would go into it to drive that kind of...

Sanjay Agarwal: Abhijeet, I missed the first part of it. Which category did you mention?

Abhijeet Kundu: Dishwash, dishwash.

Sanjay Agarwal: Okay. Okay. Could you just repeat again?

Abhijeet Kundu: So I said that Dishwash new -- earlier, we were going at a very strong rate. So the -- now also, we have grown at a healthy rate of 11%, but this is a category where the penetration levels relatively are still lower. And so what would be your acceleration of growth? And because this should grow at about 13% to 15%. it is one of your most important categories other than Fabric Care. So what is our aspiration targeted growth there in dishwash? And what are the initiatives that you are taking to drive growth?

M R Jyothy: Yes. So both our brands Exo and Pril has done well for us, and we have also increased the market share there. And our aim is definitely to grow in double digits, which will remain. Continuous distribution efforts are also happening at the same time. So all of these efforts are there. So yes, that is continue while rural and your small SKUs and all of that will contribute even in the future. Our eyes are on the ball in that .

Abhijeet Kundu: Okay. Has there been any -- generally, any moderation in Dishwash as a category? I mean has that happened in the last say, 2 years when we look at pre -COVID level versus now?

M R Jyothy: So yes, COVID time, definitely it had spiked up. I think most of them sitting at home and making new recipes and cleaning it definitely had spiked up the usage of Dishwash. But for us, we got new consumers as well, they have tried our brands, they've stuck to us, and we see the benefits of that coming even now. And we have a lot of marketing activities and a few other plans already in place to see that category delivers continuously for us.

Moderator: We have our next question from

the line of Amish Thakkar from Siguler Guff India Advisor.

Amish Thakkar: Congratulations on the...

Moderator: Sir, please use your handset.

Amish Thakkar: Yes. Congratulations to the entire team on excellent set of numbers. I just want to understand, within your direct distribution of 1.1 million outlets, is there any coverage of pharmacy as a channel, especially for Household Insecticide, I don't know what is the salience for competition and category as a whole? And even you have within Personal Care, you have very small contribution coming from toothpaste and deodorants have been from Neem Active and Fa, is that a channel that you focused on historically and any thoughts going forward?

M R Jyothy: So as of now, our pharmacy contribution is very less. It's largely the Kirana and General stores that we are focused on. While in future, yes, while we have very small contribution, but we would be increasing that as and when we have other launches as well.

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Amish Thakkar: Any other launches that could be relevant to that channel, anything in the pipeline?

M R Jyothy: No comments on that. Yes, as, and when those things will happen, we will definitely explore that channel more than what it is right now.

Amish Thakkar: Sure. And we've seen a lot of action happening from some of the larger competitors acquiring smaller D2C brands now that may not be relevant for Fabric Care and Dishwash for you where there are -- there is the sales in the e-commerce and D2C is very small. But within Personal Care have you seen any acquisition opportunities going back to the capital allocation policy of the company. Is there any area where you evaluated any D2C brands? Or is that a focus going forward?

Sanjay Agarwal: Yes. So nothing specific on the cards for now. Something right opportunity comes in; we will definitely evaluate.

Moderator: We have our next question from the line of Senthil Manikandan from iThoughtPMS.

Senthil Manikandan: Congrats to the entire team for the good set of numbers. My first question is with respect to the distribution. So last year, in the annual report also mentioned, they've grown by around 10%, right, around 100,000 units of outlets. So can you give some color in which part of the region we are growing on the higher rate or it's across pan India? That's my first question.

M R Jyothy: Yes, yes. So the distribution, we are concentrating on an all-India basis, and we are expanding across all the zones.

Senthil Manikandan: Okay. And second related question is that what could be the potential to expand the distribution over the next, say, 2, 3 years? I think even in the morning in the AGM, you mentioned that the goal is to focus on execution and scale up the business. So from 1.1 million outlets, let's say, like 3, 5 years down the line, what could be the aspirations and sales for the business?

M R Jyothy: See, we have big aspirations right now. We won't put any number to it. But yes, we've been growing -- the last few years, our distribution has been growing steadily. We would continue to do that. And you will see a few additions coming in that way.

Senthil Manikandan: And just on the innovation side, since we have a strong balance sheet now, in which categories -- will we be focusing higher on any particular categories?

M R Jyothy: No, as in, we have innovations lined up across the categories that we are present. But we'll be launching it, we'll be concentrating on that as and when the opportunity comes, and it will always be backed by investments. So hence, we'll pick and choose which category we would want to push forward.

Senthil Manikandan: Okay. Just the last question is on the Fabric Care side. So we have mentioned that you have like 20% market share in the Ujala detergent in Kerala. So next 2, 3 years, if you can give some color on expansion into other

states?

M R Jyothy: Yes, we will be. We will evaluate the market, the brand Ujala is strong. But if you see in the country, our country is more of a mass powder consumption market. There are a few states where

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the premium price also does well. So we will evaluate that, and we will launch it when the opportunity comes there.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you, sir.

Sanjay Agarwal: Thank you all for attending this call, and I hope we have answered most of your questions and queries. If you still have any further queries, you can reach out to us. We would be happy to address them all. And thank you Karan and the team at ISEC for organizing this conference call.

Thank you once again.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

November 10, 2023

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400023
BSE Code: 532926
National Stock Exchange of India Limited
Exchange Plaza, Bandra – Kurla
Complex, Bandra (E),
Mumbai - 400051
Scrip Code: JYOTHYLAB

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended September 30, 2023

Pursuant to Regulation 30(6) read with Part A of Para A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, Transcript of the earnings conference call held on Tuesday, November 7, 2023 for analyst/ investors to discuss the Un-audited Financial Results for the quarter and half year ended September 30, 2023 and the way forward, is enclosed.

Further, the aforesaid information is also available on the website of the Company at www.jyothy labs.com .

Kindly take the same on your record and display the same on website of the Stock Exchange.

Thanking you,
Yours faithfully,

For Jyothy Labs Limited

Shreyas Trivedi
Head – Legal & Company Secretary

Encl.: As above

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TRIVEDI
Date: 2023.11.10 10:28:42 +05'30'

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“Jyothy Labs Limited Q2 FY24 Earnings Conference
Call”

November 07, 2023

MANAGEMENT : MS. M. R. JYOTHY – MANAGING DIRECTOR , JYOTHY LABS LIMITED
MR. SANJAY AGARWAL - CFO, JYOTHY LABS LIMITED

MODERATOR : MR. KARAN BHUWANIA – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Jyothy Labs Q2 FY24 Conference Call hosted by ICICI Securities.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now like to hand the conference over to Mr. Karan Bhunia from ICICI Securities. Thank you and over to you, sir.

Karan Bhunia : Hi, good evening everyone. It is our pleasure at ISEC to host Q2 FY24 Earnings Call for Jyothy Labs. From the management, today we have, Ms. M. R. Jyothy - Managing Director and Mr. Sanjay Agarwal - Chief Financial Officer.

I would like to hand over the call to the management team for their opening remarks post which we can open for Q&A. Thank you.

Sanjay Agarwal : Thank you, Karan and good afternoon, friends. I welcome you all to the Conference Call of Jyothy Labs to discuss the financial performance for the quarter ended September 30th, 2023. Our results and our investor presentations are available on our website as well as we have shared it with the stock exchanges. I hope you all had a chance to look at it.

To summarize our Results :

On the business environment front, we have observed stable growth across all channels for our product portfolio. The key input prices have been normalizing over previous year. However, there is an increased competitive intensity to drive volume growth and therefore to sustain our growth, we stay focused on our brand investment, our A & P spend for this quarter is up by 36%. We are focusing on our product innovation and geographical expansion. This is reflected in our overall performance in the revenue growth of 11% plus for this quarter, which is 9% volume growth and 2% value growth as well as our profitability metrics have further enhanced, i.e., the EBITDA at 18.5% for the quarter and our net profit is at Rs. 104 crores, up by 59%.

As our results demonstrate that we are stronger than ever and we have delivered now consistent double-digit growth, topline growth for this quarter as well as if we look at it even on a two-year and a three-year CAGR basis. What we have done is we have leveraged our expanded distribution platform of direct reach of 1.1 million outlets which are growing which has helped us in mitigating the slowing consumption environment by focusing on sales of our existing product portfolio in newer geographies, higher BTL activities and focusing on relevant SKUs for each market. We have seen market share growth across the portfolio which is backed by our overall agile business operations and we will continue this journey to build further scale by focusing on execution across all business parameters with a healthy balance sheet and cash

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balance of Rs. 440 crores as at September 30th and net working capital days of 5 days. This will help us or enable us to be more agile in our operations and we will aim for a consistent healthy revenue and profitability growth for the future.

In terms of the category performance :

Fabric Care is doing well. We had a double-digit growth at 10.6% for this quarter. We are seeing segment; this segment has seen improvement across all our brands. We are focusing on both value offerings and detergents as well as on the premium portfolio of our liquid detergents and our strategy is to build scale across category. In specific, in our Fabric Care portfolio, Ujala Supreme, the ATL campaign featuring superstar, Taapsee Pannu is aired across key markets and we are also using digital medium to increase more usage awareness and it is here

helping us

continuously grow the brand.

In Ujala Detergent Powder :

Ujala IDD, we are continuing to push on driving liquid detergents across the southern market.

Similarly, in Henko, part of our Fabric Care portfolio, our media campaigns may have looked at them featuring superstar Kajal Aggarwal and focusing on BTL activities. Both of these things are helping driving a higher consumer engagement and visibility, which has led to a healthy growth of the brand. In addition, we continue to drive distribution aimed at increasing presence in the mass category of our detergent powder segment with Mr. White and More Light as well.

Moving on to Dish Wash category :

Again here the sales have increased by 10% for the quarter. The growth is backed by both our brands Exo and Pail and in both the brands, our strategy is to focus on LUP's which has helped us in onboarding new consumers. Further, we are also focusing on consumers seeking larger packs in Dish wash liquid category, hence input together this is overall strengthening of brand equity and gaining market share. As well as to give more emphasis on our Exo brand, we have been investing across outdoor media like wall paintings and out of home apart from the conventional medium.

Moving on to the third category, which is Household Insecticide, our sales increased by 3.4% for this quarter and we are witnessing consistent recovery after a challenging last year. So we are focusing on innovation and a liquid vaporizer portfolio registered positive growth. We have launched a new campaign for Maxo Genius, featuring our new brand ambassador, superstar Kareena Kapoor. So subject to the seasonality issues, we hope to see or have a steady performance in HI.

Finally, our Personal Care segment increased by 22% for this quarter and our century old neem-based Margo portfolio soap that continues to be the consumer preference for its authenticity and we are building the brand with the aim to build a larger portfolio and the launch we had of Margo Jyothy Labs Limited

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Neem Naturals having three variants that is doing good. And in Margo, we have been increasing our brand investment across mediums and again here the campaign, which is featuring superstar, Rashmi Khanna propagating Margo as 'Ek Achhi Aadat,' a good habit that is also helping us to build a brand into a larger portfolio.

So, in summary :

We will continue to focus on volume led growth and achieve higher scale of business operations with the superior margin profile. We will continue to invest more towards strategic brand building exercise for all our brands, driving higher scale of direct distribution, which obviously takes time and resources. However, this is just critical source of our competitive advantage and barriers to entry. So as we have consistently delivered double-digit growth for the last few years and expanding our profitability matrices, our business model or mantra will be focusing on superior execution and therefore we will strive to build scale with relentless execution and gain market share. So as we move along for the next 2 quarters of this financial year, we will expect or we expect our sales growth trajectory to be double digit, primarily led by volume for the full year, which is FY23-24 and on the margin front with stable commodity prices, we should be able to hold on to our historical EBITDA margin of 16% to 17% on an annual basis.

So friends with this, I finished my opening remarks and we are happy to answer any questions or clarifications you may have. Thank you.

Moderator: Thank you, sir. We will now begin the question-and-answer session. The first question is from the line of Mr. Vishal Gutka from Phillip Capital. Please go ahead, sir.

Vishal Gutka : I have three questions, first is on substantial reduction working capital days, if you please explain what is

driving this, how sustainable it is, because the substantial reduction has happened from 20 plus days to 5 days now? Second question is on the Personal Care, margins have remained flat, despite very strong momentum and sharp price in PFAD prices, shall we expect this similar momentum to continue, margins still we are seeing uptick in second half given the commodity prices are corrected, I believe that it has happened in your high (Inaudible) 11.07? And third question specially about Jyothy madam, just wanted to understand more with regards to HI portfolio, the change of brand ambassador from Rajkumar Rao to Kareena Kapoor, if you can explain what has driven this and within HI losses more or less given the same level, despite uptake in the high margin liquid portfolio?

Sanjay Agarwal : There are many questions, I will attempt few of them and then maybe Jyothy will add on to your questions. So, house keeping questions on working capital, yes, we have been improving it with stringent of financial discipline. Our supply chain, everything has been on the toes to make sure that the operations become far more efficient. However, on a longer-term basis or a medium-term basis, there will be some volatility in the markets and everything. I would expect that, 10 to 12 days could be the working capital cycle on a normalized basis. Now, your second question

on the Personal Care, yes, the margins, this was a launch quarter for the new variants which we
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have introduced and hence the A&P spends have been higher in this particular quarter and as the palm oil prices stabilize or normalize we should see a recovery in the margins in this particular category. The third one is on your HI; the business is still to make EBIT profits. As we have explained in the past, our HI portfolio, now at the topline now it is only 6% -7% of our overall business, but coil business has not done that well and we are in the process of moving more towards the liquid side of it and we hope that things will improve from here on.

M. R. Jyothy : And on HI, yes, the brand ambassador has changed. One is the contract of Mr. Rajkumar Rao was coming to an end. We also wanted a female ambassador this time and more a celebrity who has a family, who has kids in their family, a mother is concerned for the health of the kids is more important and we have Kareena, who is well known in the country and we wanted her, and obviously all of you know that she is a mother of two kids, and we felt that will be better for the brand to convey why Maxo is a better choice. So that is the reason we have gone in for a change of brand ambassador.

Moderator : Thank you. The next question is from the line of Mr. Percy from IIFL Securities. Please go ahead.

Percy : My question is on the segment margin, this Fabric Care margin at 26%, it is very high, isn't it? I mean typically when we see such high margins it tends to attract competition, so just wanted to understand what is your plan, are you planning to cut prices and if so, what is the reason why it has still not happened like when the input costs were going down, we took quite a long time to take price increases also and now when it is going down, we are sort of a little late in taking price cuts also and also the second part on the segment margins is that with palm prices coming down, everyone in the soaps business, the other listed players are having huge amount of margin expansion and are making like 20% or so kind of margins on the soaps portfolio whereas we are at 10% only, so is there some huge amount of ad spend in this which is bringing down the margin or is there some other reason for that?

Sanjay Agarwal : On the Personal Care that I just explained to Vishal, yes, this being the launch quarter, so there has been higher level of expenses or the A&A;

mp;P expenses. I think on a recurring basis you will find the margin should improve in the Personal Care category. So that should not be a concern and also on the Fabric Care, as you said that the margins have been good, it is also a function of scale at some point of time because our portfolio has been growing double digit on a consistent basis, it thus gives us a higher operating leverage and we have also taken some price cuts both in the Detergents and in the Personal Care, which is soaps category and so that will definitely be as time passes by, the impact will start coming through in the next few quarters.

Percy : And finally on margins, I am looking at slightly longer term here, not next couple of quarters, but let us say over a 3-year period, where do you see the EBITDA margins of your company stabilizing, assuming stable input cost scenario, do you think like most of the FMCG companies are close to around that 20% mark, so do you think that we would be going towards that number or do you think that thought process itself is wrong because your product mix is different or

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because you have different priorities, etc., any kind of thoughts you could share on this, not looking for exact guidance, but any sort of way of thinking about this question?

Sanjay Agarwal : Percy, structurally where our focus is more is towards building the volume growth and increasing the A&P spends. The byproduct of it definitely will be a healthy margin profile also, so that is how we would look at it from a medium to long term. I hope you know that has answered the way we are building the business.

Percy : As I said, you have a huge amount of input cost benefit, probably some of it will get passed through, etc., so do you think that the margins that we are doing now are sort of definitely on the higher end of the band and therefore I mean even on a 2-3 year basis, what you have done this quarter, that number sort of would not be exceeded or do you think that is not necessary true?

Sanjay Agarwal : So Percy, it is difficult for me to give you a number, but if we are able to build a scale better as what we have been doing for the last few years, then definitely the healthy margin profile should improve from here on and as we have said, to increase the scale, we would not shy away from increasing A&P spends, which definitely has been more productive in our case. So we will do both, look at our margin profile to improve from here on and increase our A&P spends and in this process or whatever you are looking, the variable will always remain the input prices, so that is how we will have to look at both market share, margin expansion and at the same time increasing our A&P spends.

Percy : And last question on household insecticides, what are the sorts of parameters at which this business will become sort of breakeven business, is there a particular rupees million scale of turnover? Is there a particular percentage of liquid vaporizer as a part of the revenue? Can you give some kind of sort of ratio or parameter on which basically the breakeven will be achieved?

Sanjay Agarwal : So first, Percy, the HI category has to start doing well, we know the challenges which the category has been facing, so once those challenges are out of us, then yes, our mix needs to be more favorable towards liquid, which should be in the range of 50 %-60% and where we will definitely have our profitable operations in HI as well.

Moderator : Thank you. Your next question is from the line of Mr. Kaustubh from Sharekhan by BNP Paribas. Please go ahead.

Kaustubh : Sir, my question is on Personal Care category, this quarter, we have achieved a strong growth, so what led to this about 20% growth, have we gained any market share from some of the large players in this category?

M. R. Jyothy : So

one is the brand has done well on its own, one is the mix and then the distribution, these are the two contributions for the brand to do well. Our original name which is the basic soap that has done well that has also clocked double digits and our new introduction has also added to the overall growth.

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Kaustubh : Is the contribution of new introduction substantial to the growth?

M. R. Jyothy : No, it is only new. That is why I said the original, the base variant itself is doing well and that itself has clocked double-digit growth. This has added to it. That is all.

Kaustubh : So should we expect this kind of growth momentum to sustain?

M. R. Jyothy : I can't say that, but yes, we want to do well and we will continue our efforts and focus on distribution and brand investment hopefully that should continue then.

Kaustubh : And Sanjay sir, in your initial comment, you mentioned that you have seen competition intensifying in some of the categories, so can you elaborate in which categories where you are seeing competition increasing and what kind of steps are you taking?

Sanjay Agarwal : The operating environment is what it is and there will be competition or there has always been competition and in an environment where we are seeing some challenges from the rural market or from volume growth being a constraint, the challenges are there in all the categories, HI, in our specific case has different challenges, but other than that the rest all are large categories, there are many players and we will have to work in each market differently and that is what we are doing.

Moderator : Thank you. The next question is from the line of Mr. Umang Shah from Banyan Tree Advisors PMS. Please go ahead, sir.

Umang Shah : Sir, first question was, have you taken any price cuts in the last 3 months in any of our products?

Sanjay Agarwal : There have been price cuts, as I just mentioned, in the Detergents and in the Personal Care portfolio and those are more in line with what the competition is and also sometimes it is on a wait and watch approach because the crude prices when you are doing Q1 quarter was that say around \$75, now it is running at around \$90, so it will be a function of how the normal prices are and the competition actions, but yes, we have taken some price cuts in the last few months and we will have to wait and watch how we do it in the next few months as well.

Umang Shah : And could you give a rough range for the same?

Sanjay Agarwal : No, sir, it was difficult to put the number.

Umang Shah : The second question was, how has been market response to Exo Gel and how successful have you been in expanding both Exo's and Pril's distribution?

M. R. Jyothy : So Exo Gel is right now only in Kerala and we are still testing in the market and there are few learnings which are there and that will go as per the thing and Exo and Pril both in terms of

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distribution and different package sizes, all of those things are happening and both of the brands are growing at double digits, so that is doing well.

Umang Shah : And one last question was, what percentage of our Detergents would be Henko?

Sanjay Agarwal : It is a good business; we don't give any specific brand numbers.

Umang Shah : Not a problem and just one part to it was that in terms of Henko, you have a brand ambassador who is Kajal Aggarwal, who I would not say the Pan India recognizable person, right, while in case of Maxo, you have someone like Kareena Kapoor who is a Pan India brand ambassador, but the product that you have is in certain states, right, so like, how do you explain this difference between the two?

M. R. Jyothy : I think you are wrong on Kajal Aggarwal; I think it is the South and the North markets, I think

she has done a couple of Bol

lywood movies as well. She is also well known in the South. So she is known in the country and on Maxo, yes, for us the market is majorly North, West and East and so the right person is on the brand.

Moderator : Thank you. The next question is from the line of Ms . Rucheeta Kadge from iWealth. Please go ahead , ma'am.

Rucheeta Kadge : My question was mainly related to the raw material , so just wanted to understand how much is the crude linked raw material basically as a percentage of your whole raw material?

Sanjay Agarwal : So crude and crude derivatives would be around 40% of our total purchase.

Rucheeta Kadge : And right now, sir, as the prices are inching up, how do we see our gross margins going ahead like have we hedged this or how we feel exactly?

Sanjay Agarwal : We will have some, it is a constant challenge where the prices , if they are going up, then we will have to take corresponding actions, but as we stand today as I mentioned earlier, there has been some price cuts, which have been done and if required we will react accordingly , from the levels of crude, if it again moves up.

Rucheeta Kadge : So the reason I am asking it is that we have given like kind of rough guidance of around 16 % to 17%, so as of today, where do we stand like? Do we feel we can still achieve it even if the crude prices inch at \$89-\$90?

Sanjay Agarwal : At current levels, we believe that for the full year, our margins could be in the range of 16 % to 17% with the current level of crude prices .

Rucheeta Kadge : And sir, just to understand on a longer -term perspective , is the 15% to 16% margin fair to assume?

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Sanjay Agarwal : Ma'am, for now we are looking at it from this year's perspective and as I mentioned earlier to somebody else question , our focus will be more on volume growth and increasing our A &P spends and also keeping an eye on improving our margin profile as well.

Moderator : Thank you. The next question is from the line of Mr. Harit Kapoor from Investec India. Please go ahead , sir.

Harit Kapoor : I just had two questions , the first was on Fabric Care, so there has been a comment about lower price detergents, regional players coming in both lower price detergents and dish wash bars and competitive intensity sharply increasing there , I was just wondering how you have seen it in the marketplace and what kind of actions that you had to undertake to take care of that?

M. R. Jyothy : Harit, yes, you are right , there has been a lot of intensity both from local, regional players and also some competition. I mean that has always been there , now it is a little more intense , but we are focused on our brands , we are focused on our distribution and our brand spends and we are tackling geography each with different strategies and that has worked for us so far.

Harit Kapoor : And the context was really , is there a risk to the gross margins that we have had done in the first half of the year or you have already seen this, you have dealt with it and if you are dealing with it and would you still deliver this kind of margin, is that the way to think about it?

M. R. Jyothy : See, we will have to be proactive and take actions as and when required depending on how the scenario is and if that has an impact that will have an impact . We need to grow our brands, the intent is to grow our market share , the intent is to grow the brand and if that helps temporarily, then maybe that will take small this thing , but our aim long term is to grow the brands and whatever it takes to grow the brands , we will do it.

Harit Kapoor : The second question is on innovation , now you have fairly good amount of gross margin tailwind as well in the business , so I was just wondering, whether the next say 6 to 12 months or even beyond you start to see a higher kind of innovation intensity in the

portfolio and if yes, then

which parts of it do you think will get the most momentum?

M. R. Jyothy : It seems like at a stage where for us every category that we are present is important and we have projects and innovation pipelines for each of our categories lined up . As and when we feel the market is ready and we are ready to invest behind those innovations , we will be investing behind those innovations as well.

Harit Kapoor : My question is only from the context that you have more money to spend really from a PR perspective now , so whether some of those initiatives get up fronted or they were already in the pipeline, you couldn't do it , now you can just that was my question ?

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M. R. Jyothy : Yes, it is there. So right this year, we have chosen Margo and the variants to be focused and like that, we will be taking as and when required , we will be doing that. So things are there in the

pipeline and we will be doing it.

Moderator : Thank you. The next question is from the line of Mr. Harsh Shah from Incred Capital Financial Services Private Limited. Please go ahead.

Harsh Shah : I had two questions , first basically , just trying to understand the growth of Fabric Care segment , so how divergent are the growth between the mass brands like Mr. White and More Light compared to the overall growth which you have reported for the Fabric Care segment, I am just trying to appreciate the kind of work which you have done behind Mr. White and More Light ?

Sanjay Agarwal : So all of them have done well and as you know; the whole category has done double digit. So everything is in line with what our expectations are.

Harsh Shah : No, but not looking for an exact number Sanjay , but just that, let us say, the 10% is the growth which is clocked for Fabric Care, then what would be the growth for the value brand within this segment? Will it be ballpark, I am assuming that it will be much higher compared to that, right?

Sanjay Agarwal : Yes, correct , so all the brands have done in the same ballpark rate what of the double digit .

Harsh Shah : And second question is basically on the margins , fundamentally when we look at the business over longer time, right, our HI share of overall revenue has come down from let us say mid-teens to now high single digit, right, and that itself should be an EBITDA margin, right , because when I look at our guidance of 16 % to 17%, I think that is probably there is some scope itself to kind of exceed those levels given the kind of change in mix in our business ?

Sanjay Agarwal : Yes, so that is a fact and we know the challenges which are there in the category and as Jyothy mentioned and we have done, we are trying to do incremental effort on our LV business, so that it grows and we work towards the profitability.

Harsh Shah : No, my question was more from the overall EBITDA margin perspective, right, even let us say 5 years back when the share of HI was in mid-teens , we were in the 16 %-17% ballpark EBITDA margin range and now that the share of HI has come down to high single digit of overall business , that fundamentally because HI is kind of a loss making business for us fundamentally itself the margin trajectory should go up for us, right ?

Sanjay Agarwal : Yes, Harsh, you have to look at each business categories and if you look at it overall, our A&P spends have gone up. So yes, the overall business has given us a higher absolute profit and one of the businesses, yes, making lesser margins or negative margins and we are compensating on a portfolio basis.

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Harsh Shah : So the structural thing here is basically to invest behind brands to get more volume growth for whatever benefits you are getting right and to hold onto those levels of margins ?

Sanjay Agarwal : Yes, that is right

Harsh Shah : And the third , last question is basically now we have close to Rs. 450 odd crores of cash on our books, right, so how do we kind of intend to use that maybe probably, returning to shareholders, will the dividend policy continue to remain same or are we looking at acquiring something, I mean your comments on that?

Sanjay Agarwal : So nothing new , we will keep our capital allocation strategy same and we will be conserving the current cash and the future cash for our future growth initiative which could include inorganic opportunities at the right time.

Harsh Shah : But if basically within inorganic, if I could just pick your brain basically would we more look at B2C kind of company or more like a traditional brand basically established with positive margins etc., what basically is the thought process here of the management ?

Sanjay Agarwal : Sorry Shah, it is too early to comment on that. It will depend on what opportunity comes in and how it fits into our overall portfolio, so that is where , we are open for everything and we will see, time will tell what we will be able to do and it has to make sense. It is just not to be done only for making usage of cash. It has to actually add value to our overall portfolio.

Moderator : Thank you. The next question is from the line of Mr. Amit Purohit from Elara Capital India Private Limited. Please go ahead, sir.

Amit Purohit : Just wanted to know on Crisp & Shine , Henko Liquid and Ujala Liquid, all these put together would be what portion of the total Fabric Care, just indicative would be low single digit or mid-single digit and the acceptance of among these, what is the acceptance beyond South market from consumer perspective?

Sanjay Agarwal : So I think all the liquid portfolio is doing well, Crisp & Shine, Henko Liquid and Ujala, all of them are growing well as per our expectations and it is difficult to give a specific number, all we can say is that we are investing in all the three brands, the subcategories you mentioned and they all are doing well and we are very optimistic on the future growth for each of these brands which you mentioned.

Amit Purohit : And this is beyond South as well, right?

Sanjay Agarwal : Yes, that is right.

Amit Purohit : And any channel specific, which is doing well, maybe modern trade or e-commerce where the salience

is higher for these kinds of products or you are saying across GT also you are seeing the growth ?
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Sanjay Agarwal : Yes, obviously , liquid portfolio will be doing much better more in the urban cities and metros and modern trade and e-commerce and that is where the target market is there , GT also is available. So it is going well in all the categories and the numbers are very small at this point of time.

Amit Purohit : And in terms of pricing action that you have taken, what is the timeline in which we have taken some pricing action that you indicated on the Detergent portfolio ?

Sanjay Agarwal : It is a moving thing, so there will be some few things, few SKUs, something would have been taken to 3 months back, some would be as we speak things are getting done , so it is a constant thing because the pricing or the normal prices have also come off after long time and we have to be in line with the competition and the best value to the consumers.

Amit Purohit : And lastly, on the ad spends, you indicated that you would continue to invest behind brands , so is there any specific number that you want to reach out to say maybe 9 %-10% or 8 %-9%, any range that you are looking or you will take it as it comes?

Sanjay Agarwal : Yes, they will be more as time passes by.

Moderator : Thank you. The next question is from the line of Mr. Vishal Punmiya from Yes Securities. Please go ahead , sir.

Vishal Punmiya : I actually had a question on the distribution , if I look at the

4-year CAGR for all your categories

except HI, we have had kind of very similar growth of around 13% across Fabric Care, Dish Wash and Personal Care and we did mentioned that one of the key drivers have been geographical expansion , so if you could share some insight in terms of the quality of distribution expansion ? Are these totally new markets or are these markets where we were present at a smaller level and now we are basically coming up with the entire portfolio in those markets , any insights would be really helpful ? And also if you could share your internal targets or the numeric distribution target that you aim to achieve in the next couple of years in terms of total distribution and also your direct reach numbers that would also be very helpful ?

M. R. Jyothy : So last 3 -4 years, we have been consistently adding outlets and that addition is across the country , no specific geography as such for us, we need to grow all across Pan India and right now , we have reached at 1.1 million outlets in direct reach and direct reach put together at 2.8 million outlets. We don't share targets, sir, but we are on our journey to keep increasing outlets year-on-year.

Vishal Punmiya : So looking at the current total reach versus what the industry reach is, there is a long way ahead , so I would assume that this would keep on going at a fairly high for at least for the next 4-5 years, right?

M. R. Jyothy : Yes, we have to continue our distribution and that will be one of our focus areas.

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Moderator : Thank you. Ladies and gentlemen, that was the last question for this session. I would now like to hand the conference over to the management for closing comments.

Sanjay Agarwal : So thank you all for taking the call and I hope we have answered most of your questions and your queries . If you still have any further queries, please reach out to us , we will be happy to address all of them. Wishing all the participants Happy Diwali and all of you have a joyous celebration with your family, friends and colleagues . Thank you, Karan and team at I SEC for organizing this conference call. Thank you very much once again.

Moderator : Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

February 3, 2024

To,

,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 023
BSE Code: 532926
National Stock Exchange of India Limited
Exchange Plaza, Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip Code: JYOTHYLAB

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended December 31, 2023

Pursuant to Regulation 30(6) read with Part A of Para A of Schedule I II of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, Transcript of the earnings conference call held on Wednesday, January 31, 2024 for analyst/ investors to discuss the Un-audited Financial Results for the quarter and nine months ended December 31, 2023 and the way forward, is enclosed.

Further, the aforesaid information is also available on the website of the Company at www.jyothy labs.com.

Kindly take the same on your record and display the same on website of the Stock Exchange.

Thanking you,

Yours faithfully,

For Jyothy Labs Limited

Shreyas Trivedi
Head – Legal & Company Secretary

Encl.: As above
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“Jyothy Labs Limited
Q3 FY'24 Earnings Conference Call ”
January 31, 2024

MANAGEMENT : M S. M.R. JYOTHY – MANAGING DIRECTOR – JYOTHY
LABS LIMITED
M R. SANJAY AGARWAL – CHIEF FINANCIAL OFFICER
– JYOTHY LABS LIMITED

MODERATOR : M R. MANOJ MENON – ICICI SECURITIES

Jyothy Labs Limited
January 31, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Jyothy Labs Q3 F Y '24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.

Manoj Menon: Hi, everyone. As always, it's our absolute pleasure to host the management of Jyothy Laboratories for the -- for this conference call. Over to management for the opening remarks and the presentation and post which we'll open the floor for Q&A. Over to you, sir.

Sanjay Agarwal: Thank you, Manoj, and good afternoon, everyone. We welcome you to the conference call of Jyothy Labs to discuss the financial performance for this quarter ended March 31st, 2023. I'm sure the results and the investor presentation, which are available on the stock exchange and also on our website, you all may have had a chance to look at it.

So on the business environment front, overall demand environment has been mixed due to high inflation, consumer spend has been reduced thereby driving significant competitive intensity and resulting in more focus towards volume growth.

The demand recovery at the rural India is yet to pick up the momentum. Input prices have eased off from the peak levels. And consequently, there is a higher savings invested in higher A&P spend, which is driving higher competitiveness.

In the midst of all of this, we have sustained our growth momentum, with our net sales up by 10.6% value growth. Volume growth is 11%, while some minor price cuts across the portfolio.

So the net value growth is 10.6%, with a volume growth 11%. EBITDA margin stand at 17.5% at INR118.6 crores, which is up by 40.6%. And net profit for the quarter is at INR90.0 crores, up by 34.9% for the quarter.

We continue to strengthen our franchise with regular investment in all the growth initiatives, which we have identified, which is towards strategic brand building, increasing our direct distribution and also manufacturing capacity augmentation. And this obviously is supported with our focused execution, which has resulted in double-digit revenue growth for this quarter and as well as on the 2-year and 3-year CAGR basis.

If you look at it, we're in a unique position with our product portfolio, having the offering for all the channels, which helps us in actually capturing growth through both premiumization and sales of low-unit packs.

As I mentioned earlier, the input prices have normalized, which has helped us in sustaining the margins. In spite of our higher level of A&P spend, which we have done, which has also helped us in growing market share across our portfolio. And we continuously invest behind our digital

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and ESG initiatives for sustained and a responsible growth. So overall, we are committed to build higher scale of operation with a superior margin profile and having a healthy cash position. Moving on to the key categories performance. Fabric Care sales have increased by 11.9% for this quarter. The segment, as you all know, we have post wash and main wash brands, both have had healthy growth across. And our focus on -- I mean in addition to all the other brands, which we have, focus is also on growing the fast-growing liquid detergent category, which has also witnessed good results.

Also, our detergent powders have witnessed good demand, and we have been doing a lot of targeted consumer activations along with digital activities to build a str

ong Fabric Care portfolio.

In Dish wash, our sales have increased by 6.7% for this quarter in spite of all the market challenges. The growth is driven by initiatives we have undertaken towards strengthening the brands and making it more future-ready. Focus continues to drive LUPs, which enable us or which is enabling us a wider consumer recruitment.

In addition, OFOs and e-commerce are also supporting the offtake of premium SKUs, and we'll continue to invest in the media with specific emphasis on few high-impact properties, which will help us in accelerating the sales on a pan-India basis.

In Household Insecticide category, our sales increased by 5.4% for this quarter. As you all know, the category, we've been highlighting in the past as well, has been facing headwinds. We are focusing on the liquid format, and driving our brand communication, highlighting the automatic feature of the machine, which is unique in the category. For Q4, we remain positive, which is seasonally the large quarter for the HI business.

Finally, our Personal Care segment, our sales have increased by 22.3%. Our neem based Margo portfolio soaps, along with the new variants of rose, lemon, jasmine, they all have got good acceptance with the consumer, and we'll continue to focus on brand investments across medium, along with focus on distribution for the Personal Care segment.

So in summary, if we want to analyze what has stood out for us, three key initiatives.

First is the distribution. We have been investing in expansion of our distribution. We've increased our direct distribution with the aid of technology, which is helping us enhancing the productivity, and we are following a disciplined distribution approach there. So distribution efficiency has gone up in terms of number of SKUs which we are selling per retail outlet, productive calls, and therefore, we constantly drive for a higher scale of distribution. So that's the first area.

The second area is, in addition to the TV spends, media spends on TV, our incremental spend, we are focusing on several digital properties, out-of-home, van operations, newspaper ads for each brand to reach out to the end consumer. There are several on-ground activities undertaken. A few of them, we have highlighted in our presentation as well. So these all new initiatives have also given us good incremental results.

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Third, our NPDs are doing well. Case in example is our liquid detergent in Henko and Ujala. Similarly, our new launches of Margo variants have received good support. So all these strategic inputs or our focus is helping us keeping us closer to the consumer and ahead of the competition. And we'll continue our efforts in these areas and focus on the volume-led growth and achieve higher scale of business operation with a superior margin profile.

Also, we'll continue to invest through brand-building exercises for all our brands, as I mentioned, to build a higher scale of distribution and constantly increase productivity with the manufacturing capacity as well.

Going forward, as we know the challenges on the rural recovery, which is a big market, high inflation has impacted the consumers there, and it is a critical area to watch out for sustained category growth going forward.

We have consistently delivered double-digit growth -- revenue growth for the last 2 years and have expanded our profitability metrics. We'll keep focusing on execution, and expect our sales growth trajectory, as we have mentioned earlier, to be in the double digits, primarily led by volume for this full year of FY '23-'24.

Also on the margin front, with stable commodity prices, we should be able to hold for this year at our EBITDA margin level of 16% to 17% on an annualized basis.

With this, I finish my opening remarks. We are happy to answer any questions or clarification you all may have.

Thank you very much.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Vishal Gutka from PhillipCapital.

Vishal Gutka: Congratulation on excellent set of numbers. Double-digit volume growth is really, really, commendable. Just 1 question on the recent media articles Jyothy madam had highlighted that we are targeting a revenue base of INR5,000 crores. So I just wanted to get a few clarification, what kind of time frame you're looking?

Are you looking to expand from -- to few categories? And it was mentioned that will be more driven by Personal Care. If you can provide any color or any more insights on this will be really helpful.

M. R. Jyothy: Yes, that's the larger vision that we need to get there sooner. And that's an aspiration while we are working on how to make that happen. And like you know, we are in these 4 categories, and we have a lot of room to grow within our existing portfolio. And also, if need be, we will be adding a few categories in the future. So yes, INR5,000 crores, what I have mentioned is a very serious aspiration.

Vishal Gutka: Okay. Any time frame will be really helpful to -- 4 years, 5 years, what kind of time frame you're looking? I agree with an aspiration, but any time frame if you can provide?

M. R. Jyothy: Okay. Sooner the better, maybe 4 years.

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Moderator: The next question is from Percy line of from IIFL.

Percy: My first question is on M&A. What are your thoughts on M&A? Are you open to it? And if so, what are the guardrails or parameters under which you will make your decisions?

Sanjay Agarwal: So Percy, as you know, our organic business is doing well. And first, we would continuously focus much more on our organic business growth. And as Jyothy just mentioned, we have ample growth -- or scope in our existing categories in which we are present. Now on the M&A side of it, it obviously has to be in the same category of the business, which we understand, where we can utilize our existing distribution or manufacturing capacities and a business which we

understand well.

So these are the outline what we have that we have again mentioned so many times in the past as well, we would want to do it. We evaluate every deal, but we want to do the right one at the right time. So just wait and watch.

Percy: Okay. So you mentioned that it would be in existing categories. So when you say that, are you looking at a very broad definition of category like HPC? Or are you looking at only the subcategories that you are in? So for -- just for example, supposing if there is something available in a shampoo, would you be open to that? Or you would just want to focus on the existing categories that you are on?

Sanjay Agarwal: Yes, Percy, so what I wanted to say was in the -- all the categories of FMCG business.

Percy: Sorry Sanjay, and I didn't understand clearly.

Sanjay Agarwal: Yes, as you mentioned, whether it is shampoos or home and personal care, everything is open for us.

Percy: Okay. Okay. Understood. Secondly, I just wanted to understand what is the road map and path to profitability of HIC? This has been a question, which I guess has been asked to you since many, many years. And your response has been that we need to increase the share of vaporizers and that is the way we will sort of make money.

But beyond that, can you give some more clarity on what is required to move the needle now?

Because I'm sure it's been much longer than what you guys yourself would have expected in terms of breakeven on this category. So any kind of road maps, any kind of sort of time frames or milestones that we can monitor as investors for this?

Sanjay Agarwal: Yes. So Percy, see what is there in our hand is we have grown our other businesses at a much faster pace, and therefore, today, you see versus few years back, today

, this business is only 7%

of our top line. So therefore, the impact on us is much lesser from the top line perspective.

Now you know this category has got issues on seasonality, illegal incense sticks and so on and so forth, which is not too much in our hands. And we have -- as you mentioned, we have been focusing more on the liquid side of it. We have a new brand ambassador Kareena Kapoor on boarded last December quarter only. So we're making all our incremental efforts to make sure

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that what we have said and what we want to do where there is money to be made on the liquid side of it, we are focusing on that.

I think sometimes we need to be a bit more patient and we have some plans on HI as well. And we hope this is the only business which is marginally a bit negative. And as you said, yes, we would also want to make this category positive for us. So I think that's where some product innovation will help us, somewhere seasonality should help us.

And so we're making all those efforts to get to the profitability. I can't give you a time frame with it. But the electrical -- I mean, where we are moving towards -- more focus towards electric or liquid vaporizer and in the markets, which are east of India for us, where the government focus is also electrification or making affordable electricity for all of them, I think somewhere where we have very high market shares in Bihar, UP, Eastern UP, West Bengal, will also help us.

So we are hopeful and very positive and committed to make this category also positive.

Percy: And lastly, if I might be allowed on Fabric Care. If you can give some idea as to where the growth is coming? First of all, would I be right in assuming that on a Y-o-Y basis, the pricing is negative in Fabric Care, and therefore, your volume is even higher than the top line growth, that is a volume plus mix effect is what I'm talking about. So if that is the case, I mean, looking at low teens kind of volume growth in this category is really commendable and especially because it comes along with margin expansion as well.

So just wanted to understand, are there any new states where you were weak, where you are now sort of increasing your presence? Is that where the volume is coming from? Or is there any major out of the 3 or 4 brands, any brand which is ramping up much more than the others? Or what is really the contours of this growth is what I was looking at, not any exact numbers or anything, but just a flavor.

Sanjay Agarwal: Yes, Percy. Our post wash, which is Ujala Crisp & Shine and main -- Ujala Fabric Whitener, we have been focusing on increasing our volume share in some of the states where our volume share was low, which is on the Fabric Whitener. And that has done well. So I think that growth is positive, both on the Crisp & Shine and on Fabric Whitener. A lot of ground activations would have if you just flipped through our presentation, we have highlighted a lot of ground activations, which are helping that particular brand.

On the main wash, all the 3, 4 brands, which are Henko, Mr. White, MoreLight, Ujala detergent powder. There have been geographical expansion, like the Ujala detergent powder moving to

outside of Kerala. Henko, where the liquid detergent has been a good promising launch. There the growth is very much higher than the category growth. So these are incremental steps or additional things which are helping the entire Fabric Care category for us.

And we hope we can continue the momentum. And as you know, post-wash is a high margin, and therefore, it's also aiding us in the overall profitability for the Fabric Care category.

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Percy: Understood. Understood. And these other brands you had apart from Henko, more like Mr. White, etc, which you have started focusing on in the last couple of

years versus earlier the focus

was less, are they sort of growing in the states they were present historically or as a legacy? Or are you taking them to completely new states as well?

M. R. Jyothy: Yes, it is a mix of all of that. So both Mr. White and MoreLight, we have been expanding our geographies as well, also in terms of SKUs and geography expansion.

Moderator: The next question is from the line of Manoj Menon from ICICI Securities.

Manoj Menon: Quickly, a couple of questions from my side. One, Sanjay, on the ad spend, which has increased significantly, a lot of flow-through from GPs has gone in, is there a way to quantify to look at this and say that how much of this is, let's say, to maintain your share of voice to share of market?

And how much of this incremental is actually for NPDs and something for long term building new categories or segments?

M. R. Jyothy: So Manoj, we really don't want to comment on share of voice thing. What we want is, if you see our initial -- or if you see some years back, we were mostly TV-specific only. Now what we have done is we invest behind digital, television ads, print, outdoors, it's a mix of all of this.

And for us, yes, we have to back any new launch that happens. And we take a call depending on which market to prioritize and where it's been launched, we take a call on that as per our -- the budgets and investment planning that we have. But we don't so much look into share of voice.

We want to see whether we are able to reach our consumers better.

Manoj Menon: Understood, understood. One more thing on, the articulation of medium-term goals and targets, that's excellent, very few companies do that. Just if you could comment a little bit on the qualitative side of it, people side of it, process side of it, org structure, in this journey, have you started making some changes already? Or you think you're appropriately wired for these medium-term targets, which you have?

M. R. Jyothy: This medium-term targets, what do you have in mind, Manoj, if I can...

Manoj Menon: No, no, which you gave INR5,000 crores revenue and kind of as you grow size and scale and complexity, so just trying to understand the way the organization, which is structured currently, etcetera, is it appropriate? Or do you think you need to make some changes, which are probably already doing currently or something underway?

M. R. Jyothy: See, right now, I think we have the right resources with us. And with this itself, we are kind of confident that we'll be able to do it. As and when we require to change a little bit here and there, I think that's all what we'll have to do and this will be a combination of organic, inorganic possibly. So that's what we are aiming at. We'll see when it's the right time to add on, but the current structure, whether in terms of people, in terms of investment and everything else technology, all of that is engaged.

Moderator: The next question is from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas.

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Kaustubh Pawaskar: Congrats for good set of numbers. I have a couple of questions. First on Dish washing space, our growth this quarter came at around 7%. So are we facing any competition in this category?

And -- because of which the growth has been a little lower, or we are doing well compared to what the competition is doing?

M. R. Jyothy: See, yes. If you see, for us, the Dish wash segment has been the fastest growing, and we have reached a kind of scale and size there. But as we speak, you know that the rural markets are under a bit of stress.

And -- but we are still better off than the competition. We are better off than the most organized players. Yes, there are more competition in terms of local players and things like that, very, very local in terms of geography, in terms of district-wise you would see that right now. But as an

or

organized branded player, we are doing fairly fine.

Kaustubh Pawaskar: So once the demand, especially in the rural market improves, do you expect the growth in this

vertical to improve? Because earlier, we used to achieve low-double-digit kind of a growth in this category. So can we expect it to improve in coming years?

M. R. Jyothy: Yes. I mean, we would want to improve it, and there are a few plans and things already in place, which you will see. And yes, like you said, if that competition comes down, definitely -- and if the rural markets pick up, we do have a chance to do well.

Kaustubh Pawaskar: My second question is on the raw material prices. So for us have raw material prices now stabilized? Or there is a further scope of reduction in the prices going ahead?

Sanjay Agarwal: For the last few months, we haven't seen a spike on the key raw materials, which we buy, as we know, is LABSA, soda ash, palm oil and all of that. So prices have remained broadly stable. So I think that's all what we can say. As you know, the geopolitical and the macro situations have become really difficult to predict. So for now, it seems good, has come off from peak and margins -- as what we are getting today, we are comfortable with that.

Moderator: The next question is from the line of Priyank Chheda from Vallum Capital.

Priyank Chheda: My question is on the contribution from new product developments. You rightly said that it's one of the levers where you have seen an incremental sales coming through since you can help me what was the contribution from the new products that you have developed as whatever the basket that you will be tracking over the last 9 months?

Sanjay Agarwal: So as you know, that the important is to make sure that these launches or the NPDs, which we do, they become successful because there's a lot of energy which goes on to it right from the manufacturing, to the R&D, to supply chain, to the sales team. We are happy that the launches which we have done, they have given us positive results.

It will be not fair for me to give exact details. So some things which have launched, say, for the 9 months on the Margo Neem Naturals, we won't see the results for at least 1 to 2 years before we comment how much each one of them can contribute or are contributing.

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But all I can say at this stage is they are giving us good incremental growth for us to drive better profitability and revenue growth.

Priyank Chheda: So the total basket of NPD as sales contribution has broadly remained flat. What you alluded to the fact is that the launches have been done now and the benefits would be seen only after 2 years, correct?

Sanjay Agarwal: See, one is we launch it, then we want the repeat purchases to come in and that stability capturing is when we can say, yes, the product has done well. For now, I just mentioned in the opening remarks, the liquid detergents, Margo Neem Naturals, I think those have given us good confidence for our Personal Care and Fabric Care business. It has given us additional lever. So we are happy and lucky to find them, and they are doing well.

Priyank Chheda: Got it. If you can help me on the distribution touch points. The presentation seems to keep the number of distribution touch points same while you have been alluding the fact that distribution has been 1 of the, again, key driver to the growth. So if you can help me with the number on the direct distribution and indirect distribution, if there is any change versus what the presentation has been mentioning?

Sanjay Agarwal: Yes. So I think as we always keep a practice of discussing our direct distribution number on an annual basis. So in the first quarter of financial year is when we do talk about how much our direct distribution has gone up. But beginning of this financial year, we mentioned that we are reaching out to 1.1 million

outlets on a direct basis. And we expect to add anywhere between

75,000 to 1 lakh shops in the next financial year. And I think we are tracking well on that, and we'll update you with the final numbers in the next quarter.

Priyank Chheda: Got it. Just last question on -- if I heard correctly, the volume growth was 11% for the quarter, correct? And which means that we haven't taken price corrections or the mix change has negated the price corrections on the overall portfolio basis?

Sanjay Agarwal: Yes. So we have taken some price corrections. That's why the value growth is 10.6%. And wherever it was needed and in particular geographies or particular portfolio, we have done that. Incrementally, as we speak, there are no major price cuts for now, and we'll be focusing more on more consumer activations, on-ground support so that the volume growth can be supported much better.

Priyank Chheda: So you mean that even with the gross margins, which are at all-time highs for you at around 49%, 50%, you would not like to do any price corrections or pass on the RM benefits to the consumer to drive more volume growth because FMCG leader has been into public saying that we would be taking price corrections given the competitive intensities high.

What's your take on this part? And how would you manage this gross margin and passing on the benefit to the consumers?

Sanjay Agarwal: Absolutely it will all depend on SKU to SKU. And if competitive intensity require us to do --

that. So there's no reason why we would not follow that. So there are multiple levers with which a business is done.

You have a price cut, then you have some trade schemes, then you have some consumer promos. At the end of the day, then you have how much you are spending on the media spends, A&P. So if the price cuts is where volume growth is getting driven, with competitive reason, definitely, we will also do that -- we will also follow that.

But we also want to keep increasing our A&P spend so that, for the longer term, the business grows on a much stable thing. NPDs get much better support with a higher A&P. As you know, this quarter also, we had an increase in our A&P by 45%. So we would want to continuously do those A&P spend for the long-term sustainability of the business.

Moderator: The next question is from the line of Ajay Thakur from Anand Rathi Securities.

Ajay Thakur: I had two questions, both extension of the previous question ...

Moderator: Sorry to interrupt, but the line for you is not very clear. I request you to please move to an area with better network.

Ajay Thakur: Is it better now?

Moderator: Sir, please go ahead.

Ajay Thakur: Yes. So I have two questions, both are extension of the earlier question. I wanted to understand a bit more on the Fabric Care segment, we have seen that Fabric Care segment, we are -- done fairly well. But can you shed a bit more light on how we're going in terms of the premium segment versus the other that segment.

That could be little bit helpful. And also in terms of our ads spend, I have seen improvement increase in terms of the ad spend both for digital and possibly also from promotion and other aspects. I also wanted to get a bit more sense in terms of the competitive intensity, which you have been alluding to.

So can you kind of give some kind of understanding as to what kind of a competitive intensity you're seeing in various segments, say, for example Fabric Care, the Home Care, especially from the regional players and how you are kind of going to fight them?

M. R. Jyothy: Okay. So if I understood your questions clearly, you were not very audible, but I'll try and answer. So Fabric Care, most of our detergents business and the post-wash, all of them have

ave

done well. Well as and when I say, it's relatively fairly fine than the current -- if you see in the current situation. And it is across brands. It is across brands. It is across segments. And also our liquid detergents that we launched last year, those are also doing well.

So -- and both -- and from all channels. So the thing is the growth that you see is not particularly a brand or a segment. It is in Fabric Care, all of them. And on ad spends, you asked me some questions, right?

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Ajay Thakur: Yes, ma'am.

M. R. Jyothy: Could you just repeat that?

Ajay Thakur: So you had indicated that you there are increase on the digital side of it. And so that was one.

But then also wanted to understand how the competition -- you also mentioned about the competitive intensity going especially from the smaller players in the regional market. So wanted to understand a bit more on how competitive intensity as in how you're looking fighting those smaller players in that contexture, and would you be looking at more promotional spend?

Or would it be more of ad-driven sales push kind of a thing? Or otherwise, if you are looking at something like the competition in, say, fabric is higher or dish wash is higher. So some color around that would be helpful.

M. R. Jyothy: Yes, yes. So earlier, we used to spend only on TV largely. Now our investment mix is in terms of spending on media has slightly changed from what it was before. It includes digital spend. It includes outdoor spends. It includes press, It includes wherever we can reach the consumers faster and in a better way is where we have taken those changes positively. And in terms of competition from local players, see, we will not be able to fight that battle with local players as such because they go down to any level.

We are an organized player, we don't cut corners. So those are not our -- while there may be a temporary this thing, we will be spending on A&P as well as ground activities because that's the longer way -- long-term thing to build a brand.

So we will not be -- because each market has its own different kind of players and there is also all kind of activities, while we'll not be directly fighting them, we will be spending on media. We will be investing behind our brands, both on the ground and on ATL as well.

Moderator: The next question is from the line of Ayush Chabria from Shravas Capital.

Ayush Chabria: Am I audible?

Moderator: Yes, you are audible.

Ayush Chabria: Yes. I just wanted to understand something. So in the investor presentation, you have given that you've gained market share in the coil segment. and you've lost some market share in the liquid segment. But as per your commentary, you're saying that you're trying to focus more on the liquid segment, right? So what is happening then? Just trying to get an understanding of that.

M. R. Jyothy: Yes. So we are focusing on the liquid more. Coil, as you know, is not -- the market isn't growing, but we have maintained our market share there. And in liquid segment, yes, we have taken action on many fronts. We have brought in a new brand ambassador. We have enhanced our product packaging and also the innovation around the product that we are communicating. So we are hopeful that we'll be able to do better.

Ayush Chabria: All right. Also, I just wanted to understand on the ad spend part, if the growth could be maintained quarter-on-quarter basis? Or are you going to taper down the ad spend growth?

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Sanjay Agarwal: Ad spend 8% to 9% is what we have been targeting for a while. We've got, at this point of time, some space to do that, and that is what we have done more looking at future business. So this is where we stand. And it will all depend on how the commodities and the rest of the input prices behave. But we would

like to keep it at between 8% to 9% going forward as well.

Moderator: We have the next question from the line of Vincent Andrews from Geojit Financial Services Limited.

Vincent Andrews: Congratulations for the good set of numbers. Most of my questions have been answered. And 1 question is have, see the incremental -- I understand the distribution, you have a strong focus on distribution expansion and almost 10 percentage -- driven till -- distribution is happening currently. So I assume almost -- that reflects the additional volume of almost 10% to 11% volume you have in this quarter. So my understanding is right, like the incremental volume is coming mainly from the new geographies?

Sanjay Agarwal: So it will be a function of many things, whatever incremental distribution you add, it doesn't happen on the day 1 of the financial year. And it takes time for those retail outlets to mature. It is anywhere between 12, 24 months for it to give us the results what we have seen on a mature basis.

There are other -- I mean, other ways also to pull the consumers, which is through media spend, through all our trade schemes and communication. So it will be a function of many things, but yes, distribution is an important mode for our business.

Vincent Andrews: Okay. So you are -- you have mentioned that almost 75,000 to 1 lakh additional in this year. So can you please give a guidance on FY '25 also?

Sanjay Agarwal: Sir, we will continuously increase our distribution, but difficult to put a number for now. It will all depend on the resources because we need to add feet on the street to enhance our distribution.

It will be a function of a few things to consider. But, rest assured, our objective is to -- keeping the cost benefit analysis in mind, we would improve and increase our distribution

Vincent Andrews: Yes, sir. One last question. So any volume guidance for next year FY '25.

Sanjay Agarwal: So that we are in the midst of finalizing our budgets for the next year, I think we'll be able to give you with much more clarity when we have our next call with all of you.

Vincent Andrews: Okay. Okay, sir. And the Personal Care growth is almost more than 20 percentage. So we'll continue in the near term also?

Sanjay Agarwal: So as you know, this quarter, we also had the NPDs, the new launches, which we have done contributed to it. But we are hopeful for a good positive growth continuing with us on the Personal Care.

Moderator: The next question is from the line of Sumil Sethi from Siguler Guff.

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Sumil Sethi: I have 2 questions. One is what's the online contribution, sales from online channels like Amazon, BigBasket, Sanjay you have mentioned in your opening remarks, and also channels. So what's the contribution there?

And second one, one on dish wash, what is the contribution of low unit packs or low unit price

packs in terms of less than INR20 or less than INR30, I do not know what the right industry metric is contribution. And third is liquid detergents, how big would that be as a percentage of your overall main wash portfolio versus the industry?

Sanjay Agarwal: Sir, I think I could only gather your first part of it that how much is the contribution of e-commerce business to our total sales, which is in the tune of between 5 % to 6%.

Sumil Sethi: Okay. And is it contributed more by a certain category?

Sanjay Agarwal: No, I didn't get it. E-commerce, obviously, there are certain premium categories, liquids, they do much better in e-commerce. I mean, all our products are available on e-commerce websites and business is doing well. They are growing much faster.

Sumil Sethi: Okay. And what's the contribution of liquid detergents as a percentage of your overall main wash portfolio?

Sanjay Agarwal: So for now, the numbers are not that big. We are hopeful they will become a decent size, and then maybe we

can -- we'll disclose the same also for you.

Sumil Sethi: Let me ask you a question differently. Would your national market share in liquid detergents be much more than what it is in powder detergents?

Sanjay Agarwal: So we come out with our liquid detergents last year only when we saw the opportunity becoming big and consumers trying to becoming much more comfortable with the usage. So we are expanding or we are focusing much more with the liquid detergent side of it. And we'll soon have our market share also following that.

Sumil Sethi: And one last question on the Dish wash category. So is it the new customer recruitment is becoming a challenge, or the usage? Because that's the most underpenetrated of all the categories that Jyothy Labs is presented in. And historically, as you have mentioned, it has grown in double digits and 20s also at some point. So is it that new customer recruitment is challenging because affordability is a challenge or the usage has gone down? The penetration has slowed down.

M. R. Jyothy: There is no issue in recruiting new customers. If you see the rural markets are right now under stress, and that is what we are seeing here in the Dish wash segment. So after Ujala, we are the most distributed brands are our Dish wash segments. And hence, you would see that little bit effect of the stress in the rural market, which is slightly affected there. But otherwise, there are -- there's no other issue in terms of consumer acceptance and recruitment.

Sumil Sethi: Okay. So from a channel perspective, your super stockist contribution probably could be higher in dish wash versus overall company, and that's how the correlation that rural market slowed down or there is slowdown in rural markets, which is

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M. R. Jyothy: Yes.

Moderator: We have the next question from the line of Ravi Purohit from Securities Investment Management Private Limited.

Ravi Purohit: Most of my questions have been answered just 2 of -- one is on Margo. If you could kind of share some thoughts on Margo as a brand has been doing fairly well for us over the last few years. I think probably has been the fastest growing amongst all our brands. So what is it that is driving this?

Is it that we are reaching more outlets than before for this. And there is a significant low-hanging root for Margo to go from, let's say, x versus, let's say, some of our other products like Ujala, and Pril and all, in terms of distribution reach. So that is one.

And second, is there any extensions. We've launched 3 new fragrant, I think variants of Margo, but is that a broader idea or plan behind expanding this brand? If you could just share something on these lines.

M. R. Jyothy: Yes. So Margo growth, you would -- see, we have done a lot of work on the brand itself in making the brand much stronger in terms of its proposition from when that has been happening since last couple of years. So 1 is that. And then making consumers aware by Margo is good. And then also building on the strong Margo equity, we have launched 3 new variants this year, which has been well accepted by consumers so far. So the response has been good. So it's a combination of brand, brand investment in terms of brand proposition, distribution expansion, all of this put together.

Ravi Purohit: Okay. But would you say that Pril -- let's say compared to Pril or some of our more popular brands, the distribution reach still has more legs to grow under Margo?

M. R. Jyothy: Yes, yes. There's a lot of scope for Margo as such as we speak. So there's still room for Margo to grow, yes.

Ravi Purohit: And any other products under the brand in terms of maybe soaps or -- I mean, as in liquid variants or some personal care under this? Or is it going to remain as what it is right now?

M. R. Jyothy: No, we have few things, we are working on few products and things under the brand

d. You'll see

that as and when it comes.

Ravi Purohit: Okay. And also from Henko, when we had acquired, we had a few other personal care brands like Fa deodorant, and a few -- so is there any like plan to re-enter some of those or those are like history now? So if you could share anything on that.

Sanjay Agarwal: I think there are opportunities in all our brands, all the activities, all the brands which we are working on. So you will find news for all of them, but 1 thing at a time. And we are doing work on many of these brands, many of these brand extensions. And as Jyothy mentioned, we will be updating you with those developments in due course.

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Ravi Purohit: Yes. So the reason I ask this is like instead of doing an M&A, which could -- which will end up being a very expensive proposition, right? If you already have products or categories which came with that acquisition earlier, -- there is scope for us to kind of first look inside of what we already have at hand rather than go out and spend 5x, 10x revenues or to make acquisitions. So just us from that point of view.

Sanjay Agarwal: Perfectly well taken, very good advice. We would definitely consider all these points before we take up any M&A activities. And -- but we will, in any case, not miss any of these opportunities which you are mentioning, which are within our control or the brands are with us. Whether introducing new SKUs, whether introducing or expanding into newer geographies, we will use all of those opportunities to the optimum.

Moderator: The next question is from the line of Rucheeta Kadge from Iwealth.

Rucheeta Kadge: Congratulations on a good set of numbers. So my question is regarding the 4-year guidance that we have given that we can do around INR5,000 crores of revenue. So just wanted to understand, would it be uniform across categories that we'll be seeing this growth? Or would it be like any 1 category that we see would grow better than the others, if you can get some clarity on that?

Sanjay Agarwal: See, Rucheeta, as Jyothy mentioned this is going to be more aspirational, 4 years is a long time. And it is natural that we'll try to get to that type of growth. We'll be working on each of those categories, new categories, so all of them will be our levers to grow or get there. We have opportunities in all these categories. And we would use all of them to our advantage.

Rucheeta Kadge: Okay. Because currently, we are growing at around 10%, 11%, right? And when we talk about INR4,000 crores, it means we should grow at around 15% to 16%. So just because of that, I have this query, like how would we grow that?

Sanjay Agarwal: I think somewhere, we'll have to cut the noise around us in order to only focus on the growth which we are doing, and it's a project. It's a dream, it's an aspiration. We'll have to put all our resources to our best advantage and get there. So you will never find an even trajectory year-on-year, but just somewhere we want to get there. It gives us a far better operating leverage, improves our profitability, gives us the ability to build a more robust business. And so that's why that's the internal target for us to get there.

Moderator: The next question is from the line of Vincent Andrews from Geojit Financial Services.

Vincent Andrews: Only one question. So in proportion to your distribution expansion into new geographies, any need for adding new plants? Currently, you have 23, so anything on that?

Sanjay Agarwal: Sir that will -- no immediate need for now, but we keep seeing our capacity utilization, and that's not that bigger concern area for us. And as we have 22 plants, we can buy more plant wherever strategically it is needed. The organization is growing, and we will need more factories or facilities across India. So we will do that.

Vincent Andrews: Okay. So the major capex is not coming

g, right? We can assume like the capex for this next year would be around INR30 crores something?

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Sanjay Agarwal: Certainly more than that INR30 crores, INR40 crores is what has been historically our maintenance capex and add a few 1 or 2 lines here and there. But in case if we plan to get larger operation or a newer unit, it will be much more than that.

Moderator: We have the next question from the line of Abhijeet Kundu from Antique Stock Broking.

Abhijeet Kundu: Congrats on a very strong set of numbers. My question was on the gross margin. We have seen already the competition has reduced prices, which we saw in the realization decline in volume growth. So all of it, to great extent, has already happened that heightened pricing competition, it is already there. So despite that, you have still seen a good and strong gross profit margin expansion and absolute gross profit margin, I mean, when you look at several years [inaudible]. So just wanted to get a sense that how much of the -- within pricing competition from here, I

don't feel -- though people have been talking about it, but I don't feel that there would be a steep pricing competition because that has been happening for the last 6 months soon.

So I just wanted to get a sense of -- I know it's very difficult for you to give an answer to this.

But gross profit margin, what would have driven the gross profit margin is more important? Is it more of a product mix improvement that has driven margin? So -- and how much of this is sustainable?

Sanjay Agarwal: Yes. So as you said, it is a tough one, it, Abhijeet. See, 1 is a combination of SKU mix. So if we have a higher share of liquids doing business -- liquid business doing well, which is, say, these liquid detergents, and that is -- that helps in the overall gross margin. Our Post Wash business doing well, helps us in a gross margin. Our Personal Care business, which has generally higher margin, helps us in getting better gross margin. So I think these are all the ways in which -- or these are the reasons why the gross margin has been -- we've seen improvement in our gross margin.

And what we want to do is with that margin, yes, price competitive intensity, we may have to take some price cuts, which we're perfectly fine with it. But we want to increase our A&P spends, focus more on NPDs. We have now 7, 8 celebrities. We want to increase our A&P spend so that we can reach out to the consumers and try new newer ways of reaching organic consumers, which could be out-of-home, which could be press, which could be digital media.

So I think that is where we are looking at, try out newer NPDs, have that some more risk approach so that we can also get better top line for the future. So these will be few things we want to do with the higher gross margin. And we believe this can be sustainable if we are able to get the top line growth as well as the input prices or commodity prices remain at these levels where we are.

Abhijeet Kundu: Sure. But just a clarification, in the relevant categories where your larger competition has reduced prices, we have also reduced prices, right?

Sanjay Agarwal: Absolutely.

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Moderator: Ladies and gentlemen, we have no further questions. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Sanjay Agarwal: So friends, thank you for attending this call today. I know all of you have a busy day today. I hope we have answered most of your questions and queries. If you still have any further queries, please reach out to us. We'll be more than happy to address them on all of them. And thanks, Manoj, Karen and the team at I-Sec for organizing this conference call. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities, that

concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

May 17, 2024

To,

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 023
BSE Code: 532926
National Stock Exchange of India Limited
Exchange Plaza, Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip Code: JYOTHYLAB

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2024

Pursuant to Regulation 30(6) read with Part A of Para A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, transcript of the earnings conference call held on Wednesday, May 15, 2024 for analyst/ investors to discuss the Audited Financial Results for the quarter and year ended March 31, 2024 and the way forward, is enclosed.

Further, the aforesaid information is also available on the website of the Company at www.jyothy labs.com.

Kindly take the same on your record and display the same on website of the Stock Exchange.

Thanking you,

Yours faithfully,

For Jyothy Labs Limited

Shreyas Trivedi
Head – Legal & Company Secretary

Encl.: As above
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“Jyothy Labs Limited
Q4 FY’24 Earnings Conference Call”
May 15, 2024

MANAGEMENT : MS. M.R. JYOTHY – CHAIRPERSON AND MANAGING
DIRECTOR – JYOTHY LABS LIMITED
M R. SANJAY AGARWAL – CHIEF FINANCIAL OFFICER
– JYOTHY LABS LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES

Jyothy Labs Limited
May 15, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Jyothy Labs Q4 FY'24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.

Manoj Menon: Hi, everyone. As always, at ICICI Securities, it's our absolute pleasure to host the management of Jyothy Labs for the Results Conference Call. The company is represented by Ms. M.R. Jyothy, Chairperson and Managing Director; and Mr. Sanjay Agarwal, Chief Financial Officer. Before I hand over the mic to the management for the opening remarks and further Q&A proceedings, I want to congratulate M.R. Jyothy for the reappointment and also as the designation as the Chairperson and MD. Thank you.

Sanjay Agarwal: Thank you, Manoj, and good afternoon, everyone. We all welcome you to the conference call of Jyothy Labs. We'll be discussing our performance for the company for March Quarter and for the Full Year ended March 31, 2024, with all of you followed by a question-and-answer session. So a quick snapshot of the results. I'm sure all of you must have had a glance of it. We have delivered a top line growth of 7% for the March quarter and 10.9% for the full year FY'24. In terms of the volume growth, volume growth for the quarter is 7.2% and for the full year is 9%. We continue to deliver healthy performance with double-digit revenue growth for this year and also on a two-year and a three-year CAGR basis.

EBITDA margin for the year stands at 17.4% versus 12.7% for the previous year. Also, our net profit for the year has grown by 54% and stands at INR369 crores, our highest yearly profit. So good profitability and performance. For the quarter as well as for the year, we have increased our A&P spends significantly by 30% and we believe that this constant investment in our business is giving us the strength to service our consumers and provide a sustainable growth for years to come. So that's a key pillar, which we want to keep investing for the future.

Similarly, at the balance sheet level, two key metrics. Our working capital is at five days versus 13 days last year, which demonstrates an efficient operation and also cash and bank balance at INR618 crores. So a strong balance sheet will help substantially in our future growth. And Board has also proposed a final dividend of INR3.5 per share, which is subject to the approval of the shareholders.

Talking about some of the other qualitative factors. During the year, we have been focusing on enhancing our direct distribution reach. So now we have surpassed -- we were at 1.1 million outlets till last year. Our direct reach is now at 1.2 million retail outlets. We've been focusing on new launches. So prominent ones have been on the liquid side, liquid detergent, and Margo Neem Naturals during the year, also increasing our engagement with consumers thereby strengthening our core business. And as we move along, our focus has been and will be towards

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more digital acceleration, which will further enhance our sales productivity and consumer engagements.

In terms of category performance, Fabric Care is doing well with 10% growth this quarter and for the full year, it's 12.6%. We continue to witness healthy growth in our Fabric Care portfolio and also keeping a sharp focus on delivering value in the main wash detergent brands.

There's also a good traction in liquid detergent category and our key liquid detergent brand, Henko and Ujala, both

have shown good growth. Similarly, our expanded distribution is helping us in faster growth and expansion across all product lines, including our mid-price detergent brand, which is More Light and Mr. White.

Our Dishwash category, that sales have increased by 6% for the quarter and for the full year, it's grown by 8.3%. We continue to enhance the brand equity of both Exo and Pril by driving LUPs, doing more digital awareness, ground activations. Given the untapped potential of this category, we have done some SKU mix realignment based on the consumer feedback and competitive actions. So, very positive to strive for higher growth in future as well.

In HI segment, our sales there's a decline by 9.8% for the quarter. However, the full year, it's a flat growth. And the reason for this particular quarter decline has been primarily because of seasonality impact. In our core markets of North and East of India, there's been an extended winter season. So that had given this decline. But as you all know, our efforts have been more driven towards a liquid portfolio and brand investment with Superstar Kareena Kapoor endorsing the brand. We are trying to focus on a key market, emphasizing the unique automatic feature of our Maxo Machine, which will drive the long-term success for our category and for the Maxo brand.

Finally, for our Personal Care sales have increased by 18% for the quarter and 21% for the full year. Our Neem-based Margo soap with its natural benefit proposition has been delivering a robust performance. Both our base variant and the new variants, which we have launched are doing well. And with the higher growth in our Personal Care portfolio, it's a very positive outcome for us as it enhances the premium or the higher margin products in our overall portfolio at the company level.

So with that, just to summarize, we'll continue to focus on volume-led top line growth.

Considering our growth aspirations, we'll endeavour to have higher allocation of our resources towards brand building initiatives and also continue to expand our direct reach distribution with the aid of technology.

For FY'24-'25, we are expecting healthy growth. And one of the things which have been slightly an issue was on the rural market. So now we see there's a gradual improvement or pickup in the rural market and the slowdown seems to be now bottoming out. So hence, overall, macro looks positive. We'll also be focusing on gaining our market share across categories. So this will enable us to build a higher scale for our business.

With this, I finish my opening remarks. We are happy to answer any questions or clarifications you may have. Thank you.

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Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Vishal Gutka from HDFC Securities. Please go ahead.

Vishal Gutka: Yes. Hi, team. Congrats on a good set of numbers. I have three questions. First, with regards to detergent. As of now what is the share of liquid within the overall pie? I know it is a little bit on the lower side. And what are you doing to increase the share that one of your competitors is planning to launch value for money liquid detergents, so any plans of launching -- giving more value to customers by launching at a disruptive price point?

Second question is on the soaps. So margins for the soap category has come off in a very significant manner. I believe that you're investing to drive sales given that aggressive A&P investment will occur. By when we expect the margins to normalize in the soaps category? And a third question on the DMS, distributor management system. In the presentation, you highlighted that you have installed new DMS. Can you please throw some light what is exactly the new DMS all about? Thank you.

M R Jyothy: So the liquid detergents for us, yes, it's a small contribution but the category is

growing, and it's

on both the brands that is Henko and Ujala, both have been accepted very well. Henko is on the premium side, Ujala is more on the mid-premium value for money brand. And both are doing well, good acceptance in modern trade, e-comm and also in the general trade. So far, doing well. Yes, it's a small percentage for now, but we see in the coming future that the category is growing well, and which will also, in turn, grow well for us.

Now value for money, you asked in terms of competition. Well, you will see something in the future. And we'll be very price competitive in both, be it in any segment and the quality of the product will be much ahead of what the competition is because we always believe in delighting the consumers for the money, they pay in whichever the segment that is. So that's on liquid detergents.

On Margo, yes, we had a variant launch last year. We had introduced 3 new variants, and we had to drive a lot of investments behind establishing those variants. And if you see the Personal Care, for us Margo as a thing has done really well and both the base and the variants have done well, and we have invested behind both the brands in both the segments. So that is why you see a bit of margin compression there. But otherwise, will do well on the Personal Care as such.

DMS, yes, we had Adaar which is a different distribution management system, we have shifted to Botree which is little more accepted in the industry and implementing that has been done in the previous year. And this year, we'll reap benefits of implementing that. It's much more robust as a system. So we'll see much more benefits coming out of that.

Vishal Gutka: Great. Just last one question from my side. On the NPD, I think last 2, 3 years, have a lull period for NPD, apart from creation of few detergent brands that we have. So any plans of launching

new NPDs in FY '24 and newer categories into '25?

M R Jyothy: Yes. We have a few in pipeline, but you'll come to know as and when we launch it. It will be too early to say right now, but we do have many NPDs lined up.

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Moderator: Thank you. The next question is from the line of Manoj Menon from ICICI Securities. Please go-ahead sir.

Manoj Menon: Sorry, I had muted it. Sorry for that. Yes, so 2 clarifications from my side. One on the ad spend increase, which is quite pleasing to see but some granularity if you can offer in terms of how much of this is actually for NPD and, let's say, building something for the future. But how much of this is, let's say, a relative competitive intensity or share of -- share of market related aspects. So that's one.

M R Jyothy: Yes. So Manoj, when you say new launches, we definitely want to back it by investment. So if it is a new launch, we would end up spending a little more than the regular assets. And the rest of them is on a continuous regular investment that happen. I can't put a number right now for you. But any launch will have the more intensity. And we don't want to play the share of voice game there. We would want to back it by consistent investment. We have many brands to support, and we have more celebrities on most of the brands that we have. We believe that the visibility and with a good reason to buy, I think that will be better for our brands for now.

Manoj Menon: Fairly clear. On the second aspect is on the distribution expansion. I did hear the commentary about the numeric distribution expansion aspect. But some more color in terms of -- let's say, because you have been on this journey over the last few years and has been our learning with which geography has kind of supported this and which one possibly hasn't. And more importantly, for those outlets which you would have reached for the first time in the last, let's say, 12 or 24 months, what is the incremental possibility of line selling with selling, et cetera, which you see? And an

y quantification which you can provide either the past or the future?

M R Jyothy: See, Manoj, I don't want to quantify anything. Yes, we started the journey a couple of years back, and we'll continue the journey. So it's not it's an ongoing thing. You would like to recruit more retail outlets into this thing. And when we recruit, it doesn't mean that immediately you get the thing. We start with the brands that are what do you say, help us get entry into those new outlets, which starts from an LUP, and it depends on the kind of market where we are -- also, if it is rural, it's a different thing altogether. The approach is different depending on the market. But we see that these new outlets will become the going forward, this will start generating more and more revenue for us.

Manoj Menon: Fair enough. There be one small clarification. If let's say, the contribution to your overall volume throughput from the distribution vertical or rather, let's say, the digital vector, right, in FY '24. Would it be x or 1.1x or 0.9x, how do we think about that, let's say, for the next 2, 3 years?

M R Jyothy: Come again?

Manoj Menon: I suppose, let's say, your overall growth of X which on the distribution which has given you a certain rate of growth. Do you think that similar rates of growth are possible for the next 2 years also?

M R Jyothy: Yes, it should be. We also have new product launches. We have so existing retail that we have grown. Those become a pipeline for us for the future, new set of launches, new set of -- see, Manoj also know that some of the brands for us has some regional in a certain geography. There

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some of the brands. But these things that we are doing is for from a future perspective as well.

So where we nurture these retail outlets, those outlets will become tomorrow's business for us.

So for us the current and the new will happen parallelly. So I hope I'm clear on that.

Moderator: Thank you. The next question is from the line of Rishi Kothari from PI Square Investments. Please go ahead.

Rishi Kothari: I wanted to know what exactly are we doing in terms of and different from our competitors in terms of the like a dealer or any specific store in decision products? How we are different from the early so part it part data that we are providing to our competitors compared to competitors?

Sanjay Agarwal: So unfortunately, the line is bad, and we can't understand anything, whatever you have asked for. Would you like to just join by dialling again

Rishi Kothari: Am I audible now?

Sanjay Agarwal: Better, yes.

Rishi Kothari: Yes, I just wanted to get some clarity on the product that you are dealing right now. So more is

focused on the Tier 2, Tier 3 segment, right, if I'm not wrong?

M R Jyothy: You're talking about liquid detergents?

Rishi Kothari: Yes.

M R Jyothy: Yes, liquid detergent for us is more, I would say, not Tier 1, Tier 2, but more modern trade more urban and more so much out specific as a market, that's broadly our take on liquid detergents. It's more growing in the south and more in the urban areas.

Rishi Kothari: Okay. So in terms of competitors, as we saw in some of the competitors that are big players in the market right now, they're also shifting from powder detergent into the liquidating part. So what exactly value addition you are providing for a customer in terms of -- or in terms of dealers that you are giving them product in terms of margins or something that disperse your product compared to any competitor?

M R Jyothy: See, our products are well-known brand names. It is -- if you see the competition whatever you're talking about, if there are new launches, they take time to establish unless they really cut margins, they can't. So the thing is we have good brands who have a very well-known brand since many years. So we have introduced liquid detergents under Ujala, which people know the quality that

Ujala offers. People know the quality what Henko offers. Henko is on the premium end. So once you use our product, you will come to know what is the difference between us and the competition.

And we are very competitive when in terms of I mean, we are very competitive in the market.

So once people use it, we are also back it by investment. So once the consumer uses, they stay on with us. So it's the quality also that is helping our brand because you need to have repeat purchases. So it's definitely the quality.

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Rishi Kothari: Okay. So in terms of the product mix or in terms of the new product that we are trying to launch in the market, so how much capex are you expecting for next 2 to 3 years, you can have some ballpark figure?

Sanjay Agarwal: Did you ask for capex?

Rishi Kothari: Yes, capex.

Sanjay Agarwal: So that won't be anything significant in terms of the new product launches. It will be more on the media spend, which we need to do for the new product launches.

Rishi Kothari: Okay. So any -- so in terms of innovation part, are we looking at capex?

Sanjay Agarwal: Yes, that normal capex will be to the tune of INR40 crores to INR50 crores year -- per year.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: My first question is with regards to the Dishwash segment. Now if you look at for the last couple of quarters, the growth rate has really come down there into, I would say, high single digit or thereabouts. And previously, it used to grow at high double -- I would not say high but grow double digits. So what has really happened for the growth to slow down in the last couple of quarters?

M R Jyothy: Yes. So on Dish wash see last 4 years we've been on double-digit growth and the basis have also gone up, but if you see from a market share, we have been holding on to market share. We are growing in line with the category. So they are as per what the category is doing, we are there both in the bar and the liquid and that will continue.

So we have two strong brands where we are the number two brands in the country both Exo and Pril. And we are confident that it will continue to grow. For example, East as a thing South we were anyway dominant, but East was a market where our market shares were in low single digits. Today they are in good double-digit market share. So that shows us the growth and that is our confidence on both the brands.

Gaurav Jogani: One thing on category based do you think after the high [inaudible 23:12] base and all people were using a lot of this and that is where the category growth has slowed down and the rates that we are seeing right now are more sustainable ones?

M R Jyothy: No. So the category growth are healthy, sir. So that will -- that is as of now the category growth both on liquid and bars are healthy and that will continue. Hopefully, that will continue. We are very much prepared to get those growth on our brands as well.

Gaurav Jogani: Okay. And my second and next question is with regards to the margins grid. We had enjoyed good margin during the deflationary cycle over the last year, but now with the raw material prices kind of stabilizing what would be our outlook towards the margins going ahead?

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Sanjay Agarwal: So sir while as you said yes, commodity prices have been volatile. Our -- we'll target to have our EBITDA in the range of 16% to 17% for the full year. [inaudible 24:17] having the media spend the way we have been doing it in the past.

Gaurav Jogani: Okay. And just on because the pricing bit we have seen competition taking price cuts, especially in the detergent segment and the soap segment. So any pricing action from your end that you're envisaging because given that your volume and value growth in equal competitors, it seems that you

have not taken any price cut really?

Sanjay Agarwal: That will be -- I mean that's very regular in nature nothing significant which needs to be worried about, but due to competitive action if there is any price cuts or which we need to take, we'll definitely do that to remain competitive and drive the volume growth. But nothing significant is there in any of the categories in which we are present now.

Gaurav Jogani: Your last question with regards to the tax rate. If you look at it the tax rate for this year is around near to that 23% mark. So what will your tax guidance for the next couple of years?

Sanjay Agarwal: Yes. So our tax rate has been in '22, '23 range for this year and it will continue for the same for the next year too.

Gaurav Jogani: Okay thank you and best of luck.

Moderator: Thank you. The next question is from the line of Kaustubh Pawaskar from Sharekhan BNP. Please go ahead.

Kaustubh Pawaskar: Sir, my question is again on dishwashing segment. So if you are further wherein the segment is bar growing lesser than the liquid or liquid growing less than bar and that is impacting our overall growth for last two quarters or both are growing at the same pace and it is competition which is helping us and with the initiatives we have undertaken, we should expect the growth rate to improve in the quarters ahead.

M R Jyothy: Yes. So we have taken initiatives Kaustubh, and we'll continue to do that. We've been doing that and for us dish wash is a very good segment, and we don't want to give any specific numbers, but both bar and liquids are growing healthy. Our market shares are intact which also shows that we are in line with the category growth that are happening.

Kaustubh Pawaskar: Because sanjay also mentioned that you are also focusing on LUP in this space, so whether the mix is impacting the value growth, but you are doing it at a volume level. Just wanted to understand on that side as well.

M R Jyothy: Yes. LUP is more an entry strategy for us to get into new outlets. So LUPs help us there in also recruiting new consumers. So that will always be there for that purpose, but slowly we would definitely upgrade these consumers once things are better in the -- in the macro -- at a macro level people will aspire to get into bigger and better segment there. So LUPs are more from an entry point strategy that we are taking that as.

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Kaustubh Pawaskar: And my next question is to Sanjay sir, you just in your initial comment you mentioned that you are expecting a healthy growth in FY 2025. So this year we ended with around 9% kind of a growth. So next year considering the recovery in the overall market and the overall optimism which is building and most of the company in their call they have stated that are expecting recovery in the volume growth and that should boost in FY '25. So in that context we should expect low double digit or low teens kind of revenue growth for us which will largely be driven by volumes?

M R Jyothy: See, our wish is always to grow in double digits which we have always told right and so far, our volume growth have been pretty healthy. If you have seen in the last 4 years we would want to continue on that journey. And if the monsoon is good and is macro is there we will definitely want to aim at that number -- aim at double digits basically.

Kaustubh Pawaskar: Thank you.

Moderator: Thank you. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: I just wanted to get a slightly 2 year, 3-year historical sense on liquid. So if you look at given the Fabric Care portfolio INR1,200 crores revenue, if I ex out to Ujala liquid blue the detergent portfolio considering powders and liquids how large as a percentage liquid now have been in to our mix?

And the rate of growth, I mean, you don't have to tell me exactly what the growth is, but the way to grow ho

w much -- how different it is from the powders right now? The reason I ask this is because our understanding is that category growth in liquid is quite high, and incumbents are investing there including you guys. So just wanted to get a little bit of sense of how that's -- how that's panning out for you.

M R Jyothy: Yes. So for us, see Ujala Supreme more a posh wash thing for us. Liquids we have introduced since last 1 years, 1.5 years. So the contribution as such to the detergent is small for now, but the rate at which it is growing is healthy and we are seeing that growth coming across channels as well.

So more an urban phenomenon for now, but soon it will catch up. We have right now liquid detergents sets two segments a one at a premium and one at a mid-premium level and going forward you will see some more action there. So the category is growing in double digits, and we want to get a share there as well.

Harit Kapoor: Understood. Very clear. The second thing is on pricing. So this year the revenue growth has been in double digit. The volume growth has also been kind of high single-digit levels. One of the soap players we are already seeing some incremental price increase actions starting out already.

And I think largest FMCG company also spoken about inflation coming back in the second half of the year. So I was just wondering that while the early part of the year you may not see pricing growth, but when you are building your revenue model for [inaudible 31:25] do you see pricing

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growth being a factor here maybe a low single digit or whatever that is? Is that the right way to think about it?

Sanjay Agarwal: See currently, the way things are I think it's better to take the assumption that the growth is more volume-led growth then presuming that there will be some value growth which we can't predict now for the full year.

Harit Kapoor: Okay. And last thing was on the direct distribution part. So I know the thought process being like 8% to 10% expansion in direct distribution on an annual basis. Is that a marker for F '25 also that you'd be looking at? Or is this a year that you consolidate some of it, you put it into DMS, etcetera, as well? So I just wanted to get a sense on that.

M R Jyothy: We would like to continue that what we've been doing since last 2 years, 3 years. So yes, mainly 8% to 10%, that would be a good thing to continue.

Moderator: The next question is from the line of Amit Purohit from Elara Capital. Please go ahead.

Amit Purohit: Just on the household insecticide segment, when I look at the losses for the full year at the EBIT level is close to about INR34-odd crores. And this is a year where -- I mean, our growth is broadly flat on a Y-o-Y basis, 1% or 2% increase. And we would have a benefit of, I don't know, but lower cost has been the trend for most of the FMCG names and here also there could be some benefits which may come either on the packaging side and although our losses have actually increased versus FY'23.

How should I think about it? In terms of the outlook for -- at least from a loss perspective, I understand that we have this LV versus coil challenge, and which impacts our operating performance, but there has been a significant increase in FY'24. Is any one-off in this year, which we would have attributed to?

Sanjay Agarwal: So Amit, it's been a subject matter, which we have been working on it. So our aim is to make HI segment positive. Now the HI segment contributes 7%, 7.5% of our top line. As you mentioned yourself, we have this more skewed towards the coil, which we're moving towards the liquid. We've got a new brand ambassador. So we're continuously investing on the brand. We're increasing our advertising spend and that is why you can see some pressure on the bottom line as well. And a lot of it is on the allocation of the cost which goes on. But having said that, we believ

e if we can get the coil and liquid share maybe by equal 50-50 each, we will be positive in this segment as well.

Amit Purohit: But I mean, from a cost-cutting initiative, you don't think so there are -- or maybe are there any one-offs like which probably will not happen in FY'25, which would lower the loss?

Sanjay Agarwal: No, nothing of that sort, Amit. It has to be more the product mix, which we need to get it right and on which we are working.

Amit Purohit: So I mean just 2 years back, I mean, these losses were pretty less actually. So that's the reason. Is that we have now started to invest more behind this?

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Sanjay Agarwal: Yes, that's what I'm saying. we are overspending versus the current benefits we are getting. So I mean, Kareena Kapoor, we onboarded her a quarter back. And we are increasing our advertising spend because we know we have a good product on the liquid side, certain markets where we are very strong east and north. We've been focusing there. So it may take some time, but we are

confident that we will make this segment also a ebit positive.

Amit Purohit: And second question, just on the overall market scenario. Like you highlighted that there has been some improvement seen in the rural. I just wanted to check with the -- when we see even your numbers as well, the EBIT performance across segments, there has been some slowdown on a sequential basis, the margin wise has kind of pulled off a bit sequentially.

So is that -- I mean, while the pricing strategy is more driven by how market react. But has there been any great trade increases or trade promotions, which have been started recently by competition or something rather than the pricing side, have you seen that anything incrementally post this result or something? If you could share some insights on that?

Sanjay Agarwal: This is natural for any business where you have seen overall, our volume growth has been good. But when we see overall environment, there have been challenges. And therefore, yes, there will be struggle for the volume growth. And there will be trade schemes and all which would be played out. So that's pretty normal but again, I would say that our focus has been increasing our distribution, increasing our brand investment so that the growth what we capture is not only a short-term growth but the long-term growth.

So we feel confident also all the right reasons of India, like GDP growth, per capita consumption, our product portfolio, so I see the best part of it for us -- if we are able to build a higher scale, which we have seen over the last few years, our margin profile 16%, 17%, 17.5% for this full year, has -- we have been able to achieve in spite of increasing our A&P spend by 30%. So we would rather focus on doing investments in the business, which is more long term than only doing some trade schemes and get the numbers for a particular period.

Amit Purohit: And just a follow-up. You indicated investment behind brands would continue. Should I look at the annual number from an ad spend to sales ratio or second half has been close to about 9%. So how do we think about it?

Sanjay Agarwal: we have been aiming to be between 8%, to 9%. And this year, we have reached to 9%. So yes, going forward, that range is what we would look forward for.

Moderator: The next question is from the line of Vishal Punmiya from Yes Securities. Please go ahead.

Vishal Punmiya: Firstly on the Personal Care category, we have seen that big payers or big, so players have again started investing in the body wash category. So I actually wanted to get your view on this category in terms of what is the potential? And would you as a strategy continue to sale the Margo variance? Or would you also like to participate in this category? And if yes, would it be through a separate brand or just like diligence, would it be, just like detail be a separate brand for y

ou? Or would you use Margo for the bodyworks category as well?

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M R Jyothy: See, we have just launched the new variants in the soap segment last year. And well, we were going to focus on that for now. While the body was category is growing, it is growing more in the urban more in the urban. And we would also get into that one day. And right now, I can't really say whether it's on Margo or it would be some other brand. But definitely, we will have something there as well.

Vishal Punmiya: Understood. On the balance sheet. So basically, if I look at FY '24, we have moved some of a good chunk of cash in bank to investments. So can we expect a higher run rate of other income in FY '25?

Sanjay Agarwal: So investments are all investments in liquid mutual funds only. So the market rates, which are there for liquid mutual funds is what we would be having. Yes, as a cash balance accumulation happens, as an absolute amount, yes, there will be an added income as other income in the books.

Moderator: Thank you. The next question is from the line of Vishal from HDFC Securities. Please go ahead.

Vishal: My question would be on the margins. So you've done 17.4% in FY '24, I believe Sanjay guided for 16-17% range. Is that correct?

Sanjay Agarwal: Vishal, it's better to be conservative. And as I said, the question someone asked was giving a reference of the commodity prices being volatile. Now we are in the beginning of the year and you have to project for the full year, we can obviously revise if we do better. So yes, for now, it is 16% to 17%. And as I said earlier, obviously is not to cut down any of the right investments, which we want to do whether it is adding people, feet on street for our direct distribution or increasing the media spend for our brand, new launches. So we want to keep all that with us. And considering all that cost or investments, we would aim to deliver 16% to 17%.

Vishal: Great. And just last one more question in the dishwashing side, Pril is considered to be much too superior quality versus Vim in terms of liquid. So recently, Vim has what you call reformatted their product in the presentation of HUL that we mentioned, they have made some formulation changes with and to the claim to be now a superior product on par with reliably. So do you foresee any possible impact or there should not be impact because the market is underpinning market will be developing?

M R Jyothy: Vishal, we don't want to comment on what they have said. But Pril has always enjoyed a premium imagery. And that will continue and that are consumers who believe in the brand, and we would want to continue on that journey. So Pril always have maintained the premium imagery that will continue. I can only say so much for now.

Moderator: Thank you. The next question is from the line of Percy from IIFL Securities. Please go ahead.

Percy: Yes, sir, can you give some idea on the state-wise driver of growth for different categories. So what I mean to say that each category has Pareto in terms of states, there are some states which are strong, some states which are weak for each category. So is it that a large part of the growth is coming because each of these categories is able to diversify its state presence or state series?

And if so, can you give some color around that?

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Sanjay Agarwal: So Percy, it's difficult to give for each of the brands on this call. But yes, it will be a combination of brands which needs more investments in states or regions in which we are not that strong. So we would do that. We would increase our distribution focused on those states or in those regions and for certain brands which have been for historical reasons being more focused on one or the other states. So it will be a combination of that. And I think that is a great opportunity for our portfolio.

And one o

f the reasons why we've been doing well because some of the brands -- Exo as Jyothy just spoke is strong in South, now doing very well over years now in East as well. So similar growth stories will continue in the rest of India also. So it will be a combination of everything, and we are on that work to make sure that overall portfolio for the company keeps growing.

Percy: A few years ago, you had said that your south salience is like 38% to 40%. Has it changed? What is it currently?

Sanjay Agarwal: At a gross company level, it's broadly the same because south has also been doing well. So -- but yes, that remains in that range. Overall company has been doing well. And some of the other regions are doing marginally better as we said, like Eastern some brands have done well, but there are certain other brands which are not that strong in South, they have done well. Yes. The new launches which have taken place they have done well like liquids have done well in Southern India. So overall, despite that contribution still remains the same, yes. But all the regions are doing well. All the regions are growing in that space.

Percy: Right. Second question, I just wanted to understand the growth construct going ahead. So last couple of years, we sort of reap the benefits of not only the distribution expansion, but also improving the systems and processes in the front end. Now I think on that front, basically, since the last year, 1.5 years, we have basically achieved or come at par with other larger FMCG companies in terms of having a good hygiene system, processes, secondary sales, tracking, et cetera. So just want to understand from that point of view that those relatively easier battles have been sort of fought and won and that has given us this stellar kind of volume growth over the last 2 to 3 years.

And going ahead, of course, there is scope for improvement across many things. But incrementally, since we have already sort of come at par with many other companies, the quantum of things to do and the quantum of benefits to be reaped will not be so large as what we have had in the last 2, 3 years. So in light of that, how confident are you of sort of going close to 8%, 10% volume growth going ahead?

M R Jyothy: So Percy, on my confidence we have confidence, okay, if the demand scenario improves, definitely we will be the first one to catch it. For us, as such, even as much as the last quarter, our volumes are healthy. And we have a lot of brands. We have a lot of sub brands, a lot of other categories that we need to expand within ourselves. So we have a lot of room and there's a lot on our plate and a lot of expansion that way to happen across geographies, maybe also new introductions, and we also have a good distribution right now, which we need to milk it going forward. All of that definitely is there also addition of new outlets. So all these. There's a lot of work still to happen. So that will continue.

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Moderator: Thank you. That was the last question for the day. I now hand the conference over to the management for closing comments.

Sanjay Agarwal: Thank you, all the participants, for joining this call today. Thank you, ICICI team for organizing this call, and we at Jyothy Labs and ICICI team are available if there are any queries questions, please reach out to us. Thanks, once again.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jul 2024

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July 29, 2024

To,

BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400023

BSE Code: 532926

National Stock Exchange of India Limited

Exchange Plaza, Bandra – Kurla Complex,

Bandra (E), Mumbai - 400051

Scrip Code: JYOTHYLAB

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 2024

Pursuant to Regulation 30(6) read with Part A of Para A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, transcript of the earnings conference call held on Thursday, July 25, 2024 for analyst/ investors to discuss the Un-audited Financial Results for the quarter ended June 30, 2024 and the way forward, is enclosed.

Further, the aforesaid information is also available on the website of the Company at www.jyothy.com.

Kindly take the above on your record and disseminate the same for the information of investors.

Thanking you,

Yours faithfully,

For Jyothy Labs Limited

Shreyas Trivedi

Head – Legal & Company Secretary

Encl.: As above

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"Jyothy Labs Limited

Q1 FY'25 Earnings Conference Call"

July 25, 2024

MANAGEMENT : MS. M.R. JYOTHY – CHAIRPERSON AND MANAGING

DIRECTOR – JYOTHY LABS LIMITED

MR. SANJAY AGARWAL – CHIEF FINANCIAL OFFICER

– JYOTHY LABS LIMITED

MODERATOR : MR. KARAN BHUWANIA – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Jyothy Labs Q1 FY '25 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Karan Bhuwania from ICICI Securities. Thank you, and over to you, sir.

Karan Bhuwania: Good afternoon, everyone. It's our pleasure at ICICI to host Q1 FY '25 results content call of Jyothy Labs. From the management, we have M.R Jyothy, Chairperson and Managing Director; and Mr. Sanjay Agarwal, Chief Financial Officer. I'll hand over the call to management for the opening remark, post which we can go ahead for the Q&A. Thank you.

Sanjay Agarwal: Thank you, Karan and good afternoon, everyone. I welcome you all to the conference call of Jyothy Labs to discuss the financial performance of Q1 FY25. The results and investor predictions are available on the Stock Exchange and on our company's website. I hope everyone had a chance to look at it.

Overall, there's been a healthy, consistent operational performance with rise in market share for each of our brands. The year has started on a positive note with revenues growing by 8% in value terms and 10.8% in volume. On a two -year and three -year CAGR basis, it works out to 11.5% and 12.2%. The gap in value and volume growth is primarily due to increase in grammages and select SKU price cuts.

On EBITDA margin for the quarter, we stood at 18% versus 17.1% for the same period last year, an increase by 13.7% and our net profit grew by 5.7%. Last year, same quarter, we had a gain from one -off sale of property of INR9.6 crores in other income. Hence , the net profit, when you see, is not strictly comparable at the PAT level.

So overall, if you see, we have delivered high revenue growth in the last few years versus the industry and this is coupled with increasing operating margins and a debt -free balance sheet and a healthy cash position, which is empowering or will also empower our future growth. we will continue to focus on our rural growth, which is giving us a sustainable advantage.

Our consumer franchise is getting stronger every quarter and we've been able to strengthen our market share across all our brands. For this quarter, all of the segments have reported positive growth. In terms of key categories performance, Fabric Care is doing well, increased by 8.8% in this quarter, while post -wash brands, Ujala Fabric Whitener and Ujala Crisp & Shine have delivered consistent growth now.

Our main wash brands, detergent brands: Henco, Ujala, IDD, Mr. White, Morelight, they all have also accelerated growth across all channels. In our post -wash portfolio, Ujala Supreme, we've launched a multimedia campaign nationwide with our brand ambassador , Taapsee Pannu. And to bolster our brand presence in Ujala Crisp & Shine, we've been running campaigns featuring superstar Nayanthara in key southern markets.

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In addition to our liquid detergent portfolio of Ujala and Henco, we have also introduced in Morelight liquid detergent in five -liter bulk pack. And there's an intense competition across the detergent or the Fabric Care portfolio, but we have expanded our distribution. A lot of ground - level activities and our product differentiation is helping us driving this growth in our Fabric Care portfolio.

We're focusing on the premium segment and also on the value offerings and the objective or the strategy is to build a scale across the different categories. In Dishwash category, both Exo and Pril continue to do

well with 7.1% growth for this quarter. Both the brands, Exo and Pril, we've been investing aggressively across outdoor media and out of home, apart from the conventional medium. This has also boosted our growth and our brands are considered as a preferred choice among the consumers in the utensils cleaning category.

In the interest of time, I mean, you would have seen our investor presentation which captures several campaigns we are running on conventional media and digital platforms. So I'll skip that. In the household insecticide segment, our sales increased by 2% in this quarter. The category has witnessed recovery. However, this quarter again, the business was impacted because of extreme summer in North and East of India, which are our core focus markets and we are focused on growing our saliency in our liquid vaporizer with campaign featuring superstar Kareena Kapoor, wherein we have a unique feature or automatic feature of our machine, which is unique in the category. And hence, the focus is to grow the LV share in the business.

Finally, our Personal Care segment, which is primarily the Margo franchise, it has registered a good growth of 10.9% for this quarter. As you know, the neem based Margo portfolio is

preferred by the consumers for its authenticity and several on-going initiatives. We've been involved using influencers and social media in key markets to raise awareness and encourage trials targeting the youth primarily.

In summary, we continue to focus on volume led growth and achieve higher scale of business operation. We have delivered or consistently delivered double digit revenue growth for the last few years and we've strive to build scale with relentless execution and grow our brand's market share.

We believe the efforts taken to strengthen our distribution, investment behind brands and innovation. On an annual basis will aim to have double digit sales growth primarily led by volume. Also on the margin front, we should be able to hold on or do better than our historical EBITDA margin of 16% to 17% on an annual basis.

We continue to focus on introduction of relevant innovation and expanding our sales and distribution network. In addition, we're leveraging on the modern trade and eCommerce channel, which is poised for higher growth.

With this, I finish my opening remarks and we're happy to answer any questions or clarifications you may have. Thank you.

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Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Vishal Gutka from HDFC Securities. Please go ahead.

Vishal Gutka : Yes, I think, congrats on an excellent set of numbers. Three questions on my side. First one, Morelight liquid detergent. I think that has been launched at a disruptive price point of INR70 per litre in selected MT outlets. I just wanted to understand what is the margin profile? Any quality helpful? Will you sell somewhere near to the company level margins? And how is the brand doing? I believe it is launched towards the end of the quarter. It might be early. But whatever trends you can give on that.

Second question on the personal care front. The growth has modelled to 11%. Last year, we saw around 20% growth rate for the segment as a whole. So what are the plans to revise? And the new variants that were launched in Margo, I think one year has passed by. So any flavour on that, what is happening, how things are shaping up over there will be very helpful.

Third question on capital allocation front. So cash is approximately INR620 crores. And on the other side, the dividend payout has gone down from 60% to 35% now. Last three years, average dividend payout was 60%. It has come down to 35% in F '24. So how are we thinking about capitalization going forward? Thank you. Those are the questions from my side. Thank you.

M.R Jyothy: Yeah, so o

n Morelight, yes, we have launched a liquid detergent. And this is if you see this, the liquid detergents as a market, that segment has been doing well. And we see, a lot of players come in there. And our wish is to be there for every consumer and right from the premium end to a price where it is affordable for the consumers. In a situation like that we are in today, where the consumer demand is muted. So we want to entice the consumers, we want to give them value.

And we want them to also try our liquid detergents. And that's the main reason to launch that at that price point. While margins I won't be able to share right now. So that's the intent is that more and more consumers coming to the liquid detergent foray. On personal care, double digit growth is a fairly good growth that is there. And our brands continue to do well in a market like this.

And the new variants are also on an average doing well. So that's on personal care.

Sanjay Agarwal: Vishal on the utilization of cash. You know, as per the Board decided capital allocation strategy dividend is one way to reward the shareholders. And currently we have been conserving cash for any future opportunity which we may consider. So right now we are in the conservation mode for any future opportunities.

Moderator: Thank you very much. The next question is from the line of Percy from IIFL. Please go ahead.

Percy: Hi, everyone. Congrats on a very good set of numbers. I just wanted to understand a little bit of the flavour of your growth. Is it coming mainly? I mean, is your state mix changing? Is it that you are very weak in some states and now the growth in those states is significantly higher than the national average? Is that the source of growth? Or is it that you are getting this kind of growth uniformly across geographies?

Sanjay Agarwal: So Percy, it's across the Board. I think the results of our distribution expansion is paying off.

And states which have been doing well, they are doing further better with a higher A&P spend,

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which we are doing. And, you know, markets where we were less strong or dominant is where

the several ATL, BTL spends, which we've been doing, has been helping us. So I wouldn't call out any particular state which is doing much better than the rest. I think it's a mix of everything. Also, the modern trade in e-commerce business has been doing well. So that's something which is also driving the growth.

Percy: So your geographic market states over the, sorry, market shares over the last three years or so have not changed much. And wherever the market shares are low, they remain at that same level. And wherever they are high, they also remain. I mean, there's no there's no sort of case to, I mean, there's no on the ground evidence to suggest that wherever the market share was low, the increase there has been higher than what you have normally seen in terms of market share growth?

M.R Jyothy: See, we have seen market share growth across our segments this quarter, and in fact, in most of the geographies. So case in thing is EXO. While we have been a very south strong in terms of EXO, East is an example where from a very low single digit, we are into double digits. So we are gaining market share across the country. And we'll continue to focus on our distribution, we'll continue to offer better quality products compared to the rest. And that's purely where we are doing.

Percy: Correct. So that is exactly what I was hinting towards that. Like you're in EXO, your eastern region growth is higher than the southern region growth, right? Because you are under indexed in East. So that kind of story is playing out in other categories also.

M.R Jyothy: Yeah, it is a mix. Yes. It's a distribution and brand investment that we are continuously doing and yielding us better results.

Percy: Okay, second question is on gross

margin. So this quarter, I think nobody else has taken a price cut this quarter. I mean, last quarter, you had a 0% pricing, this quarter, you have a minus three. Even HUL, there is a slight difference in the pricing, but not to the extent of 300 basis points. So what is happening there? And secondly, related to this, despite such a sharp price cut in one quarter, Q -o-Q as well as Y -o-Y, your gross margins have improved. So what is the source of that margin expansion?

Sanjay Agarwal: So Percy, see gross margins aid is dependent on, in our case, on the product mix, certain scale benefits we get and the operating efficiencies or efficiencies in the business operations also drive the gross margin. the price cuts which you are referring to, they have been done in across the portfolio for us in the dishwash, more so in dishwash, then in fabric care and personal care. So at these level of RMPM prices, we'll be comfortable with the gross margin range of 49 % to 50%.

Percy: Understood. And finally, on EBITDA margin, you have done about 18% EBITDA margin this quarter. And every quarter sort of you're doing slightly better than what we expect. So are you being a little conservative in terms of your guidance and what is the reason that this 18% margin will not sustain going ahead, if at all?

Sanjay Agarwal: So I mean just the beginning the first quarter of the year and as I mentioned that the RMPM prices are also volatile. We have seen how things have shaped out in the last few years and our

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stated objective has been that we want to invest more behind the brands, we want to keep expanding our distribution because that's where there's a lot of scope for us and hence we want to be – we are comfortable with 16 % and 17% range. Yes this quarter is 18, but as we move along I think we'll be able to guide you much better.

Percy: Okay, that's all from me. Thank you.

Moderator: Thank you. The next question is from Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Hi. Good evening. Thanks for the opportunity. Sanjay I have a basic question. In the fabric care post wash I think we have been talking and getting more penetration in the liquid side, but even our powder detergent is also very strong. So will you be able to give me some colour? What is the growth we have expected or what is the growth we have delivered on powder and liquid specifically in this quarter?

Sanjay Agarwal: So as you know Shirish liquid is on a smaller base and it's growing faster. So the growth rates are going to be much faster while powder category is much stable category. So I think I can just offer you that it's the base numbers are less on liquids so growth is much higher. The fact that we launched our Ujala liquid and Henko liquid and now with More Light large packs 5 liter demonstrates that liquid as a category is doing good for the country, good for the consumers that they're using a better quality product. So yes we are also focusing on that and trying to get to the consumers to use a better quality product.

Shirish Pardeshi: Let me step back and ask me a little different question. Is the industry is right because you guys have given a product at a very competitive price. So do you think that there is a bottom of the pyramid which is there is a fast shift and there is a price propensity which will bring in more customers to the category? Is that the thinking is there?

M.R Jyothy: We couldn't hear you properly Shirish could you repeat the question?

Shirish Pardeshi: No, I'm saying we have launched 5 liter pack and I think at a very price competitive range. So what I wanted to understand is the industry structure is changing much faster than every customer is now trying to look at and trying to experiment the liquid?

M.R Jyothy: Yes so we see that more the liquid detergent adoption more

from South which is a market which

responds to the new age people are more experimental in that sense. They also have money to invest and all that. So you see this more in the South than modern trade e-commerce and then the metros. So yes we want and like I said that many players have come in and like you see that in powder detergents there are various segments. The liquid detergent is also kind of mirroring or is seeing that kind of growth and price points at different levels.

Shirish Pardeshi: That's helpful. Second on Margo I think historically Margo is very strong brand in the East, but over last one and half two years we have expanded in this franchise and we have also complemented with the adjacencies. So maybe in non East market which are the segments or which are the sub-segments you are seeing a stronger growth on the Margo franchise?

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M.R Jyothy: So it's not just East. For us Margo has been delivering if you see in the last 4-5 years across the other states as well, it's not just East for us. Margo is growing stronger day by day.

Shirish Pardeshi: Okay and the last question I mean I did understand what Sanjay gave the explanation on the margin front. But the question here is that are we left because what we also gather is that if rural comes back and this is what both the syndicated data agencies are saying Cantor we heard in the morning they are saying that the rural growth will be much faster. So does that mean that the price increases can come little faster instead of second half maybe end of second quarter?

Sanjay Agarwal: I don't think so we are looking at any price increases for now whether it is now or in the H2 at least for now. So current focus is volume growth and at these price levels I think we are having decent margins to invest in the business and have reward to the shareholders as well.

Shirish Pardeshi: Okay the reason why I am asking you have done a good fantastic job delivering double digit volume growth. So this volume growth will continue in the second half also that's my question.

I mean it's too early to talk about, but if the rural growth comes back we can build on that?

Sanjay Agarwal: So I think Shirish for now what we can only see between quarters things will vary and so on a yearly basis is how we would aim at least from the external perspective and it will change over quarters I mean over different quarters, but the aim is to continue the same momentum which we are a double digit volume net growth for the annual basis and which will vary in different quarters.

Shirish Pardeshi: Okay. Thank you Sanjay. All the best to you.

Sanjay Agarwal: Thank you sir.

Moderator: Thank you very much. The next question is from Avnish Roy from Nu vama. Please go ahead.

Avnish Roy: Yeah my first question is on the HI business. So essentially the market leader has come out with a disruptive product, would you be concerned on that because the efficacy they claim is much higher and second if there is high rate is that again not adverse for mosquito population and so Q2 also the growth could be weak for the entire sector because of very high rains which is happening?

M.R Jyothy: Okay so on HI see we are very focused on our LV and we believe that we have a great product with us. We have an innovation with us and we have a tried and tested molecule with us. The very reason that we have gained market share is a proof of all of that and yes we are very confident on our product and we don't have much concerns with what happens elsewhere and on the question on rains yes anything in extreme is bad so with high heat, high summers, high winters and anything that is to do with higher amount of rain yes the mosquitoes will get washed away. So let's see hopefully we should be able to still grow the market especially in the HI segment. Yeah that's it.

Avnish Roy: One fo

llow up on the market share gain so if I see three year and four year you have a dip in terms of CAGR and if I see the market leaders Q1 update that also suggests that their HI is also very similar in terms of Y-o-Y almost flattish which is in your case also almost flattish low

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single digit. So where is the market share gain coming from? Would it be from the number two, number three player because it's a four five player market only, who are you gaining from?

M.R Jyothy: Sir we wouldn't want to comment on that and the thing in proof is that we have gained market share. So we have gained 300 bps compared to last quarter and that's good enough and a good direction for us to show that our efforts are working that's where I can comment.

Avnish Roy: Okay last question will be on body wash so essentially there again the market leader is doing a disruption, the brands in which they are doing Lux, Lifebuoy may not be competing necessarily with Margo, but just want to understand I'm sure being a soap manufacturer how impactful do you think such a disruption is in the past also it has been tried, but TFM and later being less do you see customers asking for such products because if they ask I think in Margo also is there a use case for doing that in Margo?

M.R Jyothy: While it's a good suggestion we'll look into it we don't have much to comment on that segment right now.

Avnish Roy: But till now there's no impact because of the market leader's disruption, too early for that?

M.R Jyothy: Yes as in we are growing well on our brand so that's what.

Avnish Roy: Sure. Okay that's all from my side. Thank you.

M. R Jyothy: Thank you.

Moderator: Thank you. The next question is from the line of Dhiraj Mistry from Anti que. Please go ahead.

Dhiraj Mistry: Yes congrats on good set of numbers. So I have one question regarding personal care category, so if I looked at FY20 numbers you were making somewhere around 20% plus EBIT margin and over last five to six quarter there has been quite a few volatility in their EBIT margin personal care. So how do we see that going ahead that where the EBIT margin as a company where do we look that EBIT margin to settle down?

Sanjay Agarwal: So see over last three, four years as you know the brand has been doing well and the key raw material is palm oil and you know how the palm oil prices have been so volatile and it's an imported product. So therefore the freight cost going up and down and now right now freight cost being going up is also impacted. So the margins are dependent on the palm oil prices which we have been updating every quarter when the prices are going up and all of that.

Now also last year or so we have launched three new variants in it and we have seen the success of those variants obviously we had to do higher A&P to launch that as you know we had a brand ambassador Raashii Khanna there and which has really done wonders. So this quarter also and in the last few quarters we had seen higher A&P and it will vary across quarters, but the margins are intact be it the personal care or Margo as a franchise so that's not a concern. We want to grow the franchise much bigger that's the whole objective.

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Dhiraj Mistry: Yes a second question in that category only that we have done quite a few launches what were the contribution of new products in personal care and also from the overall company's perspective?

Sanjay Agarwal: Sir launches were done last year what we are currently happy or satisfied is that there are repeat purchases and gives us a lot more confidence in our new or further initiatives of doing innovation and new launches. So the numbers my apologies I will not be able to speak specifics between what the green Margo soap is and what the new variants are doing

hem split, but all of them are

doing well and that gives us a lot of confidence for the future.

Dhiraj Mistry: Got it. Last question from my end can you give some colour on growth in terms of rural market versus urban market and also in terms of region that East and South compared to West and something like that?

Sanjay Agarwal: All markets are doing well. Rural market was a concern for lot of us, but things are now started to looking up and the union budget also gives a lot of focus on job creation and so that is helping especially now with the monsoons coming on track that will also help in the rural growth. We as a company have products which do well in rural markets and our distribution is also expanded in the last few years in the rural. So we are quite confident that with the growth or pickup in the rural demand we will be able to capture that.

Dhiraj Mistry: But was it higher compared to urban market during the quarter?

Sanjay Agarwal: No, there's nothing like that it's been higher. It's just that those challenges which we were seeing has now been left out and going forward we can be more optimistic on the rural demand.

Dhiraj Mistry: Got it. Thank you. That's it from my side.

Moderator: Thank you. The next question is from Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Thank you for the opportunity sir. So I have a couple of bookkeeping questions so what is on the other expenses? If you look at the other expenses it has gone up by around 22% so is there any one off in that or that's the steady state other expenses that we can expect going ahead as well?

Sanjay Agarwal: No sir it's very much in line with the overall sales increase and overall expense increases. It varies I mean again it can move between one quarter here and there but very much in line there

are no one offs in the other expenses.

Gaurav Jogani: So likewise on the depreciation bit also depreciation both on a Y-o-Y and a Q-o-Q basis has seen a sharp jump so because you don't have any other capex also so what is this increase with regards to?

Sanjay Agarwal: Overall capex we believe should be in the range around INR50 crores to INR60 crores for the full year and depreciation also has been in line with that.

Gaurav Jogani: Okay. Thank you that's all from me.

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Moderator: Thank you. The next question is from the line of Nihal Mahesh Jham from Ambit. Please go ahead

Nihal Mahesh Jham: Yes. Sir I have two questions. First was on the Dishwas h category while Exo has seen market share gains what explains the market share loss that Pril has seen specifically over the last three years?

M.R Jyothy: Sir we have gained in both.

Nihal Mahesh Jham: Okay I was referring to the annual report data where at least I see that Peril has gone from 17 % to 14 %.

M.R Jyothy: Yes. We have gained compared to last quarter. The recent quarter we have gained market share both in Exo and Peril.

Nihal Mahesh Jham: And if I say compared to three years back where it's looking lower what would explain that?

M.R Jyothy: See directionally we are growing that is where I would want to you know. And we are investing for us internally also we are growing in double digits in terms of volume.

Nihal Mahesh Jham: Sure. The second question was just to understand the distribution better. The absolute reach for us has been more or less similar at around you know 2.8 to 3 million outlets whereas the direct reach has been increasing. So is the focus ahead to obviously focus more on direct distribution and get more revenue per store that kind of perspective or we are looking at an absolute distribution increase also as we try focusing on new states?

M.R Jyothy: See for us direct distribution makes sense but from a future of this thing it will be both direct and indirect as well.

Nihal Mahesh Jham: Do we have a specific

c outlet target for the coming year?

M.R Jyothy: We wouldn't want to say that right now.

Nihal Mahesh Jham: Fair enough. That was it for my side. Thank you.

Moderator: Thank you. The next question is from the line of Amit Purohit from Ellara. Thank you and please go ahead.

Amit Purohit: Yes, thank you for the opportunity sir and congrats for good set of numbers. Sir on modern trade what would be the salience of modern trade now versus say 2 -3 years back?

Sanjay Agarwal: So modern trade and e-commerce business is around 15% of our top line. So that's what it contributes now and it's been growing at a much faster clip.

Amit Purohit: And 2 -3 years back this number would be what?

Sanjay Agarwal: I would say it would be around say 10 odd percent.

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Amit Purohit: And in other markets I mean basically when I look at the south market is it safe to assume that the entire product portfolio excluding the HI portfolio would be there available in the modern trade in south market and whereas in the non-south market is the entire range available in the modern trade? Is it the right assumption or we are still to build up that?

Sanjay Agarwal: Yes, mostly yes, absolutely right.

Amit Purohit: So I mean in the non-south market also the entire range is available in modern trade?

M.R Jyothy: Correct yes, we are selective that way but yes broadly yes.

Amit Purohit: So what is driving modern trade growth is it the new stores expansion in modern trade or how do we think about?

Sanjay Agarwal: So it's been a combination of a few things even our there has been certain specific SKUs which we have introduced for the modern trade market which are large packs. Also focus as a team to see that business is doing well as per se e-commerce and modern trade and we have been investing on our A&P spends and which is also gathering the momentum there so like those are the two specific things. We are present across all these brand owner whichever the modern trade players and e-commerce players so I think it's now catching up on the fast growth with us.

Amit Purohit: Okay and for lastly I mean south has seen a good amount of rain I mean excess of rain does that actually has any positive or negative impact on any of the category or it is not so relevant in

terms of looking.

Sanjay Agarwal: I mean it's an annual event I mean every year it happens so it's nothing like anything specific will happen for us on the rains . Yes, monsoons do make a difference for our HI category but southern markets we are not that strong up there , so therefore it remains business as usual Amit.

Amit Purohit: Okay , thank you so much.

Moderator: Thank you . The next question is from the line of Harish Advani from Investec . Please go ahead.

Harish Advani: Hi, good evening . This is Harish from Investec. I just have two or three questions , this reduction in EBIT loss in the HI business is that completely attributable to the exchange between LV and COIL for this quarter ? Because obviously the revenue growth has been a bit muted.

Sanjay Agarwal: Okay , so is that the only question or you have other questions as well?

Harish Advani: I have two three more I can ask them all together if you want.

Sanjay Agarwal: Sure. So on HI see the EBIT loss has been lower again it will vary on product mix yes , so LV share has gone up and therefore to some extent the EBIT loss has come down and again this would vary on quarter -to-quarter it depends on the spends which one has done on that category .

Harish Advani: Just a broader question on margin , if you look at over a longer term , 2 years, 3 years, 4 years period – the assumption is that HI losses will keep coming down as our mix improves and probably in the next few years , time will not have any of these EBIT losses. As one of the other

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participants also mentioned personal care will can probably see an acceleration in profitability from what are you aiming compared to F24 levels given that those levels are a little bit lower so over a 3 years, 4 years period that can go up .

So, over a slightly longer term period , a given fabric and Dishwash would stay in the similar trajectory isn't there enough kind of scope to improve the profitability , overall margin , structure of the business , even from these levels or 17 %-odd which you might hang on to for the next 12 months, 15 months?

Sanjay Agarwal: So, is your concern that HI will be running or continue into losses and therefore your margins may be capped here or you are saying that the – I've still not got the main point which you want to ask.

Harish Advani: My point is that HI will not that – will actually become profitable at some point as the mix as you get the optimum mix and you could see margin expansion in personal care also from low levels of 24 over the next 2 years, 3 years so then over a slightly medium to over a slightly longer term, isn't there more scope for margin improvement from current levels of 17 %-odd percent over a slightly longer term?

Sanjay Agarwal: Yes, as these things play out , these will be bonus for us HI contributing positive and personal care has been good margin business , and at these levels is when we are making 16 % , 17% our guidance , with quarter at 18%, but mathematically yes , if these businesses also start doing much better numbers over a medium term , the margin profile would improve from here.

Harish Advani: I just a couple more smaller things , one was on the pricing , so in absence of change in the pricing structure as you mentioned , there's no real need to tweak pricing now . Would one assume that this minus 2% to minus 3% kind of number would be the case for the balance part of the year as well? Or is it too early to say?

Sanjay Agarwal: Yes. These cuts prices which are taken will remain there for the balance year as well. So there would be a decline to that extent.

Harish Advani: And last thing was on the South, non -South. So South is still about 40% of the business. If I remember correctly, 3 years , 4 years back also, I think this number was fairly similar, not very distant. So again, fair to assume that this growth in the last 3 years , 4 years that you've been continuing to do double -digit in fact more than 3 closes in 5 years. Has been secular in South and non-South since the share is not dramatically shifted -- or am I reading the wrong?

Sanjay Agarwal: Yes. So, it's broadly the same range of 40 , 60. 40 South and non -South 60 .

Harish Advani: Which is the same case a few years back as well, yes after there?

Sanjay Agarwal: Correct.

Harish Advani: Got it. Those are my questions. I wish you all the best.

Moderator: Thank you very much , the next question is from the line of Vishal Punmiya from YES Securities . Please go ahead.

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Vishal Punmiya: And congratulations on good volume growth and margin performance this quarter. I actually just have one question. Almost a year back, there was a comment in a media interview regarding

the ambition of taking personal care to of 15% mix for the business from the 11%, 12% range. Just wanted a clarity in terms of whether this includes -- any inorganic accretion that you do? Or is it just the organic growth that you are expecting from the segment?

M.R Jyothy: See, that's the wish that we want to be . To take from existing 12 to 15 and we'll see all possibilities both organic and inorganic.

Vishal Punmiya: Okay , any timeline for that?

M.R Jyothy: No, not really.

Vishal Punmiya: Okay , that's all for my side . Thank you.

Moderator: Thank you very much . The next question is from the line of Vishal Gutka , which is a follow -up question from HD

FC Securities . Please go ahead.

Vishal Gutka: Yes, thanks . I have just one follow -up question , when you especially expect the aspiration NPDs because apart from a disruptive launch in the liquid detergent side, we are not seeing much. So when should we expect that? Any colour on that? Will be really helpful.

Sanjay Agarwal: So Vishal , we've been doing our bit. And in terms of launches, there will be some things -- I mean a market would require a product , we'll definitely launch that. And our organic business, what we are currently doing is also pretty fine. So you will hear more about the NPDs in the coming times.

Moderator: Thank you very much . I will now hand over to Mr. Karan Bhuwania from ICICI Securities.

Karan Bhuwania: Yes, two questions , one can you share what is the share of liquid , and overall revenue and second also can share the cash and books ?

Sanjay Agarwal: So, Karan , we couldn't hear you , could you just speak louder.

Karan Bhuwania: Yes, can you hear me now?

Sanjay Agarwal: yes.

Karan Bhuwania: Can you please share what is the share of liquids in your overall revenue , basically liquid detergent liquid resource etc . And secondly what is the cash on the books currently ?

Sanjay Agarwal: So Karan, as I mentioned to a previous question, difficult for us to give a number for the share of liquid detergent . Liquid has been on a low base, it's growing much faster. The category is doing well. And with our several introductions in Henko , Ujala and now with Morelight . The growth is much faster than the detergents powder , so I'll just rest it there , and the cash balance now is in the range of around INR650 -plus crores.

Karan Bhuwania: Thank you.

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Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Sanjay Agarwal: Sure. thank you all for attending the call, and I hope we have answered most of your questions and queries. If you still have any further queries, you can reach out to us, and we'll be happy to address them all. And thank you Karan and the team at ICICI for organizing this conference call and Chorus team. Thank you very much.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines .

Call: Nov 2024

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November 15, 2024

To,

BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400023

BSE Code: 532926

National Stock Exchange of India Limited

Exchange Plaza, Bandra – Kurla Complex,
Bandra (E), Mumbai - 400051

Scrip Code: JYOTHYLAB

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended September 30, 2024

Pursuant to Regulation 30(6) read with Part A of Para A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, transcript of the earnings conference call held on Tuesday, November 12, 2024 for analyst/ investors to discuss the Un-audited Financial Results for the quarter and half year ended September 30, 2024 and the way forward, is enclosed.

Further, the aforesaid information is also available on the website of the Company at www.jyothy.com.

Kindly take the above on your record and disseminate the same for the information of investors.

Thanking you,

Yours faithfully,

For Jyothy Labs Limited

Shreyas Trivedi

Head – Legal & Company Secretary

Encl.: As above

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Jyothy Labs Limited

Q2 FY '25 Results Conference Call ”

November 12, 2024

M
ANAGEMENT : M S. M R JYOTHY – CHAIRPERSON AND MANAGING
DIRECTOR – JYOTHY LABS LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES

Jyothy Labs Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Jyothy Labs Q2 FY '25 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.

Manoj Menon: Hi, everyone. A wonderful season's greetings to all of you. Representing ICICI, it's our absolute pleasure once again to host the management of Jyothy Laboratories for the results conference call. Over to Madam Jyothy for the initial remarks, post which we'll open the floor for Q&A.
Thank you.

M R Jyothy: Thank you, Manoj. Good afternoon, everyone. A warm welcome to the Jyothy Labs conference call to discuss our financial performance of Q2 FY '25. The complete results and investor presentation are available on both our company website and the stock exchange . I hope everyone had a chance to look at it.

For the quarter ending September 30, 2024, our consolidated sales reached INR734 crores, a 0.2% in value and 3% in volume growth against a base of 11% value growth in the same period last year. In the current quarter, the variance between value and volume growth is primarily due to increased grammages and select SKU price cuts.

We have seen an improvement in rural demand accompanied by robust growth in our e - commerce and quick commerce channels. Our gross margin for the quarter stands at 50.2% compared to 49.2% same period last year. With palm oil prices remaining an exception to the otherwise stable raw and packing material costs.

We anticipate some price increase in the soap categories in quarter 3. Advertising and promotional spending was 8.3% for the quarter, an increase of 6.4% over the same period last year. Despite softer consumer demand and seasonal impacts, we remain focused on ensuring strong brand visibility.

Our operating EBITDA is at 18.9% compared to 18.5% in the same quarter last year, with a PAT of INR105 crores. For the half year, revenue reached INR1,476 crores, an increase of 4% and 7% in volume with a gross margin of 50.7%. The operating EBITDA margin for the half year is 18.4%, an increase of 7.6% from same period last year. We are maintaining 9 days of operating working capital and remain debt free.

With a strong cash reserve of INR659 crores following a dividend payout of INR128 crores, we are well positioned for future growth initiatives. We continue to place a strong focus on our post wash products, Ujala Supreme, the main lead in this segment was well supported by a pan -India multimedia campaign.

Additionally, partnerships in key markets with landmark events such as Pandharpur in Maharashtra and the Puri Rath Yatra in Odisha has shown impressive consumer engagement.

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We have roped in the talented Vidya Balan as the new brand ambassador for Ujala Supreme. Our latest campaign featuring her went live in October 2024.

The Ujala Crisp & Shine campaign featuring megastar Nayanthara, is resonating well in the southern markets. In Kerala, Ujala IDD detergent powder achieved a market share of 23.9% in quarter 2 FY '24, aided by a multimedia campaign featuring Superstar Manju Warriar. We have launched exclusive liquid detergent packs for the Henko brand and are continuing to actively sample in target markets.

Our 5 -liter bulk pack of Morelight liquid detergent has been well received and we successfully introduced Mr. White liquid detergent in key markets in October '24. We remain focused on our objective to build scale across different

categories. In the Dishwash bar category, Exo reached a market share of 13.6% this quarter, with a focus on small packs yielding positive results. Multimedia campaign featuring Shilpa Shetty was sustained at optimum frequency. Meanwhile, Pril liquid has maintained its market share at 14% with a sustained multimedia campaign starring Genelia and Riteish Deshmukh. We are committed to expanding the liquid vaporizer category with Maxo liquid vaporizer experiencing strong double -digit growth this quarter compared to a category growth of 2%. It aligns with our strategy to focus more on the liquid format.

Our multimedia campaign featuring Kareena Kapoor is gaining traction. Maxo Coil has seen a slight decline due to a consumer shift towards incense sticks. Our national multimedia campaign featuring Raashii Khanna is further elevating the Margo brand with a particular focus on Margo Neem Naturals to enhance visibility and appeal.

We are leveraging digital channels and initiating consumer engagement to improve the effectiveness of our campaigns, considering the media consumption habits of our target audience. We remain focused on building a personal care portfolio by extending our product line and adding new variants.

In summary, our EBITDA of 18.9% for the quarter indicates better operational efficiency. At the half year mark, our 7% volume growth indicates that our strategic approach and initiatives can keep up the growth momentum. The growth in market share of our brands highlights the consumer trust they have built.

Going forward, our strategy includes deepening our distribution network in rural markets and expanding our retail -- our direct retail presence. Volume growth will be a key metric for us as we focus both on rural and urban segments through targeted innovation and a strengthened distribution network. We remain optimistic about the long -term potential for growth through premiumization and operational efficiencies.

Jyothy Labs continues to focus on sustainable and profitable avenues to meet evolving consumer needs, ensuring our legacy as a household name in India. We remain steadfast in our commitment to brand investments, distribution expansion, cost optimization and new category adoption.

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With this, I finish my opening remarks, and we are happy to answer any questions or clarifications you may have. Thank you for your attention.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mr. Manoj Menon from ICICI Securities.

Manoj Menon: Jyothy, just a top -down sort of question here. So when I take a step back and look at the last, let's say, 1 or 2 years of actual performance and commentary by many of your peer group, largest to smallest, there has been some sort of stress in demand you always faced, and they used to call it out.

But whereas you had managed to execute superbly and grow much faster than industry with a market share gain trajectory. So what suddenly changed in this quarter? Is there something which you are picking up, let's say, in your sales data? Or is it just completely external?

M R Jyothy: Manoj, one is, yes, we've been at a good growth level at a double -digit growth level till Q1. July was not so good for us. In fact, September was at a double -digit growth. July, we saw a lot of issues in terms of -- from floods and things like that, especially impacting South as a region for us and South contributes around 40%. One is that. And second is the muted demand that still continues. So these are the two factors which have led to this kind of growth.

Manoj Menon: Is there any regional disparities in growth? Or is it general that you have seen this across everywhere?

M R Jyothy: It is there across. So the consumer demand is there across as in the muted consumer demand is there across the country.

But it was also affected largely by the seasonal impact that has happened.

Manoj Menon: Understood. Anything on trade inventory or any difference in primary, secondary, some companies did call out. Is there anything of that -- those aspects or no, it's just a pure consumer issue?

M R Jyothy: It's a consumer issue.

Manoj Menon: Okay. Understood. And if I heard you correctly in the presentation, you have held on or gained shares, right, I mean, across the board?

M R Jyothy: Yes.

Moderator: The next question is from the line of Mr. Vishal Gutka from HDFC Securities.

Vishal Gutka: Just wanted to check, HUL saw high single -digit volume growth in their home care business, where home care is predominantly detergent, dishwashing, which is a majority of our business. What is the work going very muted? Although you highlighted some of the factors that led to

But is it due to more of competitive intensity? And what are you doing to recoup the market share? It seems that you lost some market share in both the segments. So can you please highlight what are the action plan that we intend to regain the lost market share?

M R Jyothy: Yes. So Vishal, one is that -- see our growth, if you see last year base is at 11%. So that is one. Q2 is a higher quarter for us. And on top of that, we had given 11% growth last year. And like you said, we have not lost market share. We have gained market share across segments, be it detergent or dishwash. So that is not a problem. It is the consumer demand that are somehow surprised us. So that is one. And one is the base effect.

Vishal Gutka: Got it. So competitive intensity, you don't feel that is gone up significantly, it is more or less status quo, right, with regards to competitive intensity that sector remains more or less.

M R Jyothy: Yes. So for most of them, the bases were not as much there last year. We have been a great performer last year up to Q1. So that base effect is there. And the other bit is we have not lost market share. In fact, we have increased market share. So that is intact. Competitive pressure has always been there. Yes, it may be up and down each quarter, but we have things ready with us to combat that.

Vishal Gutka: Got it. And ma'am on new product development. So we have done in the last, I think, 12 months, if I recollect it right, we had done Margo Neem Naturals and Morelight liquid detergent. So if you can just give a broader perspective what the new product launches are contributing? How is -- what is the contribution of the new product to overall Margo franchise? And Morelight, if you can give any color on that?

And the secondary adjacent question is that when do we see more aggression on NPDs? Because aggression, when do we see more and more launches? And a related question is that any plans of entering into newer categories like floor cleaner, toilet cleaner, air freshener, although we are present through a form of T -Shine, but we are not seeing that much of aggression in those categories.

M R Jyothy: So see, Morelight detergent was launched in the first quarter. So that is yet to -- while we have launched, we are seeing good pickup there. We have also launched the Mr. White liquid detergent in October, which is this quarter. And our Henko and Ujala IDD liquid detergents continue to do well, and they're growing at double -digit growth. So that is one.

Margo Neem Naturals is also growing steady. Also our Margo Original Neem as a soap is also doing well. So if you see Personal Care is a negative this time on a base of 25% growth last year. So that is one. So that's one difference that you see. And going forward, yes, next year, you will see a lot of launches happening across segments.

Vishal Gutka: And any plans of entering newer categories apart from these four core categories that we have? M

R Jyothy: Yes, you will see that in the coming quarters.

Vishal Gutka: Okay. And ma'am on margin guidance, so earlier the guide for 16%, 17% band. Now in the first half, you delivered approximately 18.5% numbers with regards to margin. So would you like to

up the guidance for the entire year? Or would like to reiterate earlier guidance of between 16%, 17%?

M R Jyothy: We would like to maintain it at 16% to 17%. See, as we go, we don't know where the raw material and those prices will be. As of now, palm oil prices are at a high. So for now, we have maintained -- I mean, we have grown the EBITDA margins. But whatever comes as an up, we will be investing behind our brands.

Vishal Gutka: Got it. And you highlighted that September has seen double -digit volume growth. So that trend is continued in the month of October as well?

M R Jyothy: See, that is October is -- has been with a lot of festivals, if you see this time. So hopefully, this quarter, we should see some. I wouldn't say double digit, but maybe mid - to high single digits.

Moderator: The next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: So just on this volume growth for the quarter, you mentioned that there were some disruptions in July, which affected the numbers. So you are saying basically ex July, you have been able to continue in the mid - to high single -digit range and it's only kind of drop down dramatically in July. That's the way to think about it, right?

M R Jyothy: Yes.

Harit Kapoor: Got it. And the second thing is on the cost side. So apart from soap price increases, which I think

the industry is also taking. Would -- do you anticipate any pricing in the second half of the year or on the balance part of the portfolio?

M R Jyothy: See, yes, on soaps, you could see some price increases coming in. And across the portfolio also as and when required, we'll be taking up prices.

Harit Kapoor: Got it. And to the earlier participant's question, you did speak about new launches. So you're expecting new variant/category launches in this year in the second half? Or you're saying that's an FY '26 kind of thought process?

M R Jyothy: It's a new calendar year launches, we are.

Harit Kapoor: Got it. And just one more was on HI. So when you mentioned the 15% growth is category growth is it? And versus that EV growth for you has been double digit. That's what you mentioned.

M R Jyothy: Yes. Within our HI segment, our liquid vaporizer growth has been at double digits.

Harit Kapoor: And category growth has been low single digits.

M R Jyothy: Yes. Category is at 2%.

Moderator: The next question is from the line of Sonal Minhas from Prescient Capital Investment Advisors LLP.

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Sonal Minhas: This is Sonal. Ma'am, I wanted to just get some subjective color on anything you've seen in terms of demand or any take that you have on general trade versus modern trade versus e -com?

Anything you would want to share relevant to your product line that will be great.

M R Jyothy: Yes. So demand has not been that good, I would say. And between general trade, modern trade and e -commerce, the modern trade e -commerce is doing well, is better off.

Sonal Minhas: Okay. And general trade is relatively therefore not doing well. So is there a channel stocking issues in general trade as well, just trying to like to dig a little deeper.

M R Jyothy: No, no, there is no stocking issue. But generally, since Jyothy contributes larger, so there you see muted demand and that, hence, you see the sales muted.

Sonal Minhas: Okay. Ma'am is it an oversimplification to say that -- and when we talk to you, we are also looking at results of your peers and the other people. Is it like a good generalization to make that the industry was sitting on a high base growth for last

year and hence, the kind of growth that

we're seeing right now looks muted. And or there is something subjective which you are picking up from your assessment of the market overall, which you would want to share?

M R Jyothy: Yes, the industry has not been in great shape since last year. We have been doing well. And for us, those bases were -- I mean, last 3, 4 years has been great, and we are sitting on that base. Yes.

Sonal Minhas: Anything in particular, which you're picking up, which is more pertinent to let's say, why our consumer on the urban side is not buying in general? Anything which you picked up from the market?

M R Jyothy: Nothing like that. If you see modern trade and e -commerce have been growing. So -- yes. But yes, there is a general slowdown in the general trade across the country.

Moderator: The next question is from the line of Vishal Gutka from HDFC Securities.

Vishal Gutka: Ma'am, just one question on one of the smaller businesses actually on laundry services. So recently acquired one brand called Quiclo. Just wanted to understand the purpose of acquiring this brand and a longer -term prospect with regards to business? And if you can any picture. And if you can provide details with regards to how is the profitability for this business as of now?

M R Jyothy: See, yes, Quiclo is a small brand. It's a very, very small acquisition that was done in Hyderabad. So -- and we have not acquired the entire business. It's only the brand that we have acquired along with the consumers. I mean the customers that have been using, we've got that additionally. So our business has gone up to that extent. But we are at EBITDA neutral as of now.

Vishal Gutka: Okay. And the long -term focus of this business because earlier, you had scaled down the business significantly. Now what is the business looking like with regards to next 3, 5 years?

M R Jyothy: See, we would like to maintain it, that's all. There won't be any significant growth or that kind of plans that are there. We will be maintaining it at a breakeven.

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Moderator: The next question is from the line of Amit Purohit from Elara.

Amit Purohit: Ma'am, on dishwash actually, just wanted to know your thoughts. I mean, this quarter has -- I mean, for quite some time for the last 3 quarters, we've been growing at mid -single digits. Last quarter was a bit better this quarter is again. But I mean, we took some initiatives, I think somewhere on the pouches, and we would like to drive that growth which was with -- that SKU

was probably not pushed aggressively in the modern trade channel and also has -- what has been the trend there?

M R Jyothy: So if you see the growth for us across segments, it is a general thing. Dishwash has been fine so far among the Fabric Care growth, Personal Care growth and your other HI and Dishwash, they all have been at positive growth, right? And we have maintained our market share, which also -

- and in Exo, we have grown the market share. In Pril, we have maintained the market share, which also means that in this competitive environment, we have done well.

So that's all what I can say. Going forward, we have taken a lot of steps. Hopefully, that should result in good sales.

Amit Purohit: No, I was just looking for this SKU of pouches, has that got good acceptance in the Exo -- for the Exo brand. I think if I'm not wrong, that was -- this corrective action was done last year or so.

M R Jyothy: So pouch is more from Pril point of view, not from Exo.

Amit Purohit: Okay. And how has been the response?

M R Jyothy: It's been okay. It's been good. In fact, we want -- and we'll concentrate on that as well going forward that the recruiter pack for us. So that will continue to be given focus.

Amit Purohit: Okay. And ma'am, on the other expenditure side, I wanted to know what -- because I mean this quarter, we have

seen a Y-o-Y decline. What would be the reasons for this? I mean, which are the cost items that has helped us to actually reduce the cost?

M R Jyothy: Other expenditure?

Amit Purohit: Yes. Other expenditure.

M R Jyothy: Yes, yes, that is general stuff, which has gone down due to reduction in volume and saving due to factory consolidation.

Amit Purohit: So there is no one-off kind of things?

M R Jyothy: Nothing one-off

Moderator: The next question is from the line of Karan Bhuvania from ICICI Securities.

Karan Bhuvania: I have one question. So you mentioned what modern trade e-commerce et cetera, growing faster, if you could highlight what are the growth rates for those trends? And also, if you could highlight

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what is the salience of modern trade e-commerce and quick commerce and how they have trended over the last, say, 3 to 5 years in terms of salience?

M R Jyothy: Yes. So that -- see, modern trade, e-commerce has been growing at double digits is what I can say. I can't give the exact numbers.

Karan Bhuvania: Okay. And in terms of salience, how much will they contribute to our revenues? And how have they trended because they've been growing faster than general trade for quite some time, so how has salient shift happened over the last 3 to 5 years?

M R Jyothy: Yes. So 6% is our overall e-commerce contribution.

Moderator: The next question is from the line of Sonal Minhas from Prescient Capital Investment Advisors LLP.

Sonal Minhas: I was looking at your trade receivables as of September 30, 2024, and comparing them to the same number for 2023, there seems to be kind of a rise from INR175 crores of trade receivables as of September '23 to around INR245 crores as we speak right now. Any subjective commentary you would want to make on this?

M R Jyothy: That is increase in the institutional sales. That's all.

Sonal Minhas: Okay. And you mean, institutional sales, you're talking modern trade if I...

M R Jyothy: Yes, yes, yes.

Sonal Minhas: Got it. So this is cyclical, this is systemic. I just want to understand a little bit more.

M R Jyothy: No, we have maintained our working capital at 9 days. So that's okay.

Sonal Minhas: Okay. Why I was asking because for the same sales that we do, because the sale is flat and the number is up basically, trade receivables were up by around I think around INR75 odd crores same time last year. So there was -- this is kind of a significant delta, that's what I was asking. But as the share of modern trade significantly gone up last year versus now? Or this is just like a one-off we're talking about?

Management: Yes, Sonal. So we are not giving any credit to our GT customers. So whatever data -- balance is there, that is related to institutional sale. So since the institutional sales is growing up. So you may see that increase in the debtors receivables by INR50 crores, which is in line with our business, if you see.

Sonal Minhas: Okay. And this will remain at these levels as we go forward?

Management: This will fluctuate by INR50 crores maybe less will be there sometimes what happens, some its fluctuate due to pipeline credit note. So it may be like plus INR25 crores or minus INR25 crores.

But that overall the working capital will maintain 10 to 12 days.

Moderator: The next question is from the line of Mr. Manoj Menon from ICICI Securities.
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Manoj Menon: Over the last 3, 4 months, we have seen that HUL announcing a project called Stratos and reducing the TFM content. And whereas Godrej has given a response in the press release last month, it seems to have two companies seems to be taken diametrically opposite stance in terms of soap formulation. Only one thing, one comment from your side, have you done some any such projects for Margo or not?

M R Jyothy: No,

we have not taken any such projects, Manoj. We'll continue with what we have been doing.

Manoj Menon: Okay. Sure. Secondly, Jyothy, there is a general perception over the years that there is a certain quantum of growth which you are able to deliver, let's say, higher than industry due to whether it is numeric distribution addition or improving productivity. So are we to assume that that still continues, and this overall growth is just because of one very bad July?

M R Jyothy: See that -- like I used to always say, we are an FMCG company, and we'll continue our journey to add retail outlets, so that will continue, but we are sitting on a huge base of retail outlets. So that difference will be there. Any additional increase in outlets will have to be carefully considered, but we are still on our journey to increase outlets.

So that will happen. And the outlets that we already have, we have certain regional brands, which we'll be taking and using these outlets to reach out more brands and more launches.

Moderator: The next question is from the line of Senthil from iThoughtPMS.

Senthil: First question is just a clarification. Ma'am you mentioned that you'll be following into new categories. So it will be -- in terms of relations with the existing categories or it will be a completely new category, if you can provide me more details on that?

M R Jyothy: It could be newer categories.

Senthil: Okay. And so the existing distribution and the sales will be compatible for the new products? Or are you planning a new kind of distribution for this?

M R Jyothy: No, no. We'll be using our existing channel. We have a good distribution setup, and we'll be using those launches in our existing channels.

Senthil: Excellent. Second question is on expanding the main wash category. So if you can just share some insights in terms of what improvements we are seeing in terms of...

M R Jyothy: That is -- see, we have certain brands which we are regionally present, for example, Ujala IDD, which is present in Kerala, West Bengal and Tamil Nadu that we would like to scale up at a national level, so that you will see step-by-step increase happening there in terms of distribution and reach. Then there are other brands as well, which we will be taking it pan-India.

Senthil: Okay. And just last question on this liquid detergent as a category, we're also seeing the liquid detergent in INR10 packs and things like that. So does this liquid is the category relevance across the customer base? And how does -- so we have launched liquid detergent across all our brands. So how do we plan to take up this category? And how could be the relevant in the next 3 to 5 years for the company?

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M R Jyothy: See, liquid detergent is a growing category. It's growing at 40% to 50%, largely from South, and now you can see those things happening across the country. We were initially in the premium segment. Now we intend to take it to all the segments because one is we are seeing good response from the consumers and liquid detergent is here to stay.

Moderator: The next question is from the line of Chinmay from Prescient Capital.

Chinmay: Little general question from my side. So from a medium to long-term perspective, could you give some color on how do you -- in the sense that what does it take to stay competitive in the e-commerce or the quick commerce space compared to general trade? And is it like is this part of your active strategy?

Or if you could just give two to three key initiatives that you plan to undertake over a medium to long term to stay competitive, specifically in the e-commerce space?

M R Jyothy: See, we've been investing behind the brands. I would say brand should sell; your quality should sell. These are the most important and critical, whether you're in general trade, e-commerce or whatever. So that's first main point.

Second is consumers look at these as well. So we have to be competitive that way, whichever channel that we are present on. So those are things that will help you.

Also try and do a lot of digital activities because that's the shift that's happening in terms of media from TV largely to digital mediums so to reach the right consumers at the right time.

Moderator: The next question is from the line of Vishal from YES Securities.

Vishal: Just wanted the clarification on the price hike that you have taken in soaps portfolio and if you could highlight the quantum of the price hike? And when was it taken? Is it at the end of the quarter?

M R Jyothy: No, we haven't taken any price hike yet. We will be taking in is what I mentioned, yes.

Vishal: Okay. So that would be executed in Q2?

M R Jyothy: Q3, yes.

Vishal: Okay. So -- and in terms of volume growth, so you did mention that there is pain in the market, so would it be fair to assume that even in next quarter where you are sitting on a base of 11% volume growth. Volumes would be subdued even in 3Q based on the trends that you have seen in the last few days or last 1.5 months, what sense do we get?

M R Jyothy: Yes. So we are trying our best. We'll -- I mean, somewhere be between mid -single to high single digits.

Vishal: Okay. So this, along with the annualization of the earlier pricing actions because we are sitting on 4 quarters of negative realization. So that will turn positive and also along with the additional price hikes that you take we should lead to a high single -digit kind of revenue growth is what we are seeing?

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M R Jyothy: There could be much of a pricing impact as such in this quarter. We are taking price increases, which will come in Q4 rather.

Vishal: Understood. Okay. And in terms of margins, you seem to be conservative regarding your margin guidance where you have already done almost 18.5% EBITDA margin in first half, but you have maintained a 16% to 17% EBITDA margin guidance. Is it something that you think that could be because of volatile inflation that might impact your margins in the coming quarters, or you do basically wish to spend the entire amount in terms of generating demand in the market?

M R Jyothy: Yes. So it will be a combination. I would still maintain in 16% to 17%. It will be a combination of investment -- brand investment and that requires to support new launches and also a potential price hike in raw materials.

Moderator: The next question is from the line of Shrinarayan Mishra from Baroda BNP Paribas.

Shrinarayan Mishra : Yes. So my first question was on the new categories that we would be launching. Will there be any significant capex?

M R Jyothy: No, not much.

Shrinarayan Mishra : Okay. And so second question was on HI category. So as we see this category has de-grown on a 3-year CAGR business by 10%. So, like, I mean, how are we doing on this category? Or what is our plan to turn this around? Or I mean, what actions are we talking to beat the competition or illegal incense stick. So some color on how we are approaching this category?

M R Jyothy: See, what we have maintained in the past is what I would continue here that we -- our focus is on the liquid vaporizer segment. And for us, in spite of a quarter like this, we have grown in double digits in the liquid vaporizer segment. It's the coil category that is seeing a negative growth, and we have certain -- taken certain measures which you will see in the coming years.

Shrinarayan Mishra : Okay. And the competition has launched a new product in LD category. Are we seeing any impact of that?

M R Jyothy: No, I would like to focus on what we are doing. We have grown healthy double digits, and we are happy with that.

Moderator: As there are no further questions, I would now like to hand the conference over to management for closing comments.

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M R Jyothy: Thank you all for going through the presentation. And, yes, that's it.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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February 03, 2025

To,

BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400023

BSE Code: 532926

National Stock Exchange of India Limited

Exchange Plaza, Bandra – Kurla Complex,
Bandra (E), Mumbai - 400051

Scrip Code: JYOTHYLAB

Dear Sirs,

Sub: Transcript of the Earnings Conference call for the quarter ended December 31, 2024

Pursuant to Regulation 30(6) read with Part A of Para A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, transcript of the Earnings Conference call held on Friday, January 31, 2025 for Analyst/ Investors to discuss the Un-audited Financial Results for the quarter and nine months ended December 31, 2024 and the way forward, is enclosed.

Further, the aforesaid information is also available on the website of the Company at www.jyothy.com.

Kindly take the above on your record and disseminate the same for the information of investors.

Thanking you,

Yours faithfully,

For Jyothy Labs Limited

Shreyas Trivedi

Head – Legal & Company Secretary

Encl.: As above

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"Jyothy Labs Limited

Q3 and FY '25 Results Conference Call"

January 31, 2025

MANAGEMENT : MS. M R JYOTHY – CHAIRPERSON AND MANAGING
DIRECTOR – JYOTHY LABS LIMITED

M R. PAWAN KUMAR AGARWAL – CHIEF FINANCIAL
OFFICER – JYOTHY LABS LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Jyothy Labs Limited Q3 and FY '25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bhuwania from ICICI Securities. Thank you, and over to you, sir.

Karan Bhuwania: Thank you, Manav. Good evening, everyone. It's a pleasure at ICICI Securities to host Q3 FY '25 business conference call of Jyothy Labs. From the management, we have Ms. M.R. Jyothy, Chairperson and Managing Director; Mr. Pawan Kumar Agarwal, Chief Financial Officer. I'll hand over the call to the management for their opening remarks, post which we can open for Q&A. Thank you. Over to you.

M R Jyothy: Good afternoon, everyone, and a warm welcome to the Q3 earnings call of Jyothy Labs Limited. The company -- complete financial results and investor presentation are available on both our company's website and stock exchange. I hope everyone had a chance to look at it. For the quarter ending 31st December 2024, our consolidated revenues from operations reached INR704 crores, which represents a 4% year-on-year value growth and 8% volume growth.

The difference between volume and value growth is driven by higher grammages and promotional prices in a few categories. Ex-HI segment, grew by 6.1% year-on-year in value terms and volume grew by 10.3%. The overall demand environment continues to be subdued amid inflationary pressures and muted growth rates in urban India. However, good monsoon and growing rural wages saw decent rural demand during the quarter.

Having said that, the demand recovery, especially in the rural areas is gradual. And in our assessment, cannot compensate for the stress in urban demand for me. With rising proportion of Indian consumer purchases getting unplanned and of low to moderate order value, there has been an increase in demand for instant fulfilment served by quick commerce platforms. The rapid rise of some of the quick commerce platforms promising 10- to 30-minute delivery service in urban markets seem to be influencing the consumer habits in retail.

While in our assessment, the material impact is felt more on food, groceries and other impulse buying categories. We are closely observing the evolving behaviour of consumer purchases in the Home and Personal Care categories. Our gross margin for the quarter stands at 49.8%, which was maintained at the same level on a year-on-year basis. Our coverage of some of the key raw materials helped us protect the gross margin in Q3.

We have taken select price increases in the body soap category in Q3, the impact of which should be visible in Q4 FY '25. Depending upon the direction of input prices and market conditions, we'll trigger price increase actions in Q4. Our focus on strengthening the brand remains undiluted despite some demand headwinds in the near term.

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Our advertisement and sales promotion spend remained constant at 9% in Q3 FY 2025 as compared to the same period last year. Our operating EBITDA margin for Q3 stands at 16.4% compared to 17.5% in the same period last year. While gross margin was protected at 49.8%, the drop in EBITDA margin by 110 bps is largely due to the fact that while volume has grown by 8%, the value growth was 4%, and operating expenses grew by 7% to 8% on a year-on-year basis.

Q3 saw Fabric Care category touching nearly double-digit year-on-year growth. The growth was contributed mainly by liquid detergents and duly supported by detergent powders. Our Pos

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Wash category remained a key priority with Ujala Supreme maintaining its leadership position. This was bolstered by a new PAN-India multimedia campaign featuring National Award winning actress, Vidya Balan, launched in October 2024.

Ujala Crisp & Shine was supported by an impactful campaign featuring lady superstar,

Nayanthara, emphasizing the transformative role of crisp and polish attire in enhancing confidence.

In Kerala, Ujala IDD detergent powder achieved a market share of 24.5% in its segment during Q3 FY '25, supported by a multimedia campaign led by Superstar, Manju Warriar. Within our liquid detergent portfolio, exclusive packs for Henko were introduced to target key markets, complemented by active sampling programs. Certain multimedia campaign continued featuring Kajal Aggarwal leveraging television and digital platforms in priority markets to enhance Henko brand visibility.

Morelight Liquid Detergent continues to perform well, and we successfully launched Mr. White Liquid Detergent in strategic markets in October 2024, garnering a positive initial response.

Dishwash segment grew by 3.6% on the backdrop of growth in Pril liquid, Exo and Scrubbers.

Exo achieved a market share of 14.1% in Q3 FY '25. The ongoing campaign featuring Shilpa Shetty was sustained with higher frequency, reinforcing brand salience.

TV and digital multimedia campaigns on Pril liquid continuous nationwide in Q3, featuring actress, Genelia and Ritesh Deshmukh to highlight its superior risk cutting performance and time savings benefits. Pril continues to perform well in modern trade, retail stores and e-commerce platforms. Personal Care declined 3.7% year-on-year in Q3 due to slowdown in consumption.

Our national multimedia campaign featuring Raashii Khanna continues to effectively communicate the brand's core proposition of promoting good habits.

We leverage digital platforms and targeted consumer engagement to maximize the impact of our campaign while also broadening our portfolio with new variants to address evolving consumer preferences. To tap growth opportunities in the mass toilet soap category, we have just launched Jovia beauty soap captured with the goodness of Vitamin E and natural ingredients. Jovia comes in 2 variants, Lemon and Aloe Vera and Sandal and Turmeric for clear and glowing skin.

Home insecticide segment was severely impacted due to shift -- continued shift in consumer preference towards incense sticks and also favorable weather conditions. Liquid Vaporizer had

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a tough quarter, but for the 9 months period ended December 2024, it has grown at a healthy double digit compared to the same period previous year.

To counter some of the challenges in HI segment, we have intensified the multimedia campaign featuring Kareena Kapoor, focusing on high priority retail. Over the past few years, slowly but consistently we have successfully reduced our dependence on HI segment with the growth of various other business segments for the company. With the launch of Maxo racket, an anti-mosquito racket, which has a long battery life, there is one more addition to our household insecticide portfolio.

For the 9 months period ended December 2024, the company has delivered a 4% value growth and a 7.2% volume growth. Except for HI, all other segments have delivered growth during this period. HI witnessed a degrowth of 7.3% for the 9 months period ended December '24. On the gross margin front as well, there is an improvement of 150 bps, that is 50.4% compared to 48.9% of last year. EBITDA in absolute terms improved from INR371.4 crores in the last year to INR387.7 crores in this year.

And the EBITDA margin saw an improvement of 10 bps from 17.7 to 17.8. Profit after tax too improve from INR291.2 crores to INR941.1 crores. Despite recent inflationary trend noticed in a few key inputs, we are committed to delivering on our long-

term profitability and sustainable

growth objectives.

As mentioned in the past, we are focused on launching innovative products, leveraging our competitive advantage such as strong manufacturing capabilities spread across the country, cost optimization, excellent vendor partnerships, deep distribution network, and we remain optimistic about the long-term growth potential of the company, waiting through somewhat volatile near-term demand scenarios.

Growth for us has been driven by our ability to deliver quality products, which are manufactured in-house, hit market relevant price points and pack sizes for urban and rural consumers, nicely supported by our strong brands, efficiencies in operations and distribution of our products across geographies through various channels. Protecting margins amidst the sluggish demand scenario and commodity inflation will be the key focus area for us in Q4.

We remain committed to strengthening our market presence across categories by investing in strategic brand building initiatives, driving innovation and enhancing consumer engagement.

Last but not the least, I would like to thank you for your continued trust and support as we work towards delivering sustained growth and value creation. With this, I conclude my opening remarks, and we'll be happy to answer any questions. Thank you.

Moderator: We have our first question from the line of Abneesh Kumar Roy from Nuvama Wealth and

Investments.

Abneesh Roy: My first question is on HI. So market leader has come out with a new technology, which is more efficacious, which currently other players don't have. And when I see numbers, clearly, they seem to have done much better than you, although they have also seen decline, your decline is much sharper in spite of being much smaller. So could you comment on whether you would

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need much more effective technology to compete with market leader. And are you also seeing down trading so that could potentially benefit your coils business?

M R Jyothy: Thanks, Abneesh. While the market conditions have been bad, we trust our formulation very well. And it's -- what do you say. It's a very solid formulation. And now only we are in this space, and I have a lot of confidence in our formulation. It's the coil segment that has degrown for us. If you see year-on-year, we are at good double-digit growth in the Liquids segment.

Now the best is that this segment overall is contributing in the lower single digits. For us, our focus is on growing all other categories and not particularly HI. HI will be there and will have good enough growth for the coming year, we'll have few launches, which you will also see.

Abneesh Roy: So I understand it is a small portion of your business that is well understood. My second question was in terms of your comment that you were only company in this subcategory, if you could comment a bit more. And our sense is the higher active molecule in terms of the Agarbatti, those seem to be doing well for the market leader also. So if you could comment on that part of the segment, more effective Agarbattis?

M R Jyothy: Yes. We -- good luck to the market leader, I would say here. And we will see some more action in that space later.

Abneesh Roy: Okay. My last question will be on Dishwash. Here, market leader, again, has seen high single date growth while you have seen 3%. So if you could comment here what's happening in terms of the liquids versus the basic Dishwash in both -- how the growth is because overall growth is 3%. So if you could comment brand-wise also and the liquid and the overall -- the mass end?

M R Jyothy: Yes. For us, the liquid has grown in double digits. While the bar segment has grown decently, and we also have scrubbers here. So it is a mix of all of these categories.

Abneesh Roy: So scrubbers would have underperformed because if liquids is double digit and overall growth is 3%, something would have seen a decline also, right?

M R Jyothy: Yes. See, if you see the major volume growth is what we have achieved in the segment. It's the -- we have given more grammages. So if you see the overall volume growth for the company has been driven by Dishwash for us.

Moderator: We have our next question from the line of Vishal Gutka from HDFC Securities.

Vishal Gutka: Three, four questions from my side. First is on Jovia. So what is the right to be in outdoor here? What is the differentiating point that we've launched or are we planning to build the brand more like way, which within the way to give excellent quality to customers and give high margin to trade? And if it works, then I think a later point of time, we can start advertising the product. So that's the first question.

And second related question on Margo. So you have launched the Sandalwood variant outdoor here for a neem base soap, there are also with this decent competition from Santoor and recently,

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Lux has also ventured to bid into the sandal variant. So first, if you can answer these 2 questions, and then we'll take the other 2 questions?

M R Jyothy: Yes. So Jovia, we have launched in the mass segment, Vishal. And where it is the bundle pack that goes, right? And we have differentiated with Vitamin E and the pricing is very competitive.

And this is -- obviously, you're seeing down trading across categories that is happening. And we want to also explore that segment. We want to not lose that opportunity as well. So that is one. And we have launched the Sandalwood variant, but it's again a variant play there just to enhance the overall extension bit. So, yes.

Vishal Gutka: Got it. And Jovia launching on the PAN-India or selected geographies have been launched?

M R Jyothy: Initially selected geography, but it is intended to have a PAN-India launch.

Vishal Gutka: Got it. Got it. Other 2 questions on new launches on the racket part that you introduced for the mosquito. So it is more trading model? Or what is the difference again we're offering because the pricing of local and regional players be far, far lower. So I understand that in the presentation which have extended battery life, I think for 6 months that you have stated. That could be one of the differentiating point.

The pricing front, if you can highlight a bit. And second thing, on the dishwashing side, it should

have launched a new product for -- in the value for money liquid segment and with the brand name Sun. Do you have any plans to introduce liquids in the value for money segment, dishwashing liquids?

M R Jyothy: Yes. The racket introduction is basically, Vishal to have a complete portfolio rather. It's a very small market as such, market category as in HI, but our presence is needed. There is all other competition also present in there. We have to be present there. And hence, that is -- that's a good addition to the category. That's all that is there to the racket. And then liquid in Dishwash, while our Pril is doing well, you will see if there are more launches. Right now, I wouldn't want to comment anything.

Moderator: The next question is from the line of Sonal Minhas from Prescient Cap Investment.

Sonal Minhas: I have 2 questions with regard to the Personal Care segment. I wanted to get a bit of a subjective commentary on how do you see your Personal Care category compared to competition and you've launched Jovia which is on the economy segment, what is your take on products which are a little more premium or a little more higher up in the value chain? That's one.

And secondly, as we see the market being a little sluggish, are people downsizing in terms of volume, that should show up in your margins. Just want to understand what is the customer behavior as we speak right now on Personal Care, given the slow demand?

M R Jyothy: Yes. So, see for us, I wouldn't want to

comment on others, Sonal. For us, the Personal Care segment is quite small right now and with introduction of Jovia we are only adding to the Personal Care so that we can increase this 10%, 12% to a larger percentage in the future. So you will see some more additions coming in the Personal Care category over a period of time.

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Now -- and that is, like I said previously, the consumers are down-trading. And we don't want to lose any opportunity, either in an economy segment or a premium segment. So that's where we are. We want to be there in most segments as much as possible.

Now coming to market sluggishness, yes, that people are down trading. There are issues with volume. So that will remain for quite -- for some more time is what the guess is.

Sonal Minhas: Okay. Just a follow-up on this. So is it better to like look for alternative link categories to, let's say soap which are adjacencies -- which have more agencies than actually look -- go down the value chain and say we want to launch an economy range of soap because that's a fairly cluttered market. I'm just trying to basically just get your sense on that. So rather than soap, let's say a soap -- a bathing gel is an adjacency. But -- what's your take on that?

M R Jyothy: Yes, yes. So the gel, you are saying the body works category, right? The body wash category is there. It is not growing. I mean it's -- you're seeing growth there, but not as much as your liquid detergents are growing. For us, the soap segment, we had to have this segment as a good addition for us right now. While the -- we are not ignoring the body wash segment. We will be having a presence later.

Sonal Minhas: Okay. So that's not on card immediately is what basically we are saying. Got it. That's it from my side.

Moderator: The next question is from the line of Prolin Nandu from Edelweiss Public Alternatives.

Prolin Nandu: A few questions from my side. So Jyothy Ma'am, I mean if we look at the gap between volume and value growth, it's on a very higher side versus our long-term average, right. So from Q4 onwards, do we think that we will revert back to whatever this gap was on the basis of long-term average? And also, if I think about FY '26, will you be reiterating that you will be -- are you confident on achieving our long-term or our objective of double-digit volume-led growth?

M R Jyothy: See. Nandu right?

Prolin Nandu: Prolin here, yes.

M R Jyothy: Okay. Prolin, the thing is our ambition is still there to grow in double-digit volume growth, but we are a little cautious here. We'll try our best to be in the double digits, but I don't want to guide you there. Right now, we are facing and the market is challenging, but we'll do our best work we can. That's all what I can say.

Prolin Nandu: Sure, sure. And if I look at your long term -- I mean, your guidance on margin as well, right? We have given this band of 16% to 18%. And we want to invest in brands, right? So when I look at your presentation, right, and even in the slide deck, let's say, if we look at Slide #25, the number of celebrities that we have doing our ad campaigns for each of the product is probably one of the highest for the revenue that we generate.

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So when we want to invest in some of the brands, is there a case to rationalize some of our existing brands and some of the investment in new brand can be recouped from our existing A&P spend as well?

Pawan Agarwal: This is Pawan Agarwal. So I think brand investment strategy will continue because this is what is going to fuel the future growth. While the -- your suggestion of rationalizing some of these celebrities and putting money on some of the new brands, which probably would emerge in future. Again, it's a complex matter, which cannot be -- a call cannot be taken at this stage. Right now, we are in a stage

where we are investing in our existing brands.

And these brands are delivering good growth for us. And as and when future -- in future when we add new brands and we enter into new product categories, et cetera, we'll continue to promote those brands as well. So I think in the near to midterm, the A&P spend broadly would remain range bound.

Prolin Nandu: Sure, sure. All right. And last question from my side, would again be pertaining to your launch of Jovia, right? Now in a way, we are -- you mentioned that we are seeing a lot of down trading, and we want to be present in this market. But at the other end, we also want to focus on, let's say, liquid detergent in our other part of our portfolio, right? So is it not right to probably take one approach and probably focus on premiumization and because these are more opportunistic kind of a move.

Where I'm coming from Jyothy ma'am is that how do we manage so many launches, so many products, right? We have also launched a racket, right? So a lot of management bandwidth promotion and all would be going in some of these launches. So how do we manage the portfolio? And do you have a thought on probably cutting back on some of these products, which are not performing, maybe the coil segment in HI could be a case in point, right? Do you have any thoughts on exiting some of these products?

M R Jyothy: See Prolin, I believe in building for the future, and that's where the launches play. Today, we need to have certain play in these categories. And hence, we are launching, and this will be the future growth. So we are just seeding in with all these new launches that will be coming. And it's only the HI segment and within HI, it's only the coil, which is not doing well for us right now. And if you see the Personal Care segment, again, it's a very temporary thing is what I believe.

So most of our segments are on a growth path and with HI and within HI, it's the coil, which is not doing well. And that -- what we have done is by doing all of this, we are trying to grow all the other categories, which is doing well for us, and which has been our strength to grow so far, and we'll be investing behind growing these categories. We are bringing down the importance of HI in the overall thing.

So earlier, it used to be 15% of the company. Now it has reduced to 4%, 5%. And I think we have been successful in that. If you take -- if you remove HI, our volume growth for the rest of the category is at 10-plus percent growth, which is very good, is I believe, in today's scenario.

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Pawan Agarwal: And also, just to add to what Jyothy said, the kind of distribution network that we have created over the past 3, 4 years. The amount of products that can be placed in this channel across the country, I think it's just the beginning. So we have great opportunity and runway available before us.

Moderator: We have our next question from the line of Amit Purohit from Elara Capital.

Amit Purohit: Just on this volume value pricing gap, growth gap, because in this quarter, it's almost 4%, last quarter was 2.8%. And so what -- where are the actions that you have taken because we would have taken some pricing increase in soaps you indicated and then some price of higher grammages in Exo. Any price changes we would have done in detergent as well?

Pawan Agarwal: No, actually, the higher grammages in dishwash and in Fabric Care, the detergent liquid, which we have kind of which is doing really good for us. So there the realizations are still lower. So this basically are promos, of course. So these factors put together has led to this gap between volume and value growth that you see.

Amit Purohit: And what is the price increase taken in soap then?

Pawan Agarwal: Soap, we have taken towards the end of December is a low single-digit increase that we have taken, but we are planning to take further pricing action in qu

arter 4 in Personal Care category.

Amit Purohit: Okay. And then if that's fair. So going forward also, do you think this gap because one the detergent portfolio and as well as the Dishwash portfolio that should continue, right? Because the liquid will continue to do well, and that will continue to have a negative effect and it's the soap portfolio probably will help us to negate this, right? Is that the right way to think?

Pawan Agarwal: No, it will be a combination of various factors. So the gap between value and volume would not necessarily be as high as you see right now. It will revert to the mean level. So 2% to 3% gap over a fairly long period of time is what we can consider. So that is how it is going to look like.

Amit Purohit: So I mean, for FY '26 also, there would be some gap of, say, 2% or so is a fair assumption to think about.

Pawan Agarwal: Yes. 2% to 3% should be the gap.

Amit Purohit: Yes. And then just wanted to understand more on this margin -- segmental margin. I understand we look at overall, but still just to understand we -- our gross margins remain stable on Y-o-Y.

Our Dishwash performance despite giving good grammage, our EBIT margins remain same, maybe we would have spent less on advertisement. But fabric wash gross margins -- EBIT margins declined.

Household decline, Personal Care also declined. So -- and still -- and Personal Care, I can understand that because this would have a gross margin impact. And Fabric Care, if you are doing liquid more, maybe like you said, there is a pricing impact. And hence, your gross margins may not be as good as the powder margins because of promotions or advertisement and all.

So I'm not able to understand how the gross margin is still stable in that sense.

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Pawan Agarwal: Yes, thanks. That's a great question. Actually, though, it's a combination of multiple factors, some of things you have already articulated. One missing piece that you did not mention is the media and advertisement spend. So that varies considerably from quarter-to-quarter across categories. So -- and also the raw material coverage, you put coverage that we have had in various segments. That also helps us maintain the gross margin Y-o-Y.

Amit Purohit: But ad spends were actually on a Y-o-Y basis, you haven't reduced your ad spend if I look at on a percentage of sales.

Pawan Agarwal: No, no. But within the category, there will be reshuffling. So the ad spend would be not uniform across all categories.

Amit Purohit: And the other expenditure increase, is this just because last Q2, we would have not spent and this is the quarter when we spent because last quarter was no significant growth was seen and it's just a shift of spend. Is that the way to look at it? Or is there any something because that has gone up by 9.5%.

Pawan Agarwal: You're talking about quarter-on-quarter or year-on-year?

Amit Purohit: Y-o-Y basis, I'm saying 9.5% is up the ads -- the other expenditure.

Pawan Agarwal: Yes. So one important point is you would have noticed that our volumes have gone up by 8% Y-o-Y. So freight and transportation and logistic cost has actually increased. So that's the only increase. Other than that, most of the expenses are in line with previous year.

Amit Purohit: Sure. And what is the -- lastly, on the outlook on the margins, how do one assess -- I mean you've been indicating 16%, 17% but what is the guidance probably in the near term in FY '26.

Pawan Agarwal: Margin scenario is very, very -- the market scenario is very, very competitive and the external environment is not very conducive. As of now, we are holding on to our 16%, 17%, but we are closely observing the external trends and our effort in business plans are geared to deliver 16%, but we will let you know as we progress as we get into the next financial year.

Amit Purohit: But would you say that this margin of Q3 would be the botto

m end of the thing? Or you think

that there would be some more pressure coming in? That's the last one, sorry.

Pawan Agarwal: Difficult to say because the way input prices are fluctuating, crude prices are fluctuating. This is highly volatile scenario right now. So while our -- in the immediate near term, we have to first protect our quarter 4 margin -- this is what we are working on. And for the next year till now, we are still believing that we will -- we should be able to deliver between 16% to 17%. But we'll come back to you in the next earnings call probably what would be the guidance for the next year.

Moderator: We have our next question from the line of Tanay Gandhi, Shareholder.

Tanay Gandhi: I just wanted to understand the split you have between urban and rural. And if you could just paint a better picture on the growth, how each of them are growing?

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M R Jyothy: So the ratio is 60-40, 60% urban, 40% rural. And rural has been decent, while urban continues to have issues.

Tanay Gandhi: Yes, that was just my question. If you could just paint a bit of light on decent, what you mean by that?

M R Jyothy: See the -- if you see last year, rural was struggling. So I think on the basis of good monsoon and relatively rural is doing -- has come out of it. It is not -- the growth is not great, but it is coming back is what I believe. But for us, it contributes only 40%. So whatever good growth, if at all, in future, you get in rural. It will not compensate for the issues that are there in the urban.

Moderator: We have our next question from the line of Vishal Gutka from HDFC Securities.

Vishal Gutka: I just wanted to check on the current -- how the current HI season is ongoing because Jan, I think almost a month has passed by. And your guidance for losses for this business, I think you are making approximately INR30 crores, INR40 crores losses in this business. Shall we expect down to breakeven in FY '26 as the contribution of liquids further increases.

Pawan Agarwal: See, HI, a lot depends on the season, February and March, everybody like everybody, we are also waiting for season to pan out in our favor with bated breath. Having said that, if you look at 9 months performance despite the decline in HI, the losses have come down from INR27 crores to INR20 crores 9-month period.

So -- and even in the quarter also, even though there has been a significant decline in the top line HI segment, the losses are restricted to INR10 crores only as opposed to INR9 crores same period last year. So -- and this is largely -- a lot of fixed cost is sitting here.

Now everything depends on volume and going by how season pans out, I think the profit and loss figure would also dramatically shift.

Vishal Gutka: Got it. For the FY '26, what is -- I understand that it will depend upon the seasonality. But definitely, what are the plans to bring down further losses, losses shall further drift down.

Pawan Agarwal: We are working on a lot of things. You saw this racket launch and there are a few other things which are happening. We are examining our strategy, rising our strategy state by state, and we will be taking the necessary action wherever necessary.

Vishal Gutka: Got it. And on the innovation front, I think Jyothy Madam priorly highlighted that calendar year '25 is a year of innovation. So a couple of innovations we have done, I think more innovation will follow through. So I think in the past, you highlighted a lot more innovations are planned in Personal Care segment. So we can broadly highlight which segment in any new segment you are planning to follow within the existing segments, we are trying to make more innovations.

M R Jyothy: So Vishal, that I would like to not comment anything right now. You will see as and when we launch, you will get to know that.

Vishal Gutka: Got it. Last question on a quick commerce. So I just wanted to

check whether you are available

with all the leading 3 apps are available because we've generally seen some challenge in that --

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the challenger brand being placed in the network. So if you can just broadly give your thoughts on quick commerce. Are we there in all the apps and most of the cities are we there or not?

M R Jyothy: Yes, yes, we are there. We are there.

Vishal Gutka: Okay. No major challenge in what do you call the placing the product at the quick commerce platform, right?

Pawan Agarwal: Can you repeat that, please?

Vishal Gutka: Yes. No major challenge in placing your product at the quick commerce platform, right? Because we are a challenger brand in most of the categories that is the reason why I am asking. Generally, they tend to keep the high velocity brands. Just wanted your thoughts on that.

M R Jyothy: No, no, no. So we are present across. And for us that channel also has been growing.

Moderator: The next question is from the line of Sonal Minhas from Prescient Capital Investment.

Sonal Minhas: This is Sonal. My question was linked to kind of what the earlier gentleman was asking around quick commerce. Wanted to understand roughly ballpark, how -- what percentage of your sales is quick commerce? And any -- typically, we've seen that whenever a new distribution channel gets made, there's a new set of brands which basically have.

They take the pole position in a new distribution and there are new brands which get formed. So what is your observation from that channel? Are there some products, some SKUs, which you've specifically made from a grammage perspective or from just a position perspective for that particular channel? Just wanted to hear your side.

M R Jyothy: So yes, for us, quick commerce has been growing fairly well. And I wouldn't want to mention which one is doing for us. All the categories are fairly present there, and we are growing handsomely in that channel is what I would like to say, Sonal.

Sonal Minhas: Sure. And what percentage of your sales ballpark, would it be like less than 5%, 5% to 10%.

M R Jyothy: We wouldn't want to comment on that.

Moderator: The next question is from the line of Anurag Lodha from Axis Capital.

Anurag Lodha: So I just wanted to understand the competitive scenario in the Dishwash segment and like when do you expect it to stabilize? And I also wanted to understand about the pricing, the grammage that you've taken here. So I mean, majority of the grammage that has come in on the company.

Has it come from this segment? Like what has the split been like? Yes, that is my question.
M R Jyothy: So yes, FMCG is competitive across categories, Anurag, and Dishwash is no -- it is very competitive there as well. Yes, we have passed on these grammage benefits to the consumer like any other player in the industry, and it has been doing well for us.
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Anurag Lodha: Understood, ma'am. But I mean, what is your anticipation with regards to how this competition is shaping up? And like whether you anticipate it to stabilize? So any sense over there?

M R Jyothy: See, stabilized -- see in a scenario where everybody wants volume growth and when consumer is willing to come, there will be this competitive aspect that will continue for quite some time. So -- but we are ready with our strategy and that we will continue. In a scenario like this, we have -- I believe that we have done well and that we will be competitive in the future as well. Stabilizing, I don't see that in the coming -- this thing. It will continue this way till quite some time, I guess.

Moderator: We have our next question from the line of Vishal Punmiya from Yes Securities.

Vishal Punmiya: A couple of questions on Jovia. So firstly, I just wanted to check what is the price point for this brand? Is it in the range of INR20, INR25 for a 75-gram single

pack, which you obviously will send in a bundle? Is that the same range?

M R Jyothy: Yes, yes, it will be around INR25, INR26. Correct.

Vishal Punmiya: Okay. Okay. And what would be the profitability in terms of maybe you can highlight the gross margin? Is it similar to the company's average? Or would it be currently lower for us? So such a small scale, obviously, you'll start with a very small scale?

Pawan Agarwal: It will be a reasonable margin. It will not be too attractive margin as it's going to be competing in the mass segment. So it will be reasonable, competitive enough.

Vishal Punmiya: So it would be dilutive for us on gross margin levels in the near term, at least for the next couple of years?

Pawan Agarwal: Yes, at least initially, yes.

Vishal Punmiya: Okay. Okay. And do you expect the launch in the mass segment to help us with Margo's scalability? Do you think that in non-South markets where Margo is currently not present can mass product help you to tap those markets?

M R Jyothy: Yes. The intent is to be there everywhere, Vishal. This would be a PAN-India later.

Vishal Punmiya: So I get your comment on Jovia being there PAN-India. But can it help Margo to go in areas where it is currently not present?

M R Jyothy: So Jovia and Margo are totally unrelated. Margo, while we have a decent presence in the South except Kerala. Margo is quite strong in Tamil Nadu and AP, Karnataka. So Margo is doing well there as well. So -- and it is also present in the rest of the country. So with this, it is a different segment altogether. Margo is a different segment altogether. And it is, in a way, a niche segment where people believe in the ingredient neem very strongly. That is that segment while Jovia is a beauty segment.

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Vishal Punmiya: Okay. Understood. And any guidance in terms of near-term volumes? Would you -- are you kind of seeing better trajectory in volume terms over the next couple of quarters? I know things are quite volatile even in terms of demand. But internally, are you seeing the benefits on Morelight as well as Mr. White launches as well as the latest introduction of mass segment so would it help aid volume growth to be better from current levels?

Pawan Agarwal: No, it looks challenging. The initial signs in quarter 4 are not very encouraging. So I don't think quarter 4 is going to be meaningfully different or superior. So it's going to be tough.

Moderator: Ladies and gentlemen, that was the last question for today. And I now hand the conference over to the management for closing comments.

M R Jyothy: Yes. We sincerely thank you for taking interest in Jyothy Labs. While we have tried to answer most of your questions. If there are any questions left or further clarifications needed, feel free to get back to us. Thanks once again, and have a pleasant evening ahead.

Pawan Agarwal: Thank you.

M R Jyothy: Thank you.

Karan Bhuvania: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

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May 15, 2025

To,

BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 023

BSE Code: 532926

National Stock Exchange of India Limited

Exchange Plaza, Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051

Scrip Code: JYOTHYLAB

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2025

Pursuant to Regulation 30(6) read with Part A of Para A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, transcript of the earnings conference call held on Monday, May 12, 2025 for analyst/ investors to discuss the Audited Financial Results for the quarter and year ended March 31, 2025 and the way forward, is enclosed.

Further, the aforesaid information is also available on the website of the Company at www.jyothy.com.

Kindly take the above on your record and disseminate the same for the information of investors.

Thanking you,

Yours faithfully,

For Jyothy Labs Limited

Shreyas Trivedi

Head – Legal & Company Secretary

Encl.: as above

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“Jyothy Labs Limited Q4 & FY'25 Earnings
Conference Call”

May 12, 2025

MANAGEMENT : MS. M. R. JYOTHY - CHAIRPERSON & MD, JYOTHY
LABS LIMITED
MR. PAWAN AGARWAL – CFO, JYOTHY LABS
LIMITED
MODERATORS : MR. DHIRAJ MISTRY - ICICI SECURITIES LIMITED

Jyothy Labs Limited
May 12, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 & FY'25 earnings conference call of Jyothy Labs Limited hosted by ICICI Securities Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhiraj Mistry from ICICI Securities Limited. Thank you and over to you, sir.

Dhiraj Mistry: Thank you and welcome to the call. I would like to thank the Management of Jyothy Labs to give us an opportunity to host this call. From the Management, we have with us Ms. M. R. Jyothy – Chairperson & MD; Mr. Pawan Agarwal – CFO.

I would hand over call to the management for their opening remarks. Thank you.

M. R. Jyothy: Good afternoon, everyone and a warm welcome to Jyothy Labs Limited Q4 '25 Earnings. The complete Financial Results and Investor Presentation are available on our Website as well as on the Stock Exchanges. I hope you have had the opportunity to review them.

FY'25 has been a challenging year, not just for us but for the broader FMCG industry. After 4 consecutive years of double digit value growth, we saw a slowdown beginning in Q2, driven largely by external headwinds, rising living costs, sluggish urban income growth and evolving consumer preference towards daily essentials in terms of pack sizes, price sensitivity, promotional offers and convenience of ordering and delivery. While India's macroeconomic indicators remain strong relative to global peers, urban households are clearly feeling the pinch, higher spends on housing, healthcare, education and utilities have impacted discretionary and even essential consumption. Consumers are opting for smaller packs, holding back on bulk purchases and displaying heightened price sensitivity. Rural demand has started to recover but not yet at a pace that can offset urban softness.

That said, our long-term outlook remains positive. We believe this is a temporary phase and demand will gradually recover, led by volumes. We are confident in our ability to navigate this period with resilience and emerge stronger. Our strategy remains focused, launching more affordable formats, filling portfolio white spaces, deepening our presence in core regions and managing costs without compromising on quality. Our brands are trusted, our team is agile and our execution is solid. Our priorities are clear, serving our consumers better, staying efficient, and creating long term value for our investors.

Let me touch upon the performance of various categories in our business:

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Fabric care grew at 2.1% in Q4 and 5% for the full year, largely led by volume. Liquid detergents were the primary growth driver, supported by detergent powders and bar soaps. The Main Wash category saw double digit volume growth in FY'25.

In Kerala, Ujala IDD Detergent Powder gained market share rising to 24.5% in FY'25 from 23.4% in FY'24. Southern India market, a stronghold in the liquid detergent space grew at 27% year-on-year with some of the most outpacing category growth in this region. Revenues from liquids nearly tripled on both a quarterly and annual basis.

The Post Wash segment remains the key focus. Ujala Supreme continues its leadership and Ujala Crisp and Shine sustained its momentum. With the recent launch of Ujala Fabric Conditioner and encouraging early feedback, we are optimistic about the Post Wash category's future. Gross margins in Fabric Care also include year-on-year.

Dish wash grew at 3.1% in Q4 and 3.7% for the year with strong double digit volume growth in

both bars and liquids. Despite healthy volume growth, lower average realization due to

promotions largely impacted margins during this year. Personal Care faced challenges, declining

8.8% in Q4 and 0.9 for the year, impacted by inflation and a high base.

Our new Jovia Beauty Soap is gaining market access. However, weakness in the Margo franchise weighed on overall performance this year. We have initiated focused efforts to revitalize Margo Neem Natural and the variants through enhanced communication and visibility. While selective price hikes were taken, lower volumes and higher input costs affected gross margins in this category. With promising consumer feedback and ongoing brand efforts, we expect a better performance in FY'26.

Household insecticides declined 4.8% in Q4 and 6.5% for the year. However, our liquid vaporizers registered healthy volume led double digit profitable growth. We are working to sustain and accelerate this momentum. Coils are structurally declining category, continue to de-grow for us as well. We are taking decisive steps to minimize near-term losses in this category and eliminate them in the medium to long term.

To enhance our HI portfolio, we recently launched Maxo-Aerosol and Maxo Electric Racquet. These additions move us closer to offering a complete product range and also help improve overall portfolio margins. Early market response has been positive though these products have lower salience compared to coils and LVs.

Now, I will request our CFO – Pawan to take us through the financial performance of the company.

Pawan Agarwal: Thanks, Jyothy and a very good afternoon to all of you. For the quarter ended 31st March 2025, consolidated revenue from operations stood at Rs. 667 crore, a 1.1% value growth and 4% volume growth year-on-year. The gap between volume and value growth is due to higher

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branches and promotional price offs in select categories. The gross margin for Quarter 4 was 49.2%, down 30 bps YoY, reflecting continued input cost pressures.

We implemented selective price increases in Fabric Care, Personal Care and HI segments during the quarter and will calibrate pricing based on future market trends and cost trends. Advertising and sales promotion spends were at 8% in Quarter 4, slightly lower year-on-year, calibrated in response to macroeconomic conditions. However, our commitment to long-term brand building remains intact as reflected in our annual A&P spends.

Operating EBITDA margin for Quarter 4 improved to 16.8% from 16.4% last year aided by prudent cost management despite the input cost headwinds. For the full year FY'25, we delivered 3.3% value growth and 6.4% volume growth. Fabric Care and Dish wash segments grew in both value and volume while HI and Personal Care revenue saw declines of 6.5% and 0.9% respectively.

Gross margin improved by 100 bps to 50.1%. A&P spend was 8.4% of revenue versus 8.3% last year. Other expenses rose marginally by 20 bps to 12.7%. EBITDA grew from Rs. 480 crores to Rs. 500 crores with a margin improvement of 20 bps to 17.5. PAT rose marginally to a little lower Rs. 370 crores. The effective tax rate for Quarter 4 was 22.4% without considering the tax related to earlier periods.

On a full year basis, the effective tax rate was nearly 23% without considering the tax related to earlier periods, slightly higher than the last year's 22%. We expect ETR to remain in the range of 23%-24% in the next year as well. Working capital increased in FY'25 due to higher inventory and receivables, partly driven by elevated raw material prices, growing share of modern trade and institutional business in total revenue and a strategic move to address evolving market needs. As a result, our net working capital cycle stood at 18 days as of March end. We continue to remain debt-free with a robust cash balance of exceeding Rs. 750 crore.

Now, let me briefly touch upon the divestment of our stake in overseas subsidiary, that is Jyothy

Kallol Bangladesh Limited, JKBL. Our decision to divest our 75% stake in JKBL, subject to regulatory approvals, was taken after careful consideration. Despite more than a decade of efforts, JKBL has not yielded the desired results and has stretched management bandwidth without proportionate returns. With stronger opportunities within India and in export markets such as Middle East and Southeast Asia, the board found it prudent to sell our stake to our JV partner, Kallol Enterprise Limited, for a consideration of Rs. 2.1 crore. This transaction has led to a loss of around Rs. 4 crore which is shown under the head exceptional items in Quarter 4 as well as in FY'25. So March 25, 2025 onwards, JKBL is no longer the subsidiary of the company. The board has recommended a final dividend of Rs. 3.5 per share for FY'25 after reviewing our cash generation dividend track record and future growth prospects, both organic and inorganic. Last but not the least, I would like to thank you for your continued trust and support, we remain

focused on delivering consistent, sustainable, profitable and capital efficient growth and long-
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term value creation. With this, I conclude my opening remarks and we will be happy to answer any questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Vishal Gutka from ASK Investment Managers. Please go ahead.

Vishal Gutka: Hi, team. A couple of questions on my side. I just wanted to check on liquid detergent piece.

First question, a very basic question. What is the contribution of detergent liquid to fabric care because you've tripled the sales now. If you can just quantify the amount of percentage terms.

Second question was on what I've garnered from my channel checks is it suggested that it is very much cheaper to set up a liquid detergent units versus setting up a powder unit. If it is true or not, what they do or inside on the same. And third question is on the Morelight brand. So Morelight historically is in a BTL based brand. What do you see in terms of Godrej Fab where because of mass media advertising, they've been able to create a phenomenal revenue of around Rs. 60 crores. So do we think there is a need to change our strategy if yes, given that in terms of quality, I believe more or less here similar only. So any change in stance possible for Morelight? Thank you.

Pawan Agarwal: Thanks, Vishal. As far as your first question is concerned, the detergent liquid all I can tell you is that it is growing very rapidly for us quarter-on-quarter, year-on-year for the quarter, for the year on all the time zones, the growth has been quite impressive. But in terms of exact percentage, I am afraid it will be difficult for us to share. As far as Morelight and Fab comparison is concerned, Jyothy would you like to speak?

M. R. Jyothy: So right now, we have no change in strategy. We will continue with the way it is. For us, the liquid detergents under the brand Morelight has been doing pretty well and we will focus in the similar strategy going forward for some more time.

Pawan Agarwal: And what was your another question Vishal?

Vishal Gutka: I just wanted to check what I garner from my check is that it is much more cheaper, the CAPEX required for setting up a liquid detergent plant is cheaper than setting up a detergent powder plant. Is this true or not? Just wanted to throw your thoughts on this one. I don't know one of the additional reasons for increased competitive intensity in the liquid detergent space.

Pawan Agarwal: See from our side, we have right now sufficient capacity for detergent liquid, powder both. As far as investment required for setting up a liquid plant compared to detergent powder, I would not be able to comment upon it because we do not have the need and we have not looked into it from that perspective as

of now.

Vishal Gutka: But any greenfield plant in case you have to put up, will it be cheaper or will it be similar only? There is no material difference in terms of cost.

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Pawan Agarwal: More or less should be similar but as I said, we did not face that situation so we have not evaluated in that sense.

Vishal Gutka: Got it. And just last question on HI. So I think HI has made approximately Rs. 25 crore losses at EBIT level in FY'25. I got the strategy that increasing salience of liquids will help to improve the overall profitability. Can we expect breakeven '26 or it will be difficult?

Pawan Agarwal: So as we indicated in our opening remarks also our strategies to improve. As far as coil is concerned, it's a declining category and obviously within that, we are trying our best whatever best we can do, but at least the objective is that we shouldn't be losing money over there. So we have already taken a number of initiatives inside the company and the early signs are visible, green shoots are in coil. We are supporting and we are aggressively promoting the LV category both on the A&P side as well as the market schemes etc. So LV is profitable, it is growing handsomely for us and this growth momentum is likely to continue going forward. So at a portfolio level HI, think FY'26 should be better compared to FY'25 and the losses as you rightly pointed out already you can see that the margin level, segmental profit level already the Rs. 9 – Rs. 9.5 crore loss reduction is visible this year.

Vishal Gutka: Right, right, great. Wishing all the best, team. Thank you.

Pawan Agarwal: Thank you, Vishal.

Moderator: Thank you. We will take our next question from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: Hi, ma'am. First question is on ad spend. There's a reduction in YoY this quarter. So what are your thoughts? Because typically, even in periods of extreme inflation, unlike other FMCG companies, we have not cut our ad spend. We have suffered in terms of EBITDA margin in the

short run. But then when the input costs have come down, we have sort of recovered that. So that has been our strategy in the past. But this quarter we see a cut. So is it just I am reading in too much into a one quarter number? What is the way going ahead? And for FY'26 ad spend to sales ratio, what are you planning to target?

Pawan Agarwal: So you are right, I think for Quarter 4, you should not take it as any precedence. I mean, this is one of those quarters where we have to recalibrate some of things. But overall, directionally, 8.5% to 9% is what we continue to invest behind our brands. And that trend is likely to continue in the near to medium term.

Percy Panthaki: Got it. Secondly, I just wanted to understand this volume value gap of 2%-3% that we are facing. This is despite the inflationary scenario in soaps. So just wanted to understand what is driving that? I understand that in detergents, yes, there has been a price cut by the market leader as well. So there is obviously some response from your end, which is likely? But this volume value gap
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is there now since a couple of quarters, I mean, even before the detergent price cuts by the market leader happened. So what is the reason for this and how do we look at this going ahead?

Pawan Agarwal: Thanks for this question. It is a great question. In the last call also, you would remember that there was a question around these lines. And I had responded that at least in the foreseeable future, there is likely to be a gap between volume and value because for competitive intensity across segments, whether it is fabric care or dish wash, extra grammages which are being offered, promotional offers etc., but the gap between volume and value would probably settle down at this point of time the way we see it, probably at betwe

en 2%-3%. But again it is a function of how market reacts and accordingly we will have to take certain steps. So this is likely to continue in the near term.

Percy Panthaki: But will this not anniversarize? I mean, when do you see this anniversarizing and therefore on a YoY basis it would cease to exist even if there is no further price cut?

Pawan Agarwal: See, in the near term, I think it is likely to be quite intense. The competition is quite intense. But eventually, I think, couple of percentage point difference between volume and value is likely to be there.

Percy Panthaki: Okay, so I am just trying to understand where your profit growth will come from, because if basically I have a negative pricing, which is sort of putting pressure on the topline, very unlikely that you will sort of do a high single digit kind of value growth this year, which was the expectation earlier. And if you are falling short on the topline, do you think we can sort of see a margin expansion so that at least the EBITDA or EPS growth is in double digit or you think that's probably a little too much to ask for this year?

Pawan Agarwal: Again, the first half of the year I think is as of now is looking a bit difficult, but second half we expect it to be better than first half. Second point is that the price increases that we have to take the entire set of actions are not complete. We have taken some price increase across categories, but the full impact is yet to be seen so that is going to be there. First half, obviously there would be pressure on the topline growth as well as a little bit of stress perhaps in the margin side, EBITDA margin, but second half, we expect the topline as well as bottom-line to be better.

Percy Panthaki: So what will change in the second half?

Pawan Agarwal: See demand situation, we are expecting to improve; b, some of the price increases that we are going to take that will start showing result because it takes 2 months to 2.5 months to get into the P&L. So these things are going to help us in terms of topline.

Percy Panthaki: Right sir. Last question from me is that see 2, 3 years ago, we had taken significant company specific initiatives. So we had taken Exo at Rs. 5. We had done a big distribution expansion. We had improved the quality of the distribution. We had decided to play all 4 brands in the detergent space. We had launched variants of Margo. So there was a plethora of all these initiatives taken
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which gave us good growth. Now those initiatives are a couple of years old and the benefits from them have started to taper. So what are the new initiatives from your side which will drive the growth in the future?

Pawan Agarwal: See, you are right. A number of initiatives were taken and including the distribution expansion which is also continuing but obviously the pace definitely would have to be moderated depending on the distribution expansion we have already done over the past 3-4 years, but while we were helping or we are reaping the benefits of steps that we have taken in the past, simultaneously last 2 years we have been working on NPDs also. Now, you will see the loans of NPDs, you have already seen in Quarter 4 and in this financial year, you will see more of NPD launches across categories. That is the pipeline for future growth. Of course, all of us know that

whatever NPDs you launch, everything does not click, but that fact has been well built into our plan and accordingly for the rest of the year, the NPDs are planned which will set the base for future year's growth. Of course organic growth will continue.

Percy Panthaki: Got it, got it. That's all from me. Thanks and all the best.

Pawan Agarwal: Thank you.

Moderator: Thank you. Next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Yes, hi, good evening. On HI, you mentioned that coil is the defocus area because

of profitability

issues there. But you know, there is also the segment where conversion is happening into incense stick, which at least market leader is trying to improve the profitability of that segment. So I just wanted to understand, since it is not in your deck, I know you have a product but not in your deck recently. You know, what is your thought process on that, at least in the near to medium term, can that be a bridge for you to stem kind of volume declines in HI? I know focus is on LV, but just a thought because that's a tactic space that seems to be also growing at a fairly good clip.

Just wanted your thoughts on that?

Pawan Agarwal: Thanks, Harit. As I already indicated to you HI strategy, where we are headed, certainly we are cognizant of the incense stick market and the growth opportunities which exist over there and the necessary work is happening at an appropriate time, the street will get to know what exactly we are going to do. Racquet and Aerosol we have already launched so that helps us manage the segmental margin, the portfolio margin, it helps us and LV as I said, we are growing profitably.

So a combination of all these three factors plus loss minimization in coil will certainly help us deliver a very different performance of the HI segment in the coming quarters.

Harit Kapoor: Got it, Pawan. And second thing was on the working capital bit, so your presentation suggests that the numbers of days have gone up from 5 to 18. As you mentioned, part of it is due to RM inventory, part of it is generally maybe a little structured. So do we expect this number to kind of settle somewhere in between the FY'24 and FY'25 number because part of it would be, I am assuming part of it is structured if it's a channel mix?

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Pawan Agarwal: 15 to 20 days, historically also if you see except March 24 which was an aberration, 15 to 20 days working capital is the norm that we can expect going forward.

Harit Kapoor: Got it. And third thing was on soaps. You have seen a situation, so personal care over the last 3 quarters, you have seen a declining value growth trend. I just wanted to know your view on when do you see the market normalizing with price increases and changes in pack sizes, etc. Is that also you believe a second half thing or that can be sooner, say maybe Quarter 2 or something like that?

Pawan Agarwal: No, I think personal care, we are not quite happy with our performance. Let me admit that. You are right, last year we had a supernatural year in terms of if you look at all the 4 quarters, it was exceptionally high growth that we delivered while the industry wasn't delivering that kind of growth in personal care. And also we had the effect of new Neem Natural which was getting rolled out throughout the year. Now this year of course last 3 quarters, your observation is right. Neem Natural initial placement etc. helped higher growth numbers in the previous year. Original Neem was also doing very well, double digit growth in the previous year. But we have seen kind of slowdown this year, especially in the last 2, 3 quarters. Price increases obviously we haven't taken to the extent we should have taken, but those actions will be taken going forward. And we are also paying special attention in terms of our marketing strategy on the Margo franchise completely. So I think the April, May, June, and July period should show some good signals in this category.

Moderator: Thank you. The next question is from the line of Disha Giria from Ashika Institutional Equity. Please go ahead.

Disha Giria: So my question is regarding the Rs. 757 crore cash balance that we have. So are we considering any inorganic growth opportunities or any shareholder wealth maximization opportunities?

Pawan Agarwal: So Disha, the cash balance that we are carrying on the balance sheet, the board is cognizant of it. We have a great growth opportunity in front

of us, both organically and inorganically. So the board feels that we should be holding on to cash at this moment and at an appropriate time suitable actions will be taken which will help us utilize this cash.

Disha Giria: Okay, yes, that's it for my end. Thank you.

Moderator: Thank you. We will take our next question from the line of Senthil Manikandan from iThought PMS. Please go ahead.

Senthil Manikandan: Hi, thanks for the opportunity. A couple of questions on the liquid detergent side. So we are seeing a lot of sachet-based liquid detergents coming into the market. So any insights on this? Do you see over the next 3 to 5 years, liquid detergent forming a majority of the market? And if

that happens, any structural level changes can we expect from the market share perspective? So that's it from me.

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Pawan Agarwal: So on the liquid detergent, you see the dominance is there in the Southern India and especially in Tamil Nadu which is the biggest market in Southern India and followed with other four states Kerala, Andhra Pradesh, Tamil Nadu, Karnataka. Now the shift is happening, especially in Kerala, we have noticed that there is a shift from powder to detergent liquid which is happening at a very good pace. And also to induce consumers to move from powder to liquid, there's a lot of trials which are happening actually. So that is why you see lot of these sachets in the market. So as of now, liquid detergents are growing. I think it is growing reasonably well for us. And it is too early to comment on which way this is going to settle down. But in the near term, I think the growth is likely to continue in detergent liquids.

Senthil Manikandan: So just a follow up in terms of our market position and market standing. So when there is a shift from powder to liquid, how are we positioning our brands and can we expect a much better kind of execution and share going forward?

Pawan Agarwal: See, as you mentioned in our opening remarks also, our Ujala detergent powder, we have gained market share in Kerala and that continues to be a strong hold for us. Other detergent powders are also doing well across different regions in the country. Liquid detergent, as I mentioned, South is the dominant market, and we are well placed across 5 states and we are doing very good in Kerala and some of the other states and this growth momentum will continue in the near term.

Senthil Manikandan: Okay, thank you.

Moderator: Thank you. The next question is from the line of Sumanyu Saraf from JM Financial. Please go ahead.

Sumanyu Saraf: Some of my questions have been answered. My first question is on gross margins. So your gross margins have been pretty good, which have been declining recently. So is the benefit of forward cover, which you had in some of the raw materials over and how do you see gross margins going ahead?

Pawan Agarwal: As I mentioned, I cannot delve too much deep into category level margins etc. But as I hinted at, some of the strategic moves that we make keeping the market realities in mind. So in whether it is in terms of sourcing raw material, whether holding finished goods inventory, producing and holding finished goods inventory, all these things are long term, a relatively higher coverage, we use all these levers, anticipate and use these levers to handle our gross margin.

Sumanyu Saraf: Okay. So like, do you see it compressing or I mean, okay, basically it's an ongoing thing. So I mean, some benefits should flow through in the coming quarters?

Pawan Agarwal: Range bound, at a high level, I would say the gross margin would remain range bound. We do not expect it to be materially different from what we are seeing right now.

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Sumanyu Saraf: Okay. And in this quarter, we saw you reducing your ad spend and other expenses. So I mean any change in guidance of your EBITDA mar

gin, it only remains at around 16% to 17%. So that is the sustainable margin?

Pawan Agarwal: Sorry, please go ahead.

Sumanyu Saraf: No, so basically what are the sustainable margin levels? Because as you said this quarter, I think your expenses were significantly reduced as percentage to sales. So going forward, I think that would not be the case. You had also alluded that. So your guidance on operating margins remains the same 16% to 17%?

Pawan Agarwal: See for the next year as I indicated as of now we believe H2, we should be able to deliver EBITDA margin between 16% and 17%. H1, still it is stressful the early signals that we are getting from the market, the demand side is not very encouraging at least in the month of April. So there could be a couple of quarters margin pressure here and there and it's not going to be significantly high, but there could be marginal pressure. But net-net directionally if you ask me, I think 16 and 17 is the direction in which we are driving the business.

Sumanyu Saraf: What tax rate is expected for FY'26-'27? Will it be 23%?

Pawan Agarwal: Sorry, could you repeat the question please?

Sumanyu Saraf: Yes, what is the expected tax rate for FY'26-'27?

Pawan Agarwal: The same as I indicated 23% and 24%, between 23% and 24%.

Sumanyu Saraf: So just one last question. As your current contribution of LUPs to overall sales is increasing, are they putting a pressure on your operating margins?

Pawan Agarwal: Your audio unfortunately is not very clear. Can you repeat the question please?

Sumanyu Saraf: Yes. As your contribution of LUPs to overall sales is increasing, is this putting pressure on your

operating margins?

Pawan Agarwal: LUP again is there's no standard percentage which applies across categories. It varies from category to category, segment to segment. The LUP portion could be as low as 5% to 10% and as high as 25% to 30%. So it varies across categories and we are handling it understanding the nature of the category and the type of, the percentage of LUP contribution in that category sale. So net-net, we do not see major impact on the margin of the company, but of course some of the categories like dish wash which is quite sensitive, to some extent personal care also where the LUP plays a dominant role. So extra grammages etc. particularly influences the category margin. So we are aware of that and we calibrate our approach accordingly.

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Sumanyu Saraf: Understood, sir. Thank you and best of luck.

Pawan Agarwal: Thank you so much.

Moderator: Thank you. The next question is from the line of Vishal Gutka from ASK Investment Manager. Please go ahead.

Vishal Gutka: Hi team, great. Just wanted to check on the indirect reach. I think it has gone up by 8 lakh outlets during the year. So it seems that wholesale acceptance of a product has gone up substantially. Just wanted to check from you what additional steps are we taking to further improve the salience of wholesale given that increasing direct reach is a very high cost exercise. And second question is on the new brand that you launched, Ujala Young & Fresh. I checked the suggestion, it has seen a very, very good response from the trade. So I believe there is a good chance it could be scaled up in a very meaningful manner. So I think anything that you would like to highlight about this brand, Young & Fresh, I think in the fabric condition space for the launch. Thank you.
M. R. Jyothy: Vishal, yes, we are happy that our overall reach both in direct and indirect have gone up. It is also to do with a lot of brand acceptance that happening across dish wash and our other portfolios. So while our direct reach also we have increased by a lakh this year. So all of this and certain other activities which we continued to do that has helped us in increasing it and going forward you should be able to see much more indirect reach that's g

oing to happen. So we are

overall happy with the way things have turned out at least in the distribution space from a future point of view. Young & Fresh, yes, it's the initial launch and yes, the feedback has been good. Now, again, this category sells more in the South comparatively, like your liquid detergent. So right now, it is at a very small pace, but we will soon catch up pace going forward. Right now, it is testing and the initial feedback both from retailers and consumers have been encouraging. But we will have to see for a year to exactly say where the brand is, but have high hopes on that.

Vishal Gutka: Got it. Thanks. And madam, any guidance you would like to give on volume front? I can understand revenue and profit would be difficult for you. So volume front, what are you guiding for FY'26? Are we targeting high single-digit volume growth for FY'26?

M. R. Jyothy: See, volume growth, again, in the first half of the year, I think it will be mid single digit. But the next half of the year, we are optimistic about hitting double digit, at least toward the end of the year.

Vishal Gutka: Okay, great. Thank you.

Moderator: Thank you. The next follow-up question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: Hi, sir. You mentioned that you have started recently some price increases in some of the categories. So just was confused because typically when the commodity cost goes down and

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most of your cost would be linked to crude, which is actually coming down. So at that time, typically in the industry, there are no price increases which happen. So can you give an idea in which categories the price increases are happening and what is the reason behind the same given that the input costs are trending downwards?

Pawan Agarwal: I don't know from where you're getting the sense that input prices are coming down, at least from our perspective, the key inputs whether it is LABSA, it is soap noodles or SLES, these important raw materials, they are all showing an upward trend whether it is quarter 3 to Quarter 4, Quarter 4 versus last year Quarter 4 and even in the current period, current quarter we see an upward trend. In fact soap noodle prices year-on-year basis is 30%-40 % up, SLES is 40% up, still 12%-15% increase we are seeing in SLES. So there is an input pricing pressure at least from our perspective and in personal care, as I mentioned we did not take full price increase for the period in Quarter 4 and also in fabric care and in HI, in coil, we have taken some price increase, we are going to take some more depending upon the requirement because coconut shell powder again is going up. So we are seeing increase in input prices. So that is the background for our price

increase.

Percy Panthaki: Understood. So soap prices are going up. That is well known on the back of palm inflation. But that's a relatively small part of your portfolio. The larger part, which is detergents, where basically it's mainly crude derivatives and dish wash also. Do you see an inflation there as well? And secondly, the price increases which you're talking about, those price increases are mainly in soaps or have you taken in other apart from soaps and coils, is there anything else also where you have seen a price increase?

M. R. Jyothy: So, Percy, it is like you said your soaps yes, it is to an extent it is there, and it may later maybe come down a bit, but your LABSA and your SLES is on the rise and it will continue I think till Q3, Q4 till at least Q3 I guess. So it's on an upward trend. It's nowhere coming down.

Pawan Agarwal: Noodle prices may probably come down at the end of quarter 1 or early Quarter 2, but others are, we are not seeing any signal of coming down of prices in other commodities.

M. R. Jyothy: Which has a direct impact on your fabric care and dish wash, both.

Percy Panthaki: Got it,

got it. But then it's very surprising that in a situation where input prices are on the higher side, basically your implied pricing at overall portfolio level is negative. So how do I reconcile these 2 things?

Pawan Agarwal: Come again Percy.

Percy Panthaki: So I am saying in a situation where your overall input prices are seeing an inflation, your overall product prices as evidenced by the volume value gap are seeing a deflation. So how do I reconcile these two things?

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Pawan Agarwal: See average realization in dish wash has come down because of the higher grammages, a little bit of impact is also visible in fabric care and these two factors and also now in personal care also, we have seen some impact over there. Now with the price increases, we are going to correct some of the gaps. It is a function of competition again. You know the kind of competitive moves which are happening in the market and we are observing them, watching it and then we are reacting to it.

Percy Panthaki: Got it sir. Okay. Thank you very much.

Moderator: Thank you. The next question is from the line of Bhavdeep Vora from Franklin Templeton Asset Management. Please go ahead.

Bhavdeep Vora: Yes, thank you for the opportunity. My question is regarding the liquid detergent. Could you share some data, like, so how big is this category, maybe if not at pan-India level, at least in South India, or maybe the states of Tamil Nadu? What would be the kind of the breakdown between say powder and liquid detergent today if some idea around that would be helpful?

Pawan Agarwal: See, I mean these are our estimates. We believe that the washing powder and liquid detergent put together would be about Rs. 34,000-35,000 crore category, growing at about 6%-7% put together. Within that liquid detergent would be roughly 3000-3200 kind of category size which is growing at about 20%-25% year-on-year. That's our assessment.

Bhavdeep Vora: Okay, fair enough. Thanks for that. Just a follow up on that point. So, you kind of you mentioned that we have seen a fairly strong growth in the liquid detergent. I don't know whether you quantified the numbers, maybe I think 25% for the South India or something. But just when I was looking at the full year numbers, so, this year the EBIT margin for the home care, the fabric care has basically declined. So is it that this category is a bit margin dilutive at the moment or is it just a function of the overall competitive pressure in the industry? Maybe your comments on that would be helpful.

Pawan Agarwal: Sure, that's a very important observation. The overall fabric care margin in segmental, you see a slight decline from 24.2% to 23.6% this year. But within fabric care, we have main wash. Within main wash, we have detergent powder, we have detergent liquid, we have detergent bars, and then obviously in post wash, we have Ujala Supreme, Ujala Crisp & Shine and all of that. So mix plays a very important role because in terms of margin hierarchy, each of these subcategories carry a different margin profile and also the EBIT margin that you see is also a function of our A&P spend. So we should not be reading too much in terms of the slight decline that you see in FY'25, but on a sustainable basis, I think fabric care margins are sustainable between 23%-24%.

Bhavdeep Vora: Sure, so is it fair to assume that the liquid detergent is not margin dilutive?

Pawan Agarwal: No, as of now it is, it is very much it is margin dilutive but again it's a growing segment but a small portion of the total portfolio. Liquid detergent certainly is not the best of margins that we

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would love to have, but I think these are early times everybody including us everybody is trying to grow the market, but eventually the liquid detergent margin would converge to detergent

powder margin in medium to long-t

erm.

Bhavdeep Vora: Okay, thanks. That's it from me.

Moderator: Thank you. Ladies and gentlemen, we will take this as our last question. I would now like to hand the conference over to the management for closing comments.

Pawan Agarwal: Thank you for your interest in Jyothy Labs. If there are any questions that we couldn't address today or if you need any further clarity, please feel free to reach out to me. Thank you so much.

Wishing you all a pleasant evening. Thank you.

Moderator: Thank you. On behalf of Jyothy Labs Limited and ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

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August 14, 2025

To,

BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 023

BSE Code: 532926

National Stock Exchange of India Limited

Exchange Plaza, Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051

Scrip Code: JYOTHYLAB

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 2025

Pursuant to Regulation 30(6) read with Part A of Para A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, transcript of the earnings conference call held on Tuesday, August 12, 2025 for analyst/ investors to discuss the Un-audited Financial Results for the quarter ended June 30, 2025 and the way forward, is enclosed.

Further, the aforesaid information is also available on the website of the Company at www.jyothy.com.

Kindly take the above on your record and disseminate the same for the information of investors.

Thanking you,

Yours faithfully,

For Jyothy Labs Limited

Shreyas Trivedi

Head – Legal & Company Secretary

Encl.: as above

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“Jyothy Labs Limited Q1 FY'26 Earnings Conference
Call”

August 12, 2025

MANAGEMENT : MS. M. R. JYOTHY - CHAIRPERSON & MANAGING
DIRECTOR, JYOTHY LABS LIMITED
MR. PAWAN AGARWAL - CFO & EVP, JYOTHY LABS
LIMITED

MODERATOR : MR. MANOJ MENON FROM ICICI SECURITIES LTD.

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Moderator: Ladies and gentlemen, good day and welcome to the Jyothy Labs Q1 FY'26 Earnings Conference Call hosted by ICICI Securities Ltd.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities Ltd. Thank you and over to you, sir.

Manoj Menon: Hi, everyone. It's a wonderful good evening from the I-Sec team. It's our absolute pleasure once again to host the management of Jyothy Labs Ltd. for the Results Conference Call.

The Company is today represented by Ms. M. R. Jyothy – Chairperson & Managing Director, and Mr. Pawan Agarwal – CFO & EVP.

Over to the management for the opening remarks post which will open the floor for Q&A. Thank you. Over to you, ma'am.

M. R. Jyothy: Thanks, Manoj. Good afternoon, everyone. Thank you for joining us today for Jyothy Labs Ltd.

Q1 FY'26 earnings call. Our Financial Results and Investor Presentations have been uploaded to our website and to the Stock Exchanges. I trust you have had the opportunity to review them.

The broader operating environment in Q1 remained mixed with lingering inflationary pressures and fragile urban sentiment. Consumers, particularly in urban centers, continue to either down trade or defer non-essential purchases. These behavioral shifts have been a recurring theme across the sector over the past 5-6 quarters. However, we believe we are now at the cusp of a gradual broad-based recovery. The Indian Meteorological Department's forecast of an above-normal monsoon is encouraging. A favorable monsoon not only augurs well for rural demand but also plays a vital role in stabilizing food inflation. It is one of the key levers that could revive household spending in the coming quarters. Recent fiscal measures announced by the government such as income tax relief and targeted rural welfare schemes combined with the RBI's calibrated interest rate cuts are already beginning to reflect in consumer sentiment. If these tailwinds sustain, we expect the demand environment to firm up meaningfully, especially from Q3 onwards. While global uncertainties, particularly the geopolitical tensions in the Middle East, have triggered raw material supply disruptions and increased cost volatility, the overall trend points towards improving stability.

Crude oil prices have softened, although derivative costs such as LAB, SLES, PFAD and PKFAD are yet to correct proportionately due to lag effects and processing costs. These should ease gradually as the supply chain normalizes. Channel dynamics continue to evolve. Rural markets once again outperformed urban areas, demonstrating inherent resilience. General trade

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faced volume pressures, while modern trade, including e-commerce and quick commerce, sustained double-digit growth. That said, the rise of quick commerce must be viewed with nuance. While its share in the overall mix is expanding, it largely substitutes traditional outlets rather than contributing to incremental consumption. Pricing remains the primary differentiator on these platforms due to similar user experiences. Encouraging early signs of urban demand recovery have started to emerge, especially from July onwards. However, we need to wait and watch the demand scenario, especially in coming months and quarters.

Now, let's look at the performance of our various categories:

In Fabric care, both Main Wash and Post Wash segments delivered a satisfactory performance,

clocking mid-single-digit volume growth. Our liquid detergent range continues to stand out. It more than doubl

ed its growth versus the same period last year and delivered strong sequential double-digit value growth. With brands like More Light, Henko, Henko Matic, Ujala and Mr. White catering to varied consumer needs, this category remains a strong pillar of our growth. That said, it must be noted that competitive intensity in this space is on the rise. We are actively monitoring the pricing environment and are taking calibrated steps to preserve our value proposition. Detergent powders and bars also perform steadily. We are pleased with the early market response to our fabric conditioner Ujala Young and Fresh, which is gaining traction in select markets. During the quarter, we successfully launched a TV commercial in select markets featuring actress Keerthy Suresh endorsing the product.

The Dish wash segment faced intensive competitive activity, particularly in terms of grammage offers. This impacted value growth despite healthy volumes. Pril liquid posted double-digit volume growth and Exo bars grew in high single-digit. These numbers are a testament to brand strength and continued consumer preference. While year-on-year numbers were flat in the personal care segment, sequential growth gives us confidence. Jovia, our new beauty soap, is gaining market acceptance and our intensified efforts behind Margo brand are already showing encouraging signs through enhanced visibility and consumer recall.

The household insecticide segment remains a work in progress. While near-term growth may remain muted, we are focused on improving profitability and scaling up the liquid vaporizer category and recent launched NPDs like aerosols and packets. Our medium-term goal remains clear to significantly reduce losses and turn around this category in a capital-efficient manner.

Now, I will talk about the financial performance of the Company:

Revenue from operations for Q1 stood at Rs. 751 crore, reflecting 1.4% value growth and 3.6% volume growth year-on-year. The value-volume gap was primarily driven by higher grammage and promotional price-offs in select categories. Gross margin was at 48%, down 330 bps year-on-year due to input cost pressures and increased competitive intensity in Dish wash. We implemented calibrated price increases in some of the product categories to partially offset these pressures. Advertisement and promotion spend stood at 7.8% in Q1, moderated slightly to reflect

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the prevailing market context. However, our commitment to long-term brand investment remains intact, as evident from our annual brand spends. Despite elevated input cost and volume pressures, we maintained our EBITDA margin at 16.5% in line with our guidance. Operating EBITDA stood at Rs. 124 crore and PAT at Rs 97 crore. We approached second half of FY 2026 with cautious optimism. While the near-term headwinds, especially in the urban markets, persist, we believe the tide is slowly turning. A combination of a good monsoon, easing inflation, supportive government policies, and improving consumer sentiment lays the foundation for stronger performance in H2. We expect Q3 and Q4 to show meaningful improvements supported by recovery in urban discretionary spending momentum in the festive season, increasing traction from our new product launches and ongoing gains in cost efficiency and distribution expansion. We remain focused on innovation, category development, scaling up new launches, digital execution, and sharpening our go-to-market strategy. We are committed to delivering profitable, sustainable, and capital-efficient growth. Our strategy has been consistent, balancing agility with discipline while being acutely consumer-centric.

Before I close, I want to thank all our stakeholders, customers, shareholders, employees, and partners for their trust and continued support. We look forward to building on this foundation and delivering superior value in the quarters ahead.

Wit

h that, I conclude my opening remarks and look forward to your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sonal from Prescient Capital. Please go ahead.

Sonal Minhas: Hi, this is Sonal Minhas. My question is with regard to the household insecticide segment. I'm sure we have some discussions at the management level as to how much bleed we can sustain as a team, as a Company, beyond which we decide to sell this business off or carve this out. Any guidance for investors, shareholders?

Pawan Agarwal: So, we have indicated in the past that we are actively working towards turning around this category, household insecticides, and we have taken certain measures. And there are a few which are in pipeline. We have launched new products also, aerosol and racquets in the previous quarter, and we have taken some price increases in coils. So, there's a lot of action which is happening in order to improve the performance of this category. We have also indicated in the past that we are hopeful that in next year FY'27, we will be able to turn around this category and necessary steps are being taken in that direction. So, as of now, there is no intention to sell or

divest this particular line of business of the Company.

Sonal Minhas: Got it. And so, FY'27 should we consider is like the year where we decide that this is going in the right direction or it's not going in the right direction?

Pawan Agarwal: The progressive steps that we are taking, the results should be visible slowly and gradually. And by second half of the next financial year is what we are aiming to turn this category profitable.

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Sonal Minhas: Got it. My second question is in regard to the softness and demand in the urban side, wanted to understand from more like what you've seen this demand, is this something which was earlier fueled by credit or was something which was largely driven by, let's say, some segment of population which consumed a lot earlier and did not. And hence, there is a kind of a delay in the next set of demand that is coming. Because the products we have here, the Fabric care, Dish washing, these are readily consumable. I think I understand they are trading on volume. But what was the issue in terms of this growing very fast last year? Was there some stocking in the channel, which is getting released now in this year and hence we've seen demand come back? Or this is linked to credit on the online channels, people bought on credit. Just trying to get a sense of this?

M. R. Jyothy: So, Sonal, largely this softness in demand, when we say it is moving from traditional trade to modern trade and your e-commerce and largely e-commerce and your quick commerce gaining bigger traction, which we are also seeing internally in the Company. We are growing at double digits there. But not all of it is getting converted. Basically, ideally, it should have been that all of it, which is your general trade and modern trade, all of them grow. And this should be ideally a top-up. But consumers are seeking convenience and more and more we see traditional outlets lose out on business or are not able to generate that kind of sales, some of them even closing down. So, that's the kind of thing when we are saying more urban thing where these quick commerce and e-commerce exist. That's where we are seeing that shift. While for us, rural seems to be okay. So, this is what we are seeing. There's nothing in relation to credit or anything of that sort.

Sonal Minhas: Got it. So, is there a need for repackaging, rebranding on these modern channels? Because the consumer is looking at a different product or different grammage or different packaging price point altogether?

M. R. Jyothy: Yes. So, all that is happening while we are talking. So, hence, when we say that most of the business tha

t is affected is only the general trade. Our modern trade, e-commerce, all of that are growing in higher double digits.

Sonal Minhas: As you mentioned, yes.

M. R. Jyothy: Yes, so there the consumers where we are packaging it, the SKUs, the pricing, all of it is being taken care of, investment, all of that is being taken care of. If the traditional channels, which obviously, if as a consumer, especially in metros, where time is also a thing, time, traffic, all of that, also money. So, an e-commerce and the quick commerce is there to satisfy all of that. That's where the traditional outlet seems to lose. So, that's the shift we are seeing in terms of channels. And that may stay for some time.

Sonal Minhas: Got it. I'll fall back in the queue. Thanks for answering my questions. Thank you.

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Moderator: Thank you. The next question is from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon: Hi, team. Just a few clarifications if I may. One, any more, let's say, qualitative or quantitative color you could give on, let's say, Jovia?

M. R. Jyothy: See, I can only say qualitatively, Manoj, that as of now, we are seeing some repeats happening and it being received fairly well. Numbers, we won't be able to say. It is overall covered in the thing. But yes, it's a very small start, but a good start.

Manoj Menon: Understood. So, can I just, let's say, if I may, is it in line with your expectations, exceeded, underwhelmed? How do you look at it?

M. R. Jyothy: I would say it is in line, neither exceeded nor bad. So, it's fairly okay from the current demand perspective. And we are taking it slow and steady.

Manoj Menon: Okay, understood, and good luck. Secondly, when I look at the overall volume growth of 3.6% and also let's say, the segment growth, the revenue growth rather, just trying to link both and trying to understand which are the categories we should have driven the volume growth, let's say, which are the categories that have grown, let's say, far higher than the overall?

Pawan Agarwal: So, if you look at, Manoj, volume growth in Dish wash category has been quite impressive. In bars, we have high single digit, in liquid, we have double digit, in mid-teens. So, there, the

volume growth has been pretty decent. In Fabric care also Main Wash and Post Wash both have done reasonably well in the mid-single digit. In Personal Care, we are taking price increases as we had indicated in the earlier call, but there we had some stress on the volume. And HI, of course, the coil is having pressure on the volume side. So, that's the broad construct.

Manoj Menon: Understood. In Personal Wash or in soaps actually, the problem situation identification which I have heard from HUL and Godrej, it actually has been that it is largely limited to the Rs. 10 price point grammage reduction, which is resulting in an overall volume decline. Would that be a same assertion for Jyothy Labs as well?

Pawan Agarwal: Yes, sort of, you know, we also tend to agree. And one more point on the volume growth, if you look at the numbers excluding HI segment, then our volume growth is close to 5%, 4.8% actually. So, that way, volume growth has been pretty decent on an overall Company level basis.

Manoj Menon: Understood. Just one clarification here, there is no category in which volume growth has been significantly ahead of revenue growth, right?

Pawan Agarwal: In Dish wash, as I said, the liquid dish wash, volume growth has been pretty high.

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Manoj Menon: Okay, sure. And if I heard correctly, Jyothy ma'am telling a little earlier in the initial remarks that higher competitive intensity or activity in home care, right? Did I hear it correctly?

Pawan Agarwal: Yes, I mean, in Dish wash, we have seen intensity.

Manoj Menon: Okay. One last thing and after that I will fall back in the queue.

Again, some color in terms of

your Home care performance, right? Because there are different segments, different formats, liquid has been a big adoption you have seen, etc. So, any color you could add on Home Care and how do you see, let's say, home care performance for the next, let's say, 1 or 2 years?

M. R. Jyothy: So, Manoj, competitive activity, when we say it's not restricted to one category, it is there across.

It's a very, the category that we are in is highly competitive, every segment, every new category or new launch, everything are facing that kind of a thing. And rightly so, with so many players coming in, and trying to make good or trying to revive that consumer sentiments, trying to create more volume related purchases, trying to woo the consumers, I think all of them are being competitive, and which is what maybe is required for the current environment and that is, and we are also accordingly calibrating, whether be it the grammage, be it the price, price cuts or offering of promos. So, it's a combination of all of this, it's not one category alone, it is there across. And I think that this whole thing, when everybody does it, basically, the consumer sentiments will be better going forward maybe it will result in more of volume uplift going forward. Yes, but being in Home Care, yes, it's a very, very competitive segment. And it looks like that will remain going ahead. But we are trying our best to see, to bring in relevance and to bring in the best quality to the consumers at a good price.

Manoj Menon: Thank you so much and all the best.

M. R. Jyothy: Thank you.

Moderator: Thank you. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Yes, hi, good evening. I had a few. So, one was on the pricing versus volume growth. So, difference is about 2.5%, 2.2%. Now, does this quarter reflect the full impact of price cuts, grammage increases in your view? My question is really just to understand, the price volume differential at 2% 2.5%, 3%, is this fully reflecting the actions in the quarter or it was, there were further actions mid-quarter where, because of which this differential would increase in Q2?

Pawan Agarwal: It reflects broadly, it covers the full picture. So, this gap, you will see probably a narrowing volume, also value going forward.

Harit Kapoor: So, Pawan, when we should see this, you think, like from Q3 or the narrowing or should from Q2 or only a little bit?

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Pawan Agarwal: Q3 would be the fair timeframe. Q2, more or less, it will be the same. But Q3 onwards, it should start narrowing because last year the extra grammages, higher promotions, etc. intensity increased Quarter 2 onwards, it picked up momentum. So, I think quarter three onwards, you should see this gap narrowing.

Harit Kapoor: Got it. The second thing on Dish wash, you mentioned very high single digit growth in bars and double digits in liquids. So, the differential looks like almost a double digit impact, which means like a higher grammage plus price cut impact. Just wanted to get your sense about, is this the most competitive space right now for you, in terms of a subcategory? Are you seeing the highest level of competitive activity here?

Pawan Agarwal: No, I mean, it's very difficult to point it out in that manner because as Jyothy indicated, competitive intensity is high across segments. However, recently, off late, we have seen,

intensity increasing in Dish wash segment, but other categories also have high competition. Harit Kapoor: Got it. And, if you look at the EBIT margins on the standalone side, you've seen a reduction sequentially from Q4 to Q1 in the Fabric care, but Dish wash has increased now, expanded. Now, I didn't understand this because if you think about price cuts are higher in Dish wash, in terms of volume-value differential, also the commodities are not extremely dif

ferent. So, if you could just help me understand, is there a difference, significant difference in the RM structure in Fabric care because of which, you know, sequentially you have seen a fall versus Dish wash? Pawan Agarwal: No, in Dish wash, you are right. Your observation is correct. The margins, the reasons for margin is operational efficiency. And also, at the plant level, manufacturing cost wise, the operational efficiency, we drove and a little bit of marketing spend allocation between categories also, that also paid.

Harit Kapoor: Okay, got it. That's very clear. And last couple of things, one was, and both for Jyothy, you know, you did mention July is a little bit better. So, are you saying that kind of June exits and early July have been better than the average volume growth of Q1? Is that the comment you're making?

Pawan Agarwal: No, July, we are seeing early signs in terms of secondaries, you know, secondaries are picking up in July, not necessarily in June. But July, we saw some towards the second half of the month, we saw some improvement on the secondary side. So, but it's too short a period to draw any conclusion. But these are our early readings.

Harit Kapoor: Yes, very clear. And last thing was on this, you mentioned innovation to be a driver in your outlook. Do you see a substantial increase in our own innovation intensity in 2H in line with our estimation of a growth improvement in the macro? Is that the way we should think about it? I'm thinking about FY'26. So, should innovation intensity be, would we see more launches in H2 coinciding with hopefully an improved demand environment?

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M. R. Jyothy: So, Harit, yes, in a way. I mean, seeing the current scenario, we've tried to hold on and we'll see better things coming in Q3, Q4. It'll be slightly better than your first half.

Harit Kapoor: Got it. Those are my questions. Thank you.

Moderator: Thank you. The next question is from the line of Vishal from ASK Investment Managers. Please go ahead.

Vishal: Hi, team. Good show on a tough environment. Two questions from my side. Firstly, on Henko Liquids. Historically, they have been priced at a premium like Surf Excel, but our ground checks are suggesting that Company has taken some price corrections, so it can compete with Surf Excel. My question is that how do you plan to communicate your differential with the Surf Excel or the larger brand that is in the market. So, that still the product security comes out? And second question is on Young & Fresh. Again, your acceptance seems to be quite high. So, I think you're planning to roll out some media campaigns. What are the medium term plans for Young & Fresh? Can it be a Rs. 200 crores-Rs. 300 crores brand in 2-3 years' time span?

M. R. Jyothy: So, Vishal, so Henko, we are definitely I think once a consumer uses Henko, they will know, they'll continue to use that and that we are very sure of. And we are investing behind the brand, in markets where it makes a difference, not the entire country. But yes, we have selective markets for where the appreciation for premium products are there and there we choose to spend. So, that is on Henko. And the differential is also being mentioned in the creative copies that we are spending on. And on Young & Fresh, yes, it is the initial readings are fine. We hope that it continues and will continue to invest where it matters. So, that's on Young & Fresh.

Pawan Agarwal: It's early days and the initial response is encouraging and, let's wait and watch.

Vishal: Last question, where do you expect the Fabric care margins to stabilize in 1-2 years' time span? I understand increased competitive part is there. Competition level is on a higher side, but where should it stabilize? What are the expectations?

Pawan Agarwal: See, it's very, very volatile situation right now. As you know, as you are aware, the liquid dete

rgent, the way margins are fluctuating and the competitive intensity is there. Right now, these quarters margins are lower compared to last year. But I think this year, looking at the current situation and next few quarters, the visibility that we have and the sense that we are getting from the market, the margins will be slightly lower compared to FY'25.

Vishal: Got it. And sir, any update on M&A front given that you've been accumulating cash? I think you've been looking out, you've been evaluating acquisition, but any update on that front?

Pawan Agarwal: Yes. So, we are in pursuit of finding the right fit, and in that regard we are evaluating few assets and at an appropriate time, the information will be shared with the investor community.

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Vishal: Thank you. Wishing you all the best.

Pawan Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Amit Purohit from Elara Capital. Please go ahead.

Amit Purohit: Yes, sir. Thank you for the opportunity. So, just on this price versus volume gap, you indicated it will narrow down. But I just want to know, you're saying one, Dish wash competitive intensity is increasing. Have we taken any further pricing action year to date? And if that's so, then in second half, we would have started the base effects of benefits of so price increase will also start coming in. So, to that extent, still think that that will nullify and the narrowing would continue and probably for the full year exit may be a flattish kind of a volume or you think this will only, I mean, I'm just trying to understand what it will be to negate the effect of soap price increase that we would have taken in second half when we know that competitive intensity is very high?

Pawan Agarwal: In soaps, our price increases we have taken slightly later compared to other players and it is because we have multiple categories and within that we have sub segments. So, the volume value relationship cannot be established in a direct manner the way you indicated. So, overall, looking at all the factors, we believe that this gap should narrow down to Quarter 3 onwards, but it's not going to be completely eliminated in the second half of the year is what we feel.

Amit Purohit: Sure. And second on the margin outlook, we did 16.5 this quarter. How do we look at from a full year basis, because there are a lot of seasonality in the margins as well. So, just wanted to know your thoughts? I mean, would be touching 17% or so.

Pawan Agarwal: So, the current situation in the market is known to everybody and the H1 margin overall, as we indicated earlier also would be under pressure. H2 with demand picking up and the overall environment being conducive, there could be a little bit of improvement over there. But an overall basis for the year, we still believe that between 16% and 17% margin is possible.

Amit Purohit: Okay. And anything on the volume outlook, you want to comment for FY'26?

Pawan Agarwal: Difficult. It's very difficult to comment on volume.

Amit Purohit: Okay. Thanks a lot, sir. Thank you.

Moderator: Thank you. The next question is from the line of Saheel Shirsat from Delta Group. Please go ahead.

Saheel Shirsat: Hi, thank you so much for taking my question. So, my first question is on what strategy we have for urban and rural markets going forward? And my second question is on marketing spends.

How are we going to plan for them? Thank you so much.

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Pawan Agarwal: So, let me address your second question first. So, marketing spend, so we are committed to invest behind our brands. And in that direction, we every quarter, our spends are more or less in line with our overall stated strategy, which is between 8% and 9%. And on an annualized basis, you see the number hovering between 8 and 9. So, that is likely to continue at least in the near term.

And on the first question, I would request Jyothy to answer. Urban versus rural.

M. R. Jyothy: So, Sahil, right? The urban versus rural strategy for us right now, rural contributes around 40% for us. And urban is the one that is right now, while we are putting all our efforts to see that both urban and rural both perform. For us, rural is the one that is currently performing. And we are still investing in reaching as many outlets as possible. That is a continuous agenda. And as of last year, as we completed, we reached 1.3 million retail outlets directly. Now coming to urban, we are seeing growth in urban more from a modern trade e-commerce, that part of it and not in the traditional retail, which contributes largely. So, while your modern trade and e-commerce are growing, the traditional outlets are not to that effect growing. So, that is where the whole issue is. But hopefully that should change going forward if consumers, if the current situation in terms of demand and things may change, hopefully from the second half onwards, with good monsoon and with the government spending and things like that, we are hopeful that at least from the second half, things turn to be better.

Participant: Thank you so much. Thank you.

Moderator: Thank you. The next question is from the line of Senthil Manikandan from Ithought PMS. Please go ahead.

Senthil Manikandan: Good evening. Just a couple of questions. First is on the distribution, like Jyothy ma'am mentioned, there is pressure on the general trade channel. Ma'am, any initiatives internally the Company has taken to spur the demand in this channel?

M. R. Jyothy: Senthil, it's the usual thing. Like, see for us, it is while we are continuing to service the retail outlets and things like that, it's the consumers who are seeking more convenience who are turning into your modern trade and e-commerce. I think all of us are examples of seeking convenience. We see it at our own homes that we prefer to when there is less time and somehow we try and

order everything online and which used to be all of us going to traditional outlets and buying, now that is shifting. So, while we are servicing the retail outlets, but they seem to be not getting consumers on a regular basis, and there you see closure of certain outlets and the overall sales coming down there. While we are trying to be competitive both in modern trade and e-commerce, we are also trying to extend that bit in the general trade, but not completely because there is still an element of convenience which obviously they cannot match. Even if you try and do by pricing, it is still the convenience that takes one step ahead in terms of your modern trade, which is your e-commerce that they deliver. So, we are trying our best while we, that is what we can do and we will be consistent with doing that. What we can do is only maybe keep increasing the number of retail outlets so that many number of outlets add to that additional revenue for us and things will improve maybe later.

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Senthil Manikandan: Thanks. Second question is on the innovation side. So, if you can share some data in terms of NPDs launched over the last three years, percentage of sales, and it could be very helpful in terms of tracking the NPD rate of the business.

Pawan Agarwal: We do not share, unfortunately, the innovation-related data. So, you will come to know as and when it gets launched. And we have a strong pipeline of NPD, that much I can tell you.

Senthil Manikandan: Great. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Sonal from Prescient Capital. Please go ahead.

Sonal Minhas: Hi, thanks for taking my question again. We wanted to understand what are the terms of trade for modern and quick commerce, sorry, for most pertinent to quick commerce, compared to general trade. Are there lower margins or are there more days? Just want

ted to understand that.

Pawan Agarwal: So, in general trade, we have largely cash and carry business in most regions of the country. But in modern trade, we extend credit and it varies. Again, the terms of trade are negotiated, discussed with individual players. So, it's very difficult to give you the sense. But we do extend credit to modern trade e-commerce, quick commerce players. So, that's all I can tell you.

Sonal Minhas: So, quick commerce roughly works around 60-90 days of credit?

Pawan Agarwal: No, it varies. Again, retail chains, e-commerce platform, quick commerce platform, cash and carry outlets. So, it's institutions, it's a mix. So, overall, we can say a basket approach if you see about 30-35 days credit.

Sonal Minhas: Got it. Understand. And my second question was, I'm sure you guys are tracking the category leaders in e-commerce and quick commerce in the categories which you operated. So, let's take, for example, the Dish wash category or the detergent category. Are there newer names which are in the top 3, top 5 list there? Or these are the same players like you who have done well on the traditional and are doing well. So, you're seeing some new names who are doing exceptionally well and are in the top 3, 4, 5 category in the categories you operated?

Pawan Agarwal: No, these are the usual suspects.

Sonal Minhas: So, no D2C brands trying to break in and becoming the top 2-3 players in quick commerce, e-commerce channels that you're looking at?

Pawan Agarwal: At least we have not seen that.

Sonal Minhas: Understand. Sir, from a 2-3 year out perspective, a new categories we're working on, anything which you can share, which are not part of the current categories, or a completely different category which we're working on. Just wanted to understand that.

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Pawan Agarwal: Thanks for the question, but as I said earlier, unfortunately, we are not able to share the information related to new product launches, etc. at an early stage. As and when it gets launched, we'll come to know.

Sonal Minhas: Got it. Okay. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Pawan Agarwal: Thank you. Thanks for your continued interest in Jyothy Labs Limited and have a pleasant evening. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2025

(no extractable text — likely a scanned image PDF)

Call: Feb 2026

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February 13, 2026

To,

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 023
BSE Code: 532926
National Stock Exchange of India Limited
Exchange Plaza, Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip Code: JYOTHYLAB

Dear Sir / Madam,

Sub: Transcript of the earnings conference call for the quarter and nine months ended
December 31, 2025

Pursuant to Regulation 30(6) read with Part A of Para A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, transcript of the earnings conference call held on Monday, February 9, 2026 for analyst/ investors to discuss the Un-audited Financial Results for the quarter and nine months ended December 31, 2025 and the way forward, is enclosed. Further, the aforesaid information is also available on the website of the Company at www.jyothy.com. Kindly take the above on your record and disseminate the same for the information of investors.

Thanking you,

Yours faithfully,
For Jyothy Labs Limited

Shreyas Trivedi
Head – Legal & Company Secretary

Encl.: as above

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"Jyothy Labs Limited
Q3 FY '26 Results Conference Call"
February 09, 2026

MANAGEMENT : MS. M R JYOTHY – CHAIRPERSON AND MANAGING
DIRECTOR – JYOTHY LABS LIMITED
M R. PAWAN AGARWAL – CHIEF FINANCIAL OFFICER –
JYOTHY LABS LIMITED

MODERATOR : MR. DHIRAJ MISTRY – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Jyothy Labs Q3 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Dhiraj Mistry. Thank you, and over to you, sir.

Dhiraj Mistry: Thank you. Good afternoon, everyone. First of all, I would like to thank management of Jyothy Labs to give this opportunity to host this call. We have with us Mr. Pawan Agarwal, CFO; and Ms. Jyothy, Chairperson and Managing Director. Over to the management for their opening remarks. Thank you.

M. R. Jyothy: Good afternoon, everyone. A warm welcome to the Q3 FY '26 earnings call of Jyothy Labs Limited. Our financial results and investor presentation are available on our website and the stock exchanges. I trust you have had the opportunity to go through them. We entered Q3 with a favorable macro backdrop. The FMCG sector has begun showing signs of revival, aided by easing inflation, steady consumption and the supportive policy environment.

Consumer confidence improved steadily through the quarter, and we believe this momentum will continue to build in the coming months. The recent GST rate cuts, repo rate reductions and softening inflation have collectively supported improved affordability. These effects began reflecting in Q3 and the full benefit is likely to unfold over the next few quarters. Demand for daily use essentials and home care products has begun to recover visibly.

Rural markets remained strong, supported by good monsoons, stable farm income and sustained government spending. Urban demand too improved as the quarter progressed, although it remains value-driven and highly competitive, particularly in online channels. Modern trade e-commerce and quick commerce delivered strong growth for us. Encouragingly, GT faced a recovery across all regions in the country, marking a welcome shift after a few subdued quarters. The temporary disruption following the GST rate changes largely settled by end November. The initial inventory destocking gave way to restocking momentum across channels. As we had indicated in previous earnings calls, the broad-based consumption recovery seems to have begun. However, sustained traction over a couple more quarters will be necessary to call it a firm trend. Coming to business performance highlights.

Fabric Care delivered a 9.2% value growth, driven primarily by volume. Our entire Liquid Detergent portfolio across Ujala, Henko, Mr. White and Morelight continued to perform strongly. The new launch Dr.Wool was well received in its debut quarter. Liquid detergents posted high double-digit volume growth in a profitable manner despite price cuts with several players reducing MRPs and offering higher grammage.

Nonetheless, category momentum remains strong, particularly in the southern markets.

Dishwash category saw 7% volume growth despite a 1.3% value decline, an outcome of price reductions, grammage increases and promotional offers. Competitive intensity in this space has

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escalated with multiple players dropping MRPs and pushing larger packs impacting average realizations across the board.

Personal Care segment returned to profitable growth in Q3. It grew by nearly 11% in value, primarily volume-led. The post-GST disruption in September and October was resolved by November. Our Margo franchise performed well across channels with Margo Original Neem and Margo Neem Naturals being key contributors. The focused turnaround plan for the HI segment is

beginning to deliver results.

The segment posted 12.6% value growth driven by volume. Coil sales continued to decline, but the drop was more than offset by a decent volume growth in liquid vaporizers. The recently launched Maxo Aerosol is also scaling up well. We remain on track to reduce coil dependence,

expand portfolio and minimize losses in HI segment.

For the 9 months period ended December 2025, although the sales at INR2,227 crores grew by 2.2% in value terms, the volume growth was 4.5%. Fabric Care grew by 6.2%, registering a robust 7% volume growth. Liquid detergents have nearly doubled both in volume and value terms. Personal Care registered a price-led value growth of 1.8%.

The Dishwash segment declined by 1.7% in value despite delivering more than 6% of growth in volume, largely due to price cuts, extra grammages and promotional offers. Lastly, the HI segment was down by 3.5%. However, the outlook of the segment looks promising in the medium to long term.

Now coming to our financial performance for Q3 and 9 months ended 31st December 2025.

Revenue from operations for Q3 stood at INR740 crores, reflecting value growth of 5.1% and volume growth of 7.2% year-on-year. The difference between value and volume growth was primarily due to MRP reductions and higher grammage.

Gross margin for the quarter was 46.5%, lower by 330 basis points year-on-year. Gross margins remained under pressure due to MRP cuts and lower sales realization, especially in the Dishwash and Liquid Detergent categories and elevated input prices of select commodities such as LABSA, SLES, etcetera.

Given the current geopolitical situation and resultant unpredictability in the forex and crude prices, coupled with increased competitive intensity, the gross margin is likely to remain subdued over the next couple of quarters at the minimum. Advertisement and promotion spends were at 7.7% of revenue. However, our A&P spend on a broader time horizon will remain in 8% to 9% range.

EBITDA margin stood at 15%, nearly 150 basis points lower compared to Q3 of last financial year. Operating EBITDA for Q3 stood at INR111 crores and PAT was at INR81 crores. For the 9 months period ended 31st December 2025, revenue from operations stood at INR2,227 crores. Gross margin was 47.5% compared to 50.4% in the same period last year, while operating margin EBITDA margin was 15.9% against 17.8% in the previous period.

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PAT stood at INR266 crores against INR294 crores during the previous period. With the introduction of India's new labour codes, we have assessed the likely impact and made necessary disclosures based on ICAI guidance. Given that our pay structure already aligns with the revised wage definitions, the financial impact remains negligible.

We will continue to track developments in this regard and account for it accordingly. While near-term margin pressures persist, especially in Dishwash and Liquid Detergent segments due to reduced MRPs and input cost inflation, especially in LABSA and SLES, we expect gradual stability in raw material prices going forward. Geopolitical volatility and forex fluctuations continue to remain watch points.

We remain cautiously optimistic about the sustained recovery in consumption. With an improving macro, ongoing cost discipline and executional agility, we are well placed to build on the momentum of Q3.

In closing, I would like to thank our teams for their commitment, our trade and distribution partners for their trust and our investors for their continued support and engagement. We appreciate your time today and now look forward to your questions. Thank you.

Moderator: The first question is from the line of Rushabh Shah from BugleRock PMS.

Rushabh Shah: So my question is in the household insecticide category, our medium-term focus has always been on driving efficiency and turning around the category, but it has not

been reflected in our

results purely comparing on a yearly basis. So what problems or challenges are we facing in this category? Is the competition that is hurting us is the acceptance of the brand in the minds of people?

Pawan Agarwal: Thanks, Rushabh, for the question. In HI category, about 4 quarters ago, we had clearly articulated how we are building up this business. And at that time, we announced that we are going to grow this business profitably and a lot of actions have been taken in pursuance of that announcement. And one of the action is defocusing on coil and focusing more on growing LV and NPDs in a profitable manner.

And for the last couple of quarters, we have made good progress on this. You would recall in earlier earnings calls, we had indicated that coil and LV ratio used to be 50-50. And prior to that, coil was even higher. Coil share in the total segmental revenue was higher. Now coil stands at one-third of total HI revenue as we speak. So in the last 3, 4 quarters, there has been a lot of work which has been done on the LV side.

And also the newly launched Aerosol is also doing a good job for us in the marketplace. As a result, if you look at this quarter, both in volume and value terms, we have grown double-digit

and the losses are minimal. We hope and expect to maintain this momentum going forward. And as indicated earlier, maybe by the end of FY '27, we are quite positive that we should be able to turn around this completely and we'll be out of woods.

Rushabh Shah: Okay. My next question is that the divestment of our JV that was JKBL, we had incurred a loss of about INR4 crores. So we did this divestment because it did not yield the desired result for

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us. So just wanted to know what are the key learnings or what did we make so that we don't repeat them in the future?

Pawan Agarwal: Thanks for this question, Rushabh. We have put in a number of years in making inroads in Bangladesh market and through our subsidiary, JKBL. More than 10 years, we tried that market.

It's a difficult market, and we tried a number of things in order to expand our presence over there.

But because of the cheaper products availability over there and the other issues which led to other operational issues, which led to the situation whereby we could not expand it in a meaningful manner.

So we thought it prudent to cut our losses and discontinue that operation, and this is why we took a decision in March last year, and we sold our stake to the minority shareholder, and we came out of this. And we are completely focused on our domestic growth and in select export market where we are doing pretty well, for instance, Middle East or Southeast Asian countries.

So it's a focused strategy, I would say. So where we are confident that we'll be able to make our presence felt, we are diverting our energies in those geographies.

Rushabh Shah: Okay. My third question is, how do you see the demand panning out in the future years? Because what we are seeing that the FMCG results have been flattish for quite some years. So in our product profile, what do you think which product category will contribute higher towards our pipeline?

Pawan Agarwal: See, overall, as we have been mentioning, the demand has been resilient as far as rural market is concerned for the last whatever, 4, 5 quarters. The stress was seen only on the urban side. And the good news is that in this quarter, we saw a good revival of demand in urban markets. It's too early to comment. As Jyothy mentioned in her opening remarks also, we are also watching sustainability of this demand trend. And there is no reason why it should fall.

So we are quite upbeat about recovery of demand, especially on the urban side going forward.

And across the segment, if you look at, we have done we have delivered in this quarter a decent volume growth, whether it is Fabric Care, Post Wash or

detergent bars or liquids or liquid

vaporizer, everywhere double-digit volume growth. So it looks like that if this trend continues that we are going to see good quarters going forward.

Moderator: The next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: I just had a few questions. One was on the volume growth side. Is there any kind of restocking benefit going into quarter 3 after quarter 2 had this little bit of GST disruption in our numbers?

And if any, could you kind of quantify that? That's my first question. The second one was on this deflation impact of almost 2%. It seems like given that you've mentioned your Dishwash volume growth, it's all coming from kind of Dishwash because there seems to be a very sharp 8%, 9% impact there on the realization side?

If you could just kind of highlight, when do you expect this to continue? When does this kind of anniversary may be? Is this a new impact for the last 2 quarters? That's my second one. And third is on the margin. So it doesn't look like there is too much of incremental inflation impact

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going forward. So how do we see this margin gross margin improvement process? How long do you think that takes? So those are my questions?

Pawan Agarwal: Thanks, Harit. So to answer your first question on volume growth, especially in the context of GST rate revisions, which happened in the September quarter. As we mentioned earlier, it was only the Personal Care segment, which was impacted because of GST rate rationalization. And we did not see much of a stockist destocking issues because part of the quarter, which is, let's say, end of September, October.

And some part of November, there was slowness in demand as far as Personal Care portfolio is concerned from the retail outlets because they were clearing the old inventory. But after that, I think we have got a decent inflow of orders from the market. So it comes back to normalcy. We are not seeing any sudden spike or sudden drop. Of course, the initial few weeks after GST rollout was a bit of disruption. But otherwise, it's business back to normal.

The second question of Dishwash that you talked about. Yes, I think in the last couple of quarters, we are seeing the competitive intensity going up in this segment. And we have also taken some MRP cuts in previous quarter. As of now, it's very difficult to predict which way it will go because this is a function of market realities, and we are focused on growth. So we will wait and watch how market evolves as far as Dishwash is concerned.

Thirdly, your question was on margin and the RM inflation and how it is going to impact the margin going forward. So in our context, if you look at the key raw materials such as LABSA, SLES or noodles for that matter, we have not seen a respite in these key commodities, which is bulk of our raw material procurement.

Both on a year-on-year basis and sequentially also, there is an inflation visible inflation, coupled with the lowering of prices in Liquid Detergent and Dishwash, more so in Dishwash category, has led to this impact on gross margin. In the near term, margin pressure will be there a couple of quarters at the minimum is what we feel.

But slowly, as the Liquid Detergent expansion happens and also in the Dishwash, if the raw material prices pool off going forward, I think the margin will slowly and gradually get back to the earlier levels, but it may take some time.

Moderator: The next question is from the line of Amit Purohit from Elara Capital.

Amit Purohit: Just on the overall growth, as I see Fabric Care has done well for us, high single-digit growth. Is that the case that volume growth in that would also be higher than the value growth, maybe double-digit kind of a thing?

Pawan Agarwal: So thanks, Amit, for your question. In Fabric Care, our Post Wash portfolio has delivered double-digit growth. And this one

has also done really well. Main Wash has also done well. So net-net, Fabric Care has done well. You're right.

Amit Purohit: So I mean, is there a volume value gap which is kind of negative? Or it is only the Dishwash that is kind of impacting the entire pricing impact?

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Pawan Agarwal: Mainly Dishwash. As I said, Dishwash is the area where we are seeing the volume value major gap. Otherwise, it's broadly in line. Other segments are in line.

Amit Purohit: Okay. Okay. And just I mean, from an outlook perspective, and we aspire to have a double-digit volume growth next year, I wanted to understand from a value growth perspective, as the share of liquid detergents goes up in our overall mix, would that restrict kind of some bit of price growth to some extent if raw material prices remain as they are?

And also what is the industry-wide, there is no price increase taken in detergent because detergent was anyway not part of GST, right? So we could have anyway taken price increase. So what is stopping us to take price increases in that, especially in some of our leadership categories?

M. R. Jyothy: So detergents, both in powders and liquids will be competitive is what we can say, Amit. And Post Wash also, yes, Post Wash in one post wash, out of 2 of the Post Wash things, we are leaders there. And there, we are taking price increases as and when required. Only if material, raw materials and things go up, we are taking price increases. Detergents will especially be competitive in the market as what that is how that is being dictated, we'll be also following that. So except in a few markets where we are leaders, there we will be taking up price increases.

Amit Purohit: Sure. Okay. Okay. So for next year, the volume value gap should kind of converge, right? Is that the way to think? Because Dishwash will come into the base most likely. And even if you don't take any price increases, the volume value gap should converge, right? Is that the way to think?

M. R. Jyothy: No, we mentioned this earlier.

Pawan Agarwal: Amit, we mentioned this earlier also that in the near term, the volume value gap is likely to persist to the range of 2% to 3%. And if you see it, in every quarter, you are seeing volume value gap of 2% to 3%. And in the near term, we believe that this trend is likely to continue.

Amit Purohit: And sir, can you touch about some of the distribution initiatives that you could share, I mean, whether it is direct reach expansion or general overall reach expansion, how are you thinking both in urban and rural? Currently, what is your reach? And what is the direct reach in these pointers?

M. R. Jyothy: Yes. So Amit, as you know, last year, we reached about 13 lakh retail outlets directly. This year, we will be close to closing it at 14 lakh retail outlets, which is direct reach. Now between urban and rural, we are you know if you take that way, it is almost equal across regions. So we have you know whatever we are doing, it is across regions and not in particular rural or urban that way. So for us, this 1 lakh retail outlets that we'll be adding this year will be a pan-India phenomenon.

Moderator: The next question is from the line of Umang Shah from Banyan Tree Advisors.

Umang Shah: I had a question on distribution. While our overall reach is 3.6 million outlets, what would this

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M. R. Jyothy: So we don't give that individual brands separately, Umang.

Umang Shah: Okay. Okay. Any rough idea on whether indexing these brands to overall growth could be a driver going forward?

Pawan Agarwal: Sorry, as I said, we don't get into that level of details. At a high level, we always announce what is our reach level direct and indirect, and that's where we end up.

Umang Shah: Sure, sir. No problem. No problem. Second question was 2 parts. One

was how is the response

to Jovia? And second was we had launched Ujala IDD to West Bengal. So just wanted to understand how that is doing.

M. R. Jyothy: Yes. So both have been received well, Umang. The thing is it's a new Jovia is an NPD. And if you take any NPD, if it has, we internally have certain parameters of what we call it as a success.

So it has fulfilled those parameters, and it's doing it's been accepted well. So and Ujala IDD in West Bengal is also there are learnings we are trying to while it has been accepted, there are a few learnings as well, which we are trying to incorporate going along.

Umang Shah: Okay. Okay. And in terms of home insecticides, the profitability, like you very well mentioned, will come as more and more liquid is sold and the mix increases. Are we also reducing our ad spend there to make it breakeven or will the ad spend continue in that direction?

Pawan Agarwal: Umang, that's a great question. We always stated that if we were to cut down on our ad spend on HI segment, we are already profitable. But the fact that we continue to invest behind this brand, Maxo brand and also, we are coupling it with other initiatives like focusing on LV and penetrating the new product into the channel, all these things put together is giving us a hope that we will be able to turn around this category, and we are in the right direction.

Moderator: The next question is from the line of Vyom Chedda from BP Equities.

Vyom Chedda: So I just had a question regarding the dishwashing segment that as you can see that the value is decreasing by 1.3%, right? But at the same time, it is the majority part of the revenue stream. So I just wanted to ask that the price cut in the MRP is for the penetration into the market? Or what is the strategy regarding that? And by when it will be recovered?

M. R. Jyothy: So it is a pure competitive action, Vyom. It has nothing to do with reaching and all of that because distribution as a thing for it is important for all our brands, and we've been doing that, be it Dishwash, be it Detergent across the portfolio. But MRP reductions are purely competitive in nature. And as and when things change, we will also change accordingly.

Moderator: The next question is from the line of Rushabh Shah from BugleRock PMS.

Rushabh Shah: Just wanted to know more about this laundry business. What was the management thought process to start this business? And also how is this business going? Any thoughts on that?

Pawan Agarwal: Could you repeat your question, Rushabh? We couldn't hear it clearly.

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Rushabh Shah: Just wanted to know more about this laundry business. What was the management's thought process to start this business? And how is it going? Like can you give some thoughts on that?

Pawan Agarwal: Right. So it is a very old business. Earlier, you would recall that it used to be run under a subsidiary and then later on, this business was merged with the parent company. And now it's a division of Jyothy Labs Limited and reported under other segment, okay? And we are focused on building on the retail franchisee in this business. And under Fabric Spa brand, we have 200-plus outlets spread across a few states.

We are growing reasonably well in this segment. We are not incurring cash losses over there. So in that sense, we are working towards making it profitable. It may take some time in order to bring a meaningful profit into this business, but the first goal was to arrest the losses, which, to a large extent, we have been able to achieve.

Rushabh Shah: Okay. And sir, my next question is, as you say, there are many, many more players in the categories in which we are present, right? And everyone is ready to spend money on their particular category. So what would differentiate us from them?

Pawan Agarwal: You are talking in the context of laundry business or in general, you're talking about? Rusha

bh Shah: In general, sir.

M. R. Jyothy: Yes, it will be purely on differentiation, Rushabh. So we are up on our brands differentiation. What we offer is differentiated with what the competition is offering as long as that's very clearly

communicated to the consumer and they use the brand and they find that of value, they'll continue to use and we'll win market share like how we've been doing since last so many years. Our market shares have only grown over a period of last so many years. And it's a pure what you call, the trust that consumers have in us in each brand that we bring in and the market shares reflect that.

Rushabh Shah: Just a follow-up on this one. Could you just give us the market shares of what it was there 5 years back and now for the categories in which you are present?

Pawan Agarwal: No, we do not share market share-related information publicly.

Moderator: The next question is from the line of Akshay Krishnan from ICICI Securities.

Akshay Krishnan: So my question is on the pricing and the volume trade-off. So I just want to understand like the recent growth has been more on the volume-led and the pricing power remains constrained across the categories. So how do you assess the risk of this prolonged promotion-led growth risk and the margin pressure? And what is the specific milestone or the trigger would prompt a shift towards the pricing-led growth even if you entail the near-term volume risk?

Pawan Agarwal: We have stated earlier also that our focus is volume-led growth in the near term, given the external environment and given the slowness in the demand for the past few quarters, 4, 5 quarters. The first goal before us was to get back to double-digit volume growth. And if you look at the pricing angle also, it is the Dishwash category and, let's say, Liquid Detergent, which Jyothy Labs Limited
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is kind of disturbing a little bit. Other than that, broadly, the pricing side, we are in a comfortable situation. Of course, there is a scope for improvement, but the near-term goal is volume growth. Akshay Krishnan: Okay. So coming to this Dishwash, my second question. So there is this volume and the value disconnect and with the volume growth offset by the pricing action. Is this a tactical response to the heightened competition? Or do you see a structural difference in the margin and the growth profile for the category over the medium and the near term? And how is the competitive intensity persisting over here.

Pawan Agarwal: The competitive intensity is high except in Dishwash, and we have reacted to what others have done in the market. So as a result, we had to take some steep price cuts. And we will wait and watch how this segment evolves in the marketplace.

Akshay Krishnan: So how do you see this margins profile improving over here, sir? And what has been for the YTD basis over here?

Pawan Agarwal: So margins will be under pressure in Dishwash. If you look at last 2 quarters also, there has been an impact on margin. In the near term, because elevated raw material cost and the price cuts, etcetera, there is a bit of an impact on the margins. In the near term, we do not expect margin to swing back significantly in Dishwash. But eventually, I think a few quarters here and there, finally, the margins will stabilize at the earlier levels.

M. R. Jyothy: See, the price cuts have been purely competitive, Akshay, in that sense. We wouldn't have taken that price cuts knowing the situation. But it looks like premiumization is just a word and not an action done by competition. So that's where we see good enough good image brands going down just to increase their market share and volume. People have taken these drastic steps with leading to no results. So let's see where it goes.

Akshay Krishnan: Perfect, ma'am. So if I can squeeze in one final question on the HI side. So what is with the coils remaining structurally weak and the

liquids driving the growth, what is the steady-state portfolio mix the management is targeting in the head side? And at what scale do you see the format begin to materially change in the segment versus to drive up the profitability on the coil that's been declining. And on the long-term basis, how do you see this to stabilize further?

Pawan Agarwal: As I indicated earlier many times that we are working on a plan and our plan indicates that by end of next year, we should be turning profitable. Now second point is the ratio of coil in the overall HI segmental sales, that also has been coming down and which gives us a breathing space to focus on profitability. So all I can tell you is that we are marching ahead on our action plan and the early results are quite encouraging. So it gives us confidence that we are on the right track.

Moderator: The next question is from the line of Yogesh Mittal, an individual investor.

Yogesh Mittal: I wanted to know one thing. Is it possible to tell about that we are getting margin pressures due to the competition? How much is it related to the online presence and means the competition on the online for where the online retailers charge for the listings and also where there is a set of more brands and private label?

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Pawan Agarwal: So in our case, Yogesh Ji, our general trade is roughly two-third of the business and one-third of the business is composed of modern trade, e-commerce, quick commerce, institutions, exports and all of that. In that sense, e-commerce and quick commerce is still a very small portion of our total company's revenue.

And in terms of the basket, Modern Trade, e-commerce, quick commerce basket, our margins are reasonably okay. So while there is an increasing demand on the e-commerce, quick commerce side in terms of promotions, etcetera, and discounts, but still it is not to a level which gives us worry. So it's still in decent range.

Moderator: The next question is from the line of Ronak Shah from Equirus Securities.

Ronak Shah: So sir, my first question is regarding the Dishwash category. So where we are seeing the competition has led certain price cuts. Can you quantify at a broader level, what can be the price cuts which we have implemented in and by when it's like to annualize in the FY '27?

Pawan Agarwal: See, our pricing action, downward pricing revision at a portfolio level would be between 8% and 9% in Dishwash category. And going forward, what shape and size it will take, only time will tell. We are watching the market and competitive moves very carefully, and we will take necessary action to combat the competition.

Ronak Shah: Okay, sir. Got it. Sir, my second question is regarding the margin. So if we recall the last few odd quarters when we were a bit confident on catching up the 16% plus sort of EBITDA margin. Now when the things are not favoring in terms of the competition on top of that the RM price are getting escalated. Are we going to see pressure from that front? And are we need to revisit our 16% plus sort of ambition to 15% to 16% range?

Pawan Agarwal: At this stage, we are watching the market and the external environment very carefully. We are not giving any guidance on the margin. Let's wait for a few quarters and see how market stabilizes, both on the input side and also the pricing side in the market, then we would be able to take a firm view on medium-term EBITDA margin trajectory.

Moderator: The next question is from the line of Umang Shah from Banyan Tree Advisors.

Umang Shah: In Dishwash segment, is it the larger player who is alone taking these price cuts or the regional players are also the ones who are doing this?

M. R. Jyothy: No, no. It is the large player, very well-known player, the largest player in the market who is resorting to these kind of cheap tricks. They have literally downgraded their brand and brought it to this level.

Otherwise, local players are not doing any such actions.

Umang Shah: Right, right. And second clarification was as the raw material prices of detergents are increasing, do we see the unorganized players in the detergent market that we are in struggling far more than we do? And if yes, are we gaining market share in Ujala IDD, Morelight and Mr. White?

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Pawan Agarwal: We have gained market share in Ujala IDD, especially in Southern India, we have done well. And for others also, we are in a comfortable position. We are not losing market share in a meaningful manner anywhere.

Umang Shah: Okay. Okay. Sure. And last was Henko, we have been positioning it as a premium detergent. And I think Ariel and Surf Excel are the ones who we would be comparing them with. And our distribution from what I understand was restricted to metros and large cities only. Going forward, any plan to scale this brand up?

M. R. Jyothy: So the thing is it's a premium offering in our portfolio. And premium detergents sell in a few select areas only, Umang. It's largely metro, South India and those kind of large part of India is still low-priced and mid-priced segments. So we are there at the right place, and we do selective spends on this brand. For us and for the country as such, it's the low-priced and the mid-priced detergents that are doing well.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Pawan Agarwal: Thanks, operator, and thanks, everybody, who has joined the call. We are grateful to you for your continued interest in the company. Thank you so much.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you or joining us. And you may now disconnect your lines. Thank you.

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